PCBL Chemical (PCBL)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

6th November, 2024
The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001

NSE Code :- PCBL BSE Scrip Code :- 506590

Dear Sir,

Sub: - Q2 FY 25 Earnings Conference Call – Transcript
Further to our letters dated 25th October, 2024 and 30th October, 2024 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Q2 FY'25 Results Conference Call held on Wednesday, 30th October, 2024 at 12:30 hrs India Time , for the quarter ended 30th September, 2024. This information will also be hosted on the Company's website at https://www.pcblltd.com/investor-relation/financials/investor -presentation .
We request you to please take the afore -mentioned information in record and oblige.

Thanking you,

Yours faithfully,
For PCBL LIMITED

K. Mukherjee
Company Secretary and Chief Legal Office r

Enclo : As above

"PCBL Limited Q2 FY '25 Earnings Conference Call "
October 30, 20 24

M
ANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR , PCBL
LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER , PCBL
LIMITED
MR. SAKET SAH – GROUP HEAD INVESTOR RELATION S
AND ESG REPORTING
MR. PANKAJ KEDIA – VICE PRESIDENT -INVESTOR
RELATIONS
MANAGEMENT : MR. SANJESH JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to PCBL Limited Q2 FY '25 Earning Conference Call, hosted by ICICI Securities.
As a reminder, all participant s' lines will be in the -listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal and operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjesh Jain. Thank you and over to you, sir.
Sanjesh Jain: Thanks, Nivedita. Good afternoon, everyone on the call. Thank you for joining on the PCBL Limited Q2 FY '25 Results Conference Call .
We have PCBL Management on the call represented by Mr. Kaushik Roy – Managing Director; Mr. Raj Gupta – CFO; Mr. Saket Sah – Group Head Investor Relations and ESG; Mr. Pankaj Kedia, Vice President, Investor Relations.
I would like to invite Mr. Kaushik Roy to initiate the call with his “Opening Remarks ”, post which we will have a Q&A session. Over to you, sir.
Kaushik Roy: Thank you so much. Very good day, ladies and gentlemen. Good afternoon and a very, very warm welcome to all of you. And at the same time, I wish you all a very, very Happy Diwali and prosperous New Year.
I will take you through some of the major highlights first for the quarter, and thereafter, will be happy to take questions.
During the quarter, our consolidated sales volume (carbon black) increased by 14% year -on-year to 1.48 lakh tonnes . While consolidated revenue from operations increased by 45% to Rs. 2,163 crore s on the back of better realization, higher sales volume and revenue from recently acquired Aquapharm Chemicals.
Consolidated EBITDA grew by about 53% year -on-year to Rs. 369 crore s. PBT stood at Rs. 164 crore s, while PAT stood at Rs. 123 crore s. Consolidated EBITDA per tonnes in carbon black business further increased to Rs. 21,324.
Of the total carbon black sales volume, domestic sales were at 90,219 tonnes , while international sales were at 58,474 tonnes . Export sales volume registered a strong year -on-year growth of 22% in Q2 FY '25.
Now, let me move on to segmental performance. Tyre accounted for 82,383 tonnes , performance chemical reported sales volume of 49,183 tonnes , while specialty sales volume was at 17,127 tonnes , which is again the highest ever in our history. We continue to expand our product portfolio and customer base.

During this time, we also achieved the highest ever power generation and sales volume during the quarter. Power generation increased by 25% from 167 MU in Q2 FY '24 to 209 MU during the quarter, with an external sales volume of 126 MU as against 103 MU in Q2 FY '24. PCBL's average realizations stood at Rs 3.56 Kwh .
Coming to six monthly performances :
During H1FY '25, consolidated revenue from operations increased by 52% year -on-year to Rs. 4,307 crore s from Rs. 2,834 crore s (H1FY '24). Sales volume increased 19% year -on-year to 302,610 metric tonnes in H1FY '25. The consolidated EBITDA for H1FY '25 was up 62% year -on-year to Rs. 738 crore s. from Rs. 455 crores . Power generation and sales volume also went up by around 20% in the first half of the financial year.
Let me now talk about Aquapharm Chemicals :
Aquapharm Chemicals reported a steady performance during the quarter. Post the completion of the acquisition, we have been working on an integration process. The Company is implementing various cost optimization and operational efficiency measures which w ould result in better capacity utilization, leading to improvement in the Company’s performance in coming quarters.
In Q2 FY '25, revenue stood at Rs. 362 crore and EBITDA stood at Rs. 50 crore s. The quarterly sales volumes stood at 2

4,510 tonnes . The capacity utilization remained above 75% during the quarter.
PCBL is amidst an aggressive capacity expansion program in carbon black, water treatment, detergent, as well as oil and gas chemicals under Aquapharm. The Company is working on strengthening its supply chain, improving product mix and cost optimization initiatives. The long-term prospects of all the business segment s look quite positive, and we believe there would be adequate business potential to sustain the growth momentum.

At PCBL, research and innovation are important drivers of both technical advancement and business expansion. As communicated earlier, the Company has made substantial investment in infrastructure, human capital and streamlined processes. These investments have significantly bolstered PCBL's capabilities in new product development, customization, and applications, as well as process efficiency. The carbon black capacity of the Company stood at 770,000 MTPA . PCBL expects to commission the specialty project o f 20,000 MTPA in Mundra and 30,000 MTPA brownfield expansion of carbon black facility in PCBL, Tamil Nadu i n Q3 FY '25. The second phase of PCBL Tamil Nadu expansion of 60,000 MTPA would take the total installed capacity to 8,80,000 MTPA , with a G reen Power capacity of 134 MW in FY '26.
Aquapharm Chemicals is implementing an expansion project of 38,000 MTPA , which is likely to be commissioned by March 2025.

We aim to reach 1 million tonnes capacity in carbon black by FY '27 -'28, possibly we will surpass this target as well. We are currently evaluating sites for proposed greenfield capacity. This would help us to significantly increase our global market share.
Now, let me share some updates on our recent joint venture in battery chemical space, specific to anode :
PCBL has executed a JV agreement with Ki ndia Private Limited to form Nanovace Technologies Limited for developing nanosilicon products to be used in anodes of lithium -ion batteries. PCBL holds 51% and Ki ndia 49% in Nanovace Technologies. PCBL would infuse $44 million in Nanovace in multiple stages over the next two years for acquiring IPs, setting up pilot plant, and thereafter commercial scale manufacturing facility. Currently, Nanovace is setting up a pilot plant at PCBL, Palej site.
The carbon black business continues to be on a strong growth trajectory and is well poised to capture the growth in the domestic and exports market with new capacity additions, w ide product suite, and strong R&D capability. The Company continues to invest in growth, innovation and supply chain capabilities across the world. We expect significant growth in international sales volume to European markets. With planned capacity additions, PCBL plans to ramp up global sales volume from FY '2 6.
With this update, I will conclude now and open the floor for your queries. Thank you so much.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Aditya from SMIFS Limited. Please go ahead, sir.
Aditya Khetan: Yes. Thank you, sir, for the opportunity. Sir, my first question is on to the expansion which we are doing of 30,000 tonnes by next quarter. So, has the work at the site been completed fully as of now?
Raj Gupta : Yes. Aditya, the project work is almost complete. We are awaiting Consent to O perate. We have already applied for it. And we expect commissioning soon.
Aditya Khetan: And sir, in this plant, so is it an extension to our existing grades only? So, recently we have also got some patented products into the carbon black space, so that new products we are planning to launch here or so it is an extension of the old product?
Raj Gupta : We have three broad portfolios or business segments under PCBL, one is S pecialty, which requires completely different processes and re

actor design. Rest all grades can be manufactured in this new facility, so other than specialty. Specialty requires separate reactors. Currently we have such reactors in Palej and Mundra. Rest all plants can manufacture all the other grades, including the ones which we recently patented.

Aditya Khetan: Sir my next question is on to the carbon black EBITDA per ton. So, I believe sir for the last two, three quarters, we are maintaining that run rate of Rs. 21,000 per tonnes . So, how sustainable you see this number to be going ahead? Can there be like this can fall down to your original target of Rs. 18,000 per tonnes , which you were alluding one year back, can that number be achieved? Or you think this is the sustainable number for now?
Raj Gupta : So, the global business environment even now , is extremely turbulent. Last quarter, we saw the freight rates moving up by almost 35- 40%. And the margins that you see for last quarter , is in spite of that. We not only believe that these margins are sustainable, but we also believe there is a fair level of cushion for us to go up on margins as our product mix change s, as our operating leverage improves. And we are still working on improving our manufacturing efficiency, so yields also have scope to improve.
Aditya Khetan: But sir, suppose if the freight rates compress or they come down, which we have started to witness on quarter -on-quarter that freight rates are coming down, still you see that the spreads

can maintain because decline in spread rates would definitely impact the spreads also of carbon black. In spite of this you are factoring like this, so this number can be maintained you mean to say?
Raj Gupta : Aditya, when we sell in global markets, we have to compete with the local manufacturers. So, when freight rates are high, our margins get compressed. So, in a low freight scenario, the margins would tend to go up, not go down.
Aditya Khetan: I was actually mentioning so when freight rates are high, so to pass on that impact, you generally keep the carbon black prices at a higher level, just to pass on that incremental freight. So, in that time generally the spread looks optically higher as compared to a normal business environment, but still like you're alluding to the fact that this number can be maintained?
Raj Gupta : Yes. I mean, when the cost of doing business comes down, generally the margins expand, and that is true to our business also.
Aditya Khetan: Perfect. Sir on to the Aquapharm, I believe sir you were guiding earlier around 15 -20% volume growth. In this quarter sir we had witnessed only, you can say, flattish volumes only. Any specific reason, sir, can you highlight for these flattish volumes?
Raj Gupta : Aditya, there are a lot of stuff that we are doing in Aquapharm. We are primarily working on improving their cost structure, improving operational efficiency and improving capacity utilization. But all these initiatives will take some time. So, the real reflection of such measure will flow into the numbers, maybe after two, three quarters. So, in the current quarter, I mean, with all the global uncertainties which are there, plus the turbulence in global business conditions , last quarter was largely flat, but we expect this performance to improve in quarters going forward.

Aditya Khetan: Sir, just one last question. Sir, outlook on the debt what we are foreseeing. And in earlier call sir you have mentioned that we are looking at around Rs. 2,000 crore s of cash flow per annum. In half yearly sir, we have made somewhere around Rs. 700 -800 crore s. Just want to know, so that can Rs.2,000 crore annual cash flow number be maintained for the next two, three years? And how that would be utilized for repayment of debt and for the further CAPEX?
Raj Gupta : Aditya, when we spoke about cash flow,

we spoke about how much cash we are going to generate over the next five years. And we did speak about Rs. 9,500 - 10,000 crore s of cash generation. But cash generation would increase every year with higher capacity and higher sales volume. So, it will not be uniform across every year. So, it will not be like Rs. 2,000 crore every year for the next five years, right. But we will be generating enough cash flow which can support our growth plans as well as also help us reduce our debt.
Aditya Khetan: Sir, any debt figures you have made up in mind? Like for FY '26- '27 what would that number look like?
Raj Gupta : We are not looking at any absolute debt level, but we are not comfortable with our debt to EBITDA beyond 2. So, we will try and bring it down to that. Now, it might take a year more because we will certainly not compromise with our growth plans just because there is a little more debt on our books. But whatever surplus cash that we generate beyond our capital expenditure, that certainly we are going to utilize towards debt reduction.
Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.
Radha: Sir, my first question is that in the carbon black business, according to a previous presentation given by the Company , so just wanted to understand the demand scenario. So, India is expected to create an incremental demand of 4.5 lakh tonnes in the next five years. The Europe rebalancing of supply chain is creating an incremental demand of 2.5 lakh tonnes, and global mar ket ex of India, if we factor in low single digit growth rate, then that is creating around 300 lakh tonnes of demand in the next f ive years.
So, from FY '24 base, PCBL's target is to achieve another 4 lakh tonnes of volumes in the next five years. So, from India, if you assume 33% market share in India, then we can get around 1.5 lakh tonnes from India out of the 4 lakh tonnes of incremental volume that we want to do in the next five years. So, for the balance, that is 4 minus 1.5, can you please help me how the road map is that how much from Europe rebalancing are you targeting and how much from the remaining global market growth?
Raj Gupta : Radha, we are not targeting any particular market for our growth aspiration. It's a fairly large market. It's around 15 million tonnes market already. And if you look at the global growth rate, long term growth rate had been around 3.5%, which creates a large opportunity and scope for further increase in volume. Now, a lot of countries which have large consumption are not adding

capacity. So, the opportunity for Asian manufacturers becomes very large. We are a global Company , and do not depend on any single market .
If you look at our last 3 -4years' export volumes, it has increased from around 150,000 tons to 250,000 tons already. And there's a large market there.
We have invested heavily in our supply chain ability in the last 4-5 years. Currently, we do not have the capacity to cater to all this demand . But the demand is there. So, whatever infrastructure we have already created, that will support our growth plans. We are very confident that growing at 10%- 11% volume CAGR in the next 5 years is not going to be much of a challenge for us, we just need to have capacities.
Radha: Sir, just if you can give this Europe ’s re-balancing of 2.5 lakh tonnes that Russia and China used to supply. So, out of that how much can we get?
Raj Gupta : Radha, we are looking at all markets with equal possibility. So, we are not focusing our growth plans on any particular geography. We will remain flexible. So, wherever we see opportunity, we are trying to create stronger presence in all markets where there is a potential. So, Europe remains important for us, but this is obviously not going to be the only market. So, putting a number to a market, I do not think t

hat will be fair for us at this stage.
Radha: Sir, the second question is on the CAPEX front. So, in the last call you had highlighted that to achieve Rs. 2,300 crore s of EBITDA in carbon black business, we need around 1.4 MTPA of capacity. So, on a base of FY '24 capacity of 7.7 lakh tonnes, we need to add another 6.3 lakh tonnes. So, the CAPEX per metric tonnes was also highlighted in the last call, so that I have taken at Rs. 65,000 per tonnes . So, that gives us a CAPEX of Rs. 4,500 crore s only on the carbon black business. But in the call , it was highlighted that on carbon black we will be spending Rs. 2,500 crore s but I am getting Rs. 4,500 crore s. So, please help me where I am going wrong or help me understand these numbers.
Raj Gupta : Radha, I think the numbers are not correct. We did speak about 400,000 tonnes of additional capacity requirement. So, if we grow at about 10%- 11% every year, by 2029 we will require another 430,000 tonnes of capacity, which will involve a CAPEX of about Rs. 2,500-. 2,600 crore s, and that's the number that we shared during the last call.
Radha: Sir lastly, you spoke about the supply chain that we have created over the years. So, exports have become a very big factor for PCBL, so currently 40% of our carbon black sales are exported. So, that has gone up from 30% in the last two years, and in ACPL also 90% of sales are from
global markets. So, just wanted your thoughts a little bit about if you could speak on how the Company has improved the supply chain in the global markets, both organically and inorganically. If you can tell us a bit of numbers in terms of how many distributors we have added in the region, where we are standing versus peers? And how we are trying to scale this up in the next five years.

Raj Gupta : Well, Radha, for the last 6-7 years we have been investing in suppl y chain bandwidth. Currently, we have seven global offices, we are going to get another one , I think in a month's time, so we will have eight. Then we have our own warehouses, decanting stations, even our R&D center outside India. C urrently there are 21 touch points which include these warehousing facilities, decanting stations and our offices in different parts of the globe. Additionally, we also have tie ups with dealers and distributors. But in all geographies where we see large potential, we have our own office now.
So, in smaller geographies where it is more fragmented sales, we are doing through dealers and distributors. Additionally, now with Aquapharm coming under our fold, they have almost equal number of touch points. So, together if you look at the entire supply chain, currently we have more than 40 global supply chain points outside India. And we are, of course, going to strengthen it further going forward. As I said, we do not depend on India for our growth aspirations, the entire world is our marketplace. So , we are going to further invest in supply chain capability going forward.
Radha: Sir, just one last question. Please help us understand the product from Nanovace. So, what is the USP of the products that we will be making in that compared to the peers? And is there anyone in India having such capabilities or will we be the only Company having the sole advantage?
Raj Gupta : Well, Radha, in batteries there are three important parts, one is anode, one is cathode, and one is the electrolyte. Cathod e is where the reaction happens and the ions are generated, and ions are stored in the anode part of the battery. So, anode plays an important role in battery capacity. So, the higher the absorption capacity of anode, the bigger will be capacity of the battery, lower will be the charging time of the battery.
Now, conventionally, anodes were made from graphite, and graphite has very limited absorption

capacity. What we are going to produce under Nanovace will be an addi

tive which when mixed
with graphite in anode , will increase its absorption power, i on absorption power, which will
increase battery capacity and which will also reduce the charging time of the battery. Now, it's
a breakthrough technology. Currently, while I would not say we are going to be the only
manufacturer in this space, a lot of work is happening globally and on differ ent materials. We
are working on Silica . And the material that we are going to manufacture is one of its own kind.
It's, like I said, a breakthrough technology. This material is very expensive globally, currently it is getting sold at $300 /kg. We believe that even if we sell it at $100 / kg two years from now, we
are still going to get about 65% gross margin. That's the kind of potential on the profitability side. So, this is it, Radha, if I have been able to answer your question.
Moderator: Thank you. The next question is from the line of Kunal from Kitara Capital. Please go ahead.
Kunal: Sir, can you give me an outlook for Aquapharm for the next 3-5 years, as in how to understand
the business and how's the outlook for the business? And second, again for battery chemical space, as I rightly understand, the revenue will start flowing from FY '27 onwards. So, do we

have any visibility for that revenue? And like you said, 60% gross margin, so what cost
advantage do we have, is it the labor or the raw material?
Raj Gupta : It is the process itself, Kunal. So, I will answer your second question first and then I will hand it
over to our MD to answer the Aquapharm thing. Currently, the process of manufacturing is
extremely power intensive. And consequently, the cost itself is very high. We believe that we
can produce it at one-fifth of the cost. So, what this process will involve is conversion of natural
silica or the regular silica into nano silicon particles. Silica is one of the most abundantly available material i n the universe, and therefore I mean very cheap. And our process will not be
as power intensive and therefore we will have the cost advantage, right . So, that's on the raw
material part.
Now, on the profitability part, we are starting with our 2,000 tonnes capacity. Even at $100 /kg
revenue, this 2,000 tonnes capacity will generate a Rs. 2,000 crore s top line. So, that's kind of,
and we believe that once this plant comes up, which should be in FY '27, it will not take us more than couple of years' time to utilize full capacity. So, by FY '29 we should be doing at least Rs.
2,000 crore s kind of revenue from this facility.
On Aquapharm, long term business plans of course we have. But what we are doing currently, I think, that is more important for you to understand. I will hand it over to Mr. Roy.
Kaushik Roy: Well, on Aquapharm there is two parts to it, one is the Indian portion, and the other one is the
US portion. Now, Indian portion, primarily they are into water treatment and detergent
application. And the USA is more into the chemical for oil and natural gas production. Coming
to India, within detergent and water treatment application, there are three categories of products.
One is phosphonate, which is kind of the base and fundamental grade, one is polymer, a nd the
third one is green chelates. Aquapharm currently is more focused on phosphonate , but going
forward, our major focus will be on gr een chelates and polymer application for water treatment
and detergent as well.
The reason is, polymer and green chelates both are more green product s from the point of view
of sustainability and will be the need of future for the entire globe. So, therefore, the focus will
move more and more towards green chelates and polymers, and this will be driven primarily by
the R&D coming out with newer products in both these categories, polymers as well as the green
chelates . And we see a clear, very sharp growth opportunity in these two a

reas. While
phosphonate will continue to hold a position as the global leader, we'll continue to expand
phosphonate as well.
Coming to USA, which is primarily for oil and gas chemical, this is primarily today for U.S.
market, but we are likely to expand beyond U.S. to European market as we ll, that is our desire.
Current capacity is not fully utilized. We are going to add further capacity as soon as we feel the current capacity is getting consumed fully. So, that is the plan going forward. We expect to invest

roughly around anywhere between Rs. 600- 700 crore over the period of next three to five years,
between Aquapharm India and USA.
Kunal: Rs. 600 -700 crore s of revenue?

Kaushik Roy: Rs. 600 - 700 crore s of investment in CAPEX over a period of next 3-5 years between India and USA.
Kunal: And what should be asset turn for the CAPEX?
Raj Gupta: If you look at their current fixed asset block, they have about Rs. 400 crore s of assets which can generate about Rs. 2,000 crore s of top line. We believe the ratio will be largely same.
Kunal: And margins should be better or should be the similar range?
Raj Gupta: See, historically, they have operated at about 20% plus margin, and with the new product launches which are going to be higher margin, we believe that we can improve it further. So, FY '29 we are targeting about 25% EBITDA margin from this business.
Moderator: Thank you. The next question is from the line of Sanjesh Jain. Please go ahead, sir.
Sanjesh Jain: First of all, Happy Diwali to the entire team. First, to the bookkeeping question, let me finish that. This quarter there was a sharp drop in the other expenses on the standalone side, any particular reason? And this is despite freight cost being elevated, that's one. Number two, it appears that there is some compression in the gross profit margin at Aquapharm level and that's leading for EBITDA sequentially declining. Any particular thing happening in the Aquapharm as the weakness in t he enti re market is impacting as well.
Raj Gupta: So, our other expenses contain some of the variable expenses also, and volume this quarter was around 5,000 tonnes lower compared to last quarter. So, there was a proportionate decrease there. Also , in the first quarter there were some shutdowns that we had taken towards the end of the first quarter, so there were some repair and maintenance related expenses which were there, which obviously was not there in quarter two. So, it was primarily on account of that. Coming to Aquapharm thing, I will r equest Mr. Roy to take it.
Kaushik Roy: Aquapharm, the decline what we've seen actually it has happened more from US operation. The US market from the point of view of oil and gas sectors is going through a very, very rough patch in recent times, and the demand has come down substantially. That has put a lot of pressure on our capacity utilization as well as on the margin, and that is what was reflected in the number what we have seen. But our feeling is, it will eventually recover in USA, and that's all the more reason we talked abo ut just now that we will be expanding in the European market for oil and gas chemicals as well. So, that is the reason we are expanding, and we are going beyond, because we do not want to put all the eggs in the same basket. We want to kind of derisk the whole thing and therefore we are looking at beyond U.S. market to Europe.

Sanjesh Jain: Raj, just on the operating cost, of Rs. 14.50/Kg is the operating cost this quarter and for last many quarters if we see, we were hovering around Rs. 15 - 16. There is a genuine reduction in the cost, it's more of an operating leverage which is playing out here, or you feel that we will again go back to Rs. 15-16/ Kg?
Raj Gupta: So, it is largely operating leverage, plus , with all the investmen

ts that we have made in new business, we are also looking at the scope to reduce our cost wherever possible. But it is mostly the function of operating leverage, with higher capacity we are getting that advantage.
Sanjesh Jain: Very clear. Last question from my side on the battery chemical side. How has been the response, have we started switching to the battery OEMs? And are they excited with the scope of integrated silicon, graphite in their battery? Anything on the market side will be really helpful.
Raj Gupta: I think we are constrained to talk. There are some developments.
Kaushik Roy: Okay, there is a lot of excitement in the market, and we are in discussi on with some of the leading battery and auto manufacturers . But at this point in time, we are a little constrained to share those names because of the confidentiality agreement.
Sanjesh Jain: No, no, I am not looking at names, as in have they started integrating it, have they started looking or putting it in a battery?
Kaushik Roy: Yes, absolutely. It has already started so that joint development and how to use it, what is to be done etc., the discussions have already started.
Raj Gupta: Sanjesh, we are very confident that once we get the pilot plant, in a year's time we will have approval from most of the targeted consumers.
Kaushik Roy: And these are some of the global names. Unfortunately, we are constrained and not able to share with you, at an appropriate time we will do that, but these are all big global names from auto and battery.
Raj Gupta: Sanjesh, what we will also do, maybe at a later stage, we will arrange investor interaction with some of the scientists who are part of this project. I think that will provide you with more understanding of the technical part of it and the feasibility part of the project.
Sanjesh Jain: We would love it. Thank you very much.
Moderator: Thank you. The next question is from the line of Bharat Seth from Quest Investment. Please go ahead, Sir.
Bharat Seth: My first question is related to the carbon black. Raj, when we are talking of 10 -11% of CAGR

growth for next 4 -5years, within that , if you can give some color how much will be the specialty growth and performance chemical?

Raj Gupta: Sir, the whole pie has the opportunity. So, while speciality we will be maintaining about 10,000 tonnes of volume addition every year, in rest of the portfolio also we are going to add similar kind of growth. So, when we say 10 -11%, both the pies are going to expand by the same. The only thing is that the base in specialty is smaller currently, so specialty will become almost double in the next four to five years' time, but this portfolio will increase by about 60- 65%. So, the volume growth is on the entire pie.
Bharat Seth: And performance chemical side, if you can give a little more color, which I generally believe that has a little higher profitability than the tyre grade. Is that a fair understanding?
Raj Gupta: Yes, that's a more fragmented market and carries better margins, about 25% more compared to tyre, which is bulk business for us.
Bharat Seth: So, that will continue to grow at 10 -11%, or there is a room to improve the growth percentage?
Raj Gupta: Yes, more or less, I think the share percentage between performance and tyre grade segment will remain more or less similar.
Kaushik Roy: Bharat ji, tyre and this performance chemicals market are pretty matured and have a larger base. So, what Raj talked about in 10% plus will naturally for these two segments will be around that, whereas the speciality since the base is smaller, in the percentage terms it will look larger. The growth will look little larger in percentage terms. But as we mentioned, every year we are adding 10,000 MT, like this year we are going to close possibly around 60,000-65,000 MT, we will be adding another 10,000 MT. So, pe

rcentage number wise it will be little more. But look at the whole pie, the point here is that we will be growing in all these three. Percentage don't look at because that's not the right measurement, it depends on the base and the size. And speciality w e are growing, it is comparatively smaller base, so therefore the percentage will look a little bigger.
Bharat Seth: Now coming onto this Aquapharm, when we spoke about this Rs. 600- 800 crore s kind of CAPEX over five years and where we are seeing that phosphonate, polymer as well as green chelates has a better profitability and better growth prospect. So, this capital allocation, if you can share some how much CAPEX we are going for this polymer and green chelates side?
Raj Gupta: See, these are all part of our innovation, Bharat ji. Now, the margin profile, even in the conventional business of Aquapharm is good. So, we are not saying that these are going to be an exceptionally higher margin in this business. But then as a business, we have to constantly move up the value chain and keep the business relevant for the customers. So, all the renovations which are happening are towards portfolio expansion, and also cater to part of the market currently to which we are not catering.
Bharat Seth: And last question, Raj, for you, normally when the oil price is low for carbon black, I mean, the working capital turns down substantially. So, anticipating oil will remain in $70 to $75 broad range, how much savings or additional cash flow can be generat ed from working capital?

Raj Gupta: It's a very simple math. So, crude falls by 10% , and our working capital requirement goes down by around 8%. So, that's a very simple calculation. But then that's assuming that we have the same turnover. We are expanding in terms of volume and that will also reflect on our top line. So, the savings in working c apital will also depend on the overall turnover that we are generating from business. But, yes, the capital efficiency will improve when crude comes down.
Moderator: Thank you. The next question is from the line of Krishnan from JM Financial. Please go ahead, sir.
Krishnan: Wish you very Happy Diwali. Firstly, on carbon black, what was the reason for the sequential dip in overall sales volume, especially the exports?
Raj Gupta: So, typically, Krishnan, what happens, most of the tyre companies take maintenance shutdowns during monsoon season in India. So, that was one reason. And this is usual, I mean, every year you will see this happening. And also, last quarter the availability of containers was a challenge, the freight rates also moved up because of that so it also impacted our volumes in overseas markets.
Krishnan: So, basically some of the volumes were affected due to the container availability and some due to, let's say, maintenance shutdowns, is that correct?
Raj Gupta: Yes. And overall capacity utilization was still 94%. So, we are operating at almost full capacity.
Krishnan: And you expect going forward kind of this coming back let's say 154 KTPA and higher or do

you expect this to be in the similar range of 148- 149 KTPA?
Raj Gupta: I mean, the idea is to utilize full capacity , and we know the scope is there in market. See what is happening is, now we are left with very little capacity cushion, and therefore we can't commit capacity to the new customers or even for the same customers we can't commit more capacity to them. So, we are awaiting new capacities to be available. And therefore, we are also speeding up our project work. So, initially we had given a timeline of fourth quarter for this 50,000 tonnes capacity. We kind of increased the pace of project work, and now we are targeting commissioning within this quarter. So, that will also give us some more capacity cushion. But it takes time between capacity to come up and then getting requisite approvals from cust

omers and being able to ramp that up, utilize that. But the idea is to have more capacity with us so that we can also get into more contracts with our stable customers.
Krishnan: And secondly, I think Kaushik da mentioned that there was some roughness in the oil and chemical side, so the utilization was lower. So, what is the capacity utilization you are targeting in Aquapharm for the second half and in FY '26?
Raj Gupta: Second half, it will improve marginally. We currently are at about 75% on overall basis, India and USA all combined. We believe that by fourth quarter we should reach around 82- 83%. We are targeting a little more but we have more confidence level at that level. But the idea is to have

full capacity utilization. I mean, this 75 - 80%is not acceptable in our system. There's a fairly large market and all it takes is to spread out and identify opportunities where these are. So, our target is to reach full capacity utilization. God willing, we will achieve that in next few quarters, four, five quarters.
Krishnan: Got it. Thank you so much for patiently answering my questions. Wish you all the best for the coming quarters. And Happy Diwali.
Moderator: Thank you. The next question is from the line of Madhav from Fidelity Investment. Please go ahead, sir.
Madhav: Sir, I just had one question. Basically, if you could just share where we are in the carbon black demand supply cycle from a next three-year perspective. There was quite a lot of disruption which happened in Europe because of the Russian supply and then China obviously had become cost uncompetitive in this space. So, if you could just share some view from a 3 -5 year perspective where we are today. Thank you.
Raj Gupta: We believe that, see, China was dominant and will remain prominent because they have a large market, captive market only in their own country. They account for almost 35% of global carbon black consumption. So, the carbon black companies in China, they will continue to produce and continue to sell. A nd when they produce, they will also have some surplus that they will want to sell outside their country.
Now, so far as cost is concerned, their cost structure is not what it used to be 10 years back. And China's stance also is today that we will sell to outside China customers, but not at a price at which they expect, but at a price which Chinese companies w ant. So, it has created kind of a level playing field. Having said that, not many companies in China are making money in this business, and therefore possibly they will consolidate further and we will not see too much capacity coming up there. So, the mark et size will remain more or less constant or it will consolidate further.
Russia is facing sanctions from entire Western European Union. Now, they are selling this capacity elsewhere in the world, mostly in Asian countries. But what will this situation do to them is, this will kind of reduce their further investment in capacity. Globally, only R ussia and China had advantage in terms of cost. China because of scale and because of coal tar availability, and Russia because of its own crude. Now, if China is consolidating or not adding more capacity or not making money in this business, and Russia again is not making money in this business and they are also kind of not adding capacity, the opportunity for the rest of the world becomes very large. Next three to five years we are looking at, with a lot of confidence, that it will be a large opportunity for Indian manufacturers and a rapid growth phase for us.
Madhav: Is there any other country in the world where carbon black capacity is being added today? Like I think Indonesia, Malaysia used to add some small capacity earlier, but where is the supplier

really coming to service the incremental demand? Because like you said it

's a 15 million tonnes
market and we might need 4 lakh tonnes maybe each year, in cremental . So, who is building the

capacity today?
Raj Gupta: Other than India, today India and China, I mean, when we talk about Asia, most of the other countries are marginal in terms of capacity. So, while small, small pieces of capacity will keep coming up, because these markets are also growing in terms of thei r local demand. If you look at say Indonesia or Malaysia or Thailand, these economies are also growing at a rapid rate, almost the same growth rate at which India is growing. So, they will have their incremental demand locally. But in terms of catering to global demand, they do not have that level of surplus or they are not even planning for that level of capacity addition. So, Indian manufacturers will have an edge over their other Asian counterparts.
Moderator: Thank you. The next question is from the line of K hush from Electrum PMS. Please go ahead Sir.
Khush: Sir, I had one question, what kind of growth we are seeing in Aquapharm considering the CAPEX from FY '26, once things are back to normal, what kind of top line growth and sustainable EBITDA margins?
Raj Gupta: Growth in terms of top line, we believe that we can grow at around 17 -18% from FY '26 onwards. And our margins, we believe that from next year itself we will have around 20% EBITDA margin, which will gradually improve towards 25% by FY '29. So, we will see an annual increase.
Khush: And sir, just last question. So, we have seen export s grow year -on-year by 22%. So, can we assume that some contribution was due to increased sale in European region because of the Russian ban?
Raj Gupta: Yes, of course. Our share of sales to the European markets has gone up. In FY '22 it was only about 3.5- 4%, currently we are doing close to 21% in those markets and the scope is much, much better, we are constrained by capacity.
Moderator: Thank you. The next question is from the line of Aditya from SMIFS Limited. Please go ahead Sir.
Aditya Khetan: Sir, my question is on to the battery chemical ’s part. Sir, you had mentioned that, so this battery chemicals business will generate around Rs. 2,000 crore s of top line. Sir, what are the assumptions we are taking here in terms of the realization?
Raj Gupta: We are considering the $100/Kg realization which is around one -third of the current market price of similar material.
Aditya Khetan: And sir, this is on to the capacity of 2,000 tonnes, right, sir?

Raj Gupta: That's correct.
Aditya Khetan: And sir, similarly, how much would be the EBITDA margins, like you have stated, so gross margins would be around 65%?
Raj Gupta: Could be around 50%. Because it's a small capacity, we do not see any kind of elevated fixed overhead structure here. It will be a very lean structure. So, around 50% should flow to EBITDA level.
Aditya Khetan: And sir, I believe, eventually we are talking of around, earlier we were stating that this capacity was around 3,000 tonnes sir. I believe in our earlier meeting you had mentioned 3,000 tonnes, now that size has been reduced to around 2,000 tonnes?
Raj Gupta: No, we are saying that our first plant will be 2,000 tonnes. Of course we will have to add another plant of equal size, and therefore by 2029 we should be doing around 2,000- 2,500 tonnes at least, it can be even more. But the numbers that I am sharing is for the first plant, first capacity which comes up.
Aditya Khetan: And from this pilot project only we would be making around Rs. 400 crore s to Rs. 500 crore s of EBITDA?
Raj Gupta: No, pilot plant is much smaller, and this will be primarily used for sampling purposes.
Aditya Khetan: Sir, Rs. 2,000 crore s of top line, so roughly 50%, so Rs. 1,000 crore s of EBITDA for the JV, and Rs. 500 crore s for the pilot plant itself.
Raj Gupta: No, Aditya, you are confus ing be

tween the two. So, we are initially setting up a pilot plant which should come up in next 6 -7 months' time, we will use that for sampling purpose, that is not meant for commercial purpose. Parallelly, we are also setting up a commercial plant of 2,000 tonnes which should come up in FY '27, and that plant we will utilize for commercial sale.
Aditya Khetan: So, sir, so that technology, we have already tied up with the technology, so what are the key challenges you see on to this? So, if suppose we ramp up from 2,000 tonnes to around 10,000 tonnes , any sort of key challenges you foresee?
Raj Gupta: The market is currently growing at about 25% CAGR, it's about 15,000 tonnes market for this material. Very few producers globally. No one is very sizeable in this space. And the price of this material is currently prohibitive. As I said, $300 /Kg, which kind of also restricts the growth

potential. We bring down the price, the market, I mean the growth can explode from the current level. We have seen that kind of movement happening in the EV space.
And EV is not going to be the only industry which will create demand, the power saving requirement across countries that is increasing, and I think that will be one of the biggest

contributors to demand for this material. So, currently, of course, we are focusing on the first plant and utilization thereof. But I think in this space the opportunity is much, much larger.
Aditya Khetan: Sir on to that 12,000 tonnes, suppose if we commercialize it by 2030, so we can assume some sort of Rs. 2,000 crore s of incremental EBITDA only from this project?
Raj Gupta: Yes. So, if we put up another 2,000 tonnes capacity, at full capacity utilization level it should be giving us the same level of bottom line.
Aditya Khetan: Sir, onto the Aquapharm, is there any split between the value added and the commoditized segments like the phosphonates and the chelates into the segmental basket, how they fit into the commoditized and into the value -added side?
Raj Gupta: Aditya, nothing is commoditized. I mean, this entire portfolio is very high level of complex chemistry. What we are doing is trying to create more sustainable material. So, that will be further moving up the value chain. But that doesn't make the existing portfolio or any part of the portfolio commodity. And all the businesses will have to constantly move up the value chain.
Today what is relevant, what is speciality, tomorrow it might be treated as commodity as supply increases or as new technology comes in. The businesses will have to keep moving up the value chain and this green chelates and polymers, these are all a step towards that direction.
Aditya Khetan: And sir, the backward integration into the yellow phosphorus, so when is the timeline we are planning to complete that?
Raj Gupta: We are not doing backward integration into yellow phosphorus. Yellow phosphorus is a mineral, right, so it is mined. What we are doing is we are setting up a processing or filtering plant, right, sir?
Kaushik Roy: Right. We are going to source yellow phosphorus ; we are trying to tie up with some of the miners and they will process and make it usable for Aquapharm. That's the thought process. Basically, from rock phosphate to yellow phosphorus through proper process, that is what we are looking at.
Raj Gupta: So, part of the process, we will be doing backward integration for, but it remains a mineral , it is mined , so we cannot get into mining.
Moderator: Thank you. The next question is from the line of Rohit from Centrum Broking. Please go ahead, Sir.
Rohit: Sir, first question is on the battery chemical side, on the additives front. So, you said that the pilot plant will be set up over the next six, seven months. So, in terms of scale up, would there be any challenges that we have faced in the initial lab setup from kilograms to a

few tons? And
even when we set up a commercial plant, will there be any challenges that may come up and that may probably change the dynamics of the cost and the margins? Thank you.

Raj Gupta: Challenges will always be there because producing something at lab scale and at commercial level will have different issues. Controlling the chemistry at such larger scale, that will obviously pose some challenges. But having said, at the lab level, when they increase the capacity or the reactor size from 2 liters to 20 liter, they got the same result. And therefore, we are very confident that we should be able to replicate the result at a much larger scale also.
Also, the scientists who are involved here in this whole process and who will be engaged in this whole setting up of plant and also in the initial production process, they are of very high pedigree.
One of them even got nominated for a Nobel Prize. So, that kind of improves our confidence level further. And we have ran some close to 1,200 tests on the material in our own lab in Belgium and also in one of the external labs in Germany, and the results were very encouraging.
So, that gives us confidence that we should be. Challenges will be there, I am not saying that it's the same cup of tea producing at small and large scale.
Rohit: Sir, second question is on Aquapharm. So, there are predominantly three segments. What could be the breakup of contribution from each of these segments? And an alike question to that, you also mentioned that we want to go up the value chain and make more sustainable materials. So,
beyond these three segments or verticals, are we currently working on anything new which is in the pipeline and where it could be a promising new segment for us? Thank you.

Raj Gupta: So, I mean, the products that we are generating or producing under different segments, these are interchangeable, and these are being used in more than one industry. So, like the phosphonate - based products that we are manufacturing, they also have usage in oil and gas, right. So, therefore, the margin profile remains more or less similar, I mean, there is not much difference at the gross margin level or at, for that matter, at EBITDA level between the different segments to which Aquapharm products cater to. Coming to the second part of the question, Mr. Roy will answer.

Kaushik Roy: The revenue split is roughly between oil and gas chemical and phosphonate, it is close to 85% between the two, and the rest remains between green chelates and polymers. Now, talking about going up the value chain. Now, as Raj mentioned a little while back , even p hosphonate is also a highly engineered product, it is not a very simple product, it is not a commodity, let us accept that reality. It is an engineered technical product. But the objective is to move towards green sustainable product. S o, that is what we are focusing on right now more through the root of polymer and green chelates. And there are different grades within this overall vertical of polymer as well as green chelates. So, first, immediately for the next couple of years we are looking at developing newer products in these two categories, polymer and green chelates. And there is a lot of headroom to grow there, because the market share of Aquapharm in these two particular segments is in single digit, and w e clearly see there's a l ot of opportunity to grow across the globe. The immediate focus will be that. And thereafter, in parallel, we will keep focusing on other opportunities. So, we will come back to you at an appropriate time.

Rohit: Sir, just on the Aquapharm front, given that there is the amount of growth in these segments plus the margins seem to be higher. I just wanted your perspective on competition maybe from outside, particularly from China or any other geographies t

hat may co me up in future, given the opportunity and probably the margin dynamics of the segment. Thank you.

Kaushik Roy: So, fine, let them come up, what is the worry? We are equally efficient and capable. So, we are not too worried about Chinese or any other player. So, Aquapharm globally in phosphonate they are number one, number two. And we have enough capability. So, we are not too worried , competition may come up, it is fine, absolutely fine.

Moderator: Thank you. That was the last question. On behalf of ICICI Securities, I conclude this conference. Thank you for joining us. And you may now disconnect your line. Thank you.

Call: Jan 2025

The General Manager,
Department of Corporate Services,
BSE Ltd.,
1st Floor, New Trading Ring,
Rotunda Building,
P.J. Towers,
Dalal Street, Fort,
Mumbai – 400001

BSE Scrip Code :- 506590 17th January, 2025
The Manager,
Listing Department,
National Stock Exchange of India Ltd,
Exchange Plaza,
Plot No. – C – 1, G Block,
Bandra – Kurla Complex,
Bandra (East),
Mumbai – 400051
NSE C ode:- PCBL
Dear Sir,
Sub:- Q3 FY 25 Results Conference Call – Transcript
Further to our letters dated 7th January, 2025 and 11th January, 2025 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Schedule III Part A Para A, please find enclosed herewith the transcript of the Q 3 FY'25 Results Conference Call held on Friday, 10th January, 2025 at 17:30 hrs India Time, for the quarter and nine months ended 31st December, 2024. This information will also be hosted on the Company's website and can be accessed at the link : https://www.pcblltd.com/investor-relation/financials/investor -presentation .
We request you to please take the afore-mentioned information in record and oblige.
T
hanking you,
Y
ours faithfully,
For PCBL CHEMICAL LIMITED
K. M
ukherjee
Company Secretary and Chief Legal Office r
E
nclo: As above

"PCBL Chemical Limited

Q3 FY '25 Results Conference Call "
January 10 , 202 5

MANAGEMENT : MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER – PCBL
CHEMICAL LIMITED
MR. SAKET SAH – GROUP HEAD, INVESTOR
RELATIONS AND ESG – PCBL CHEMICAL LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS – PCBL LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to PCBL Chemical Limited Q3 FY '25 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference c all, please signal an operator by pressing star then zero on your touch- tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you and over to you, Mr. Mishra.

Mohit Mishra: Good evening, everyone. Thank you for joining our PCBL Chemical Limited Q3 FY '25 Results Conference Call. We have PCBL Chemical Management on call, represented by Mr. Raj Gupta, CFO, Mr. Saket Sah , Group Head, Investor Relations and ESG, Mr. Pankaj Kedia, Vice President, Investor Relations. I would like to invite Mr. Raj Gupta to initiate with opening remarks, post which we will have Q&A session. Over to you, sir.

Raj Gupta: Thank you, Mohit. Good evening, my friends and thank you for joining our earnings calls today. On behalf of entire PCBL Chemical family, I would like to extend warm wishes for a very happy and prosperous new year. I'll start with some of the major highlights of the quarter and then would be happy to take your questions.

Over the last few years, we have diversified beyond carbon chemistry into new fields within the chemical sector. This growth, both organic and through strategic acquisition and partnerships, has brought us to a pivotal moment. To mark this evolution, we have recently unveiled our new identity. We are now PCBL Chemical Limited. This name change reflects our broadened capabilities and our dedication to pioneering advanced solutions for our customers globally.

Recently, the Andhra Pradesh government has allotted us 116 acres of land in Naidu peta, which would be used for our next greenfield expansion. This proposed site has proximity to major ports like Kattupalli, Krishnapatnam , Nellore and Ennore , which would facilitate seamless movement of goods with high logistics cost efficiency. This would be our 6
th manufacturing site and is
crucial in our journey of crossing the benchmark of 1 million tons of capacity.

During the quarter, our specialty line of 20,000 MTPA capacity in Mundra was also commissioned, taking our total capacity to 7,90,000 M TPA .

Sustainability has been at the core of our decision making. The company has been certified with International Sustainability and Carbon Plus, which is ISCC certification. It emphasizes company's commitment towards responsible consumption and production, also circular economy and reduction of GHG emissions. On this front, we have recently launched a new grade named ECOZENTM6000 , which is based on recycled materials.

Over the last few years, the company deepened its research commitment, comprising forward - looking investments in infrastructure, people and processes, resulting in empowerment of the company with proven capabilities in product applications, process efficiency, and product customizations.

Coming to the quarterly performance, PCBL continued with a steady performance in the challenging microenvironment.

During the quarter, our consolidated sales volume in Carbon Black business increased by over 5% YoY to 144,000 tons. This translates into a capacity utilization of over 90% during the quarter.

Consolidated revenue from operations increased by 21% to INR 2,010 crores on back of higher sales volume and also revenue from the newly acquired business of Aquapharm Chemicals .

Consolidated EBITDA in the same period grew by around 15% to INR 328 crores, while PBT stood at INR 124 crores and PAT at INR 93 crores. EBITDA per

ton in Carbon Black business
stood at INR 19,868 per ton. Of the total Carbon Black sales volume, domestic sales volume stood at 84,369 tons , while international sales volume stood at 59,132 tons .

Moving on to our segmental performance, tyre accounted for 86,886 tons. Performance Chemicals reported sales volume of 42,367 tons, while specialty sales volume was 14,247 tons . We continue to expand our product portfolio and customer reach.

During the quarter, we have undertaken a major overhaul of our power unit in Durgapur plant, resulting in lower power generation. Power generation stood at 161 MU during the quarter, with an external sales volume of 94 MU. PCBL's average realization during this quarter stood at INR3.5 /kWh .

Coming to the 9M FY25 performance, consolidated revenue from operations increased by over 40% YoY to INR6,317 crores from INR 4,491 crores during the same period last year. Sales

volume increased around 15% YoY to 4,46,110 tons . The consolidated EBITDA for the
9MFY25 was up 44% YoY to INR1,067 crores, as against INR 742 crores during the first 9M of
the previous year. Power generation also increased by 15% in this period to 563 MU.
Aquapharm Chemicals reported a steady performance during the quarter. We are already seeing
some improvement in the industry dynamics, further improvement in cost and operational
efficiencies, and increased market penetration is going to support the company's financial performance going forward.
We expect strong growth both in sales volume and in operating margins in the ensuing financial
year.
Aquapharm ’s Q3FY25 revenue stood at INR 328 crores, with an operational EBITDA of INR 51
crores. The quarterly sales volume stood at 23,000 tons . Capacity utilization remained above
70% during the quarter.
At PCBL Chemical , we continue to work on portfolio expansion and capacity additions across
business verticals, and we are increasing allocation of resources towards strengthening of our
supply chain, improving the product mix, and also optimization of cost.

The long-term prospects of all business segments remain positive, and we are on track to achieve
our mid- and long -term growth targets.
The brownfield expansion of 30,000 tons in PCBL -TN is completed, and we are currently
awaiting consent to operate from the local Pollution Control Board , we expect it in the next few
weeks. Also, the 2nd phase of expansion of 60,000 tons in Tamil Nadu and 12MW green power
is currently underway. We expect this project work to be completed in the next 3 -4 quarters'
time. We have also started project work on one new specialty line, which would cater to
application segments like conductive polymers and batteries.
Aquapharm Chemicals expansion project of 38,000 metric tons per annum are on track and likely
to be commissioned by March ‘ 25.
On the nano-silica project side, we have started placing orders for equipment for the pilot plant and expect the commissioning
to happen in the next few months' time.
Tyre industry growth outlook, both in India as well as at global industry level, continues to
remain positive. In India, the investment in road infrastructure, steadily rising income levels,
increasing urbanization rates, premiumization, and a grossly underpenetrated vehicle market has
created a significant long -term growth opportunity for the entire auto industry ecosystem.
With our rapidly expanding product portfolio, market penetration, and strengthening supply
chain and R&D capabilities, we have the potential to outpace auto and tyre industry growth rate.
We are geared up to leverage the emerging opportunities and remain on track to achieve our
mid- and long -term growth plans.
Also happy to share that our Board of Directors has declared an in terim dividend of 550%, i.e.
INR5.50 per equity share of face value of INR 1 each for the year ended 31s

t March ‘ 25.
With this, I conclude my opening remarks and open the floor for your questions. Thank you.
Moderator: Thank you. The first question comes from the line of Aditya Khetan with SMIFS Institutional
Equities . Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. I have a couple of questions. First question, is there any particular reason
for drop in the Carbon Black spreads on quarter -on-quarter basis? Is it related
to general market weakness or the product mix of the company has deteriorated? And second question on to this, any further
plans on the speciality Carbon Black ? Like we have completed
Phase 2 . So, are we planning to further expand, any plans on that?
Raj Gupta: Aditya, I couldn't hear your second question properly. Would you repeat that?
Aditya Khetan: Sir, my second question was on to, is there any further plans to expand the speciality grade Carbon Black ?
We have completed the 20,000 tons of Phase 2 . So, is there any newer plan on
the table which has been outlined?

Raj Gupta: Okay. So, I'll answer your first question first. Drop in realization is primarily on account of crude
price movement. Crude prices came down by about $6 compared to the previous quarter. And
you're aware that our principal raw material is a derivative of crude, which has an impact on our
realization. So partly it is on account of crude prices. And also, there has been a product mix
change during the quarter, which has impacted the realization.
Coming to the second question about next specialty line, I was just talking about the new
specialty line. So, we have already started work on a new specialty line. It will come up in Palej .

And here , we are planning to manufacture premium grades for conductive plastics and batteries.
Aditya Khetan: Any numbers we can put, how much tons and what is the capex?
Raj Gupta: So currently it is under the designing phase. Give us a few more weeks' time. In 3 to 4 weeks' time, I'll come back with more details on this.
Aditya Khetan: Got it. My next question is on to, so the recent land allocation in Andhra Pradesh. I believe, sir, we are investing around INR 3,700 crore s. So, this would be largely to set up a Carbon Black plant only, like complete Carbon Black unit only. So, S ir, just if I may ask you, so what would be the capacity which we are outlining? Because I believe with this much of investment, we can add up around 6 lakh tons of additional Carbon Black capacity. So currently somewhere around 8.5 plus 6, so we can reach to 1.4 million tons v/s our, like what we are seeing, that is around 1 million tons. Any thoughts on how much we could add?
Raj Gupta: Aditya, the capex guidance that we shared during our earlier call s was on a consolidated basis, which included all the business segments which had Carbon Black , phosphonates, and nano silicon. So , when you are talking about the INR 3,700 crore s number, then this includes the capex which is planned for all these businesses.
Coming to the current land allocation in Andhra, it's a large piece of land which can house roughly about 400,000 -450,000 MTPA of Carbon Black capacity. But the capacity would come up in phases. So , in the first phase, we expect to put up a 150,000 MTPA plant only.
And on a similar size of plant, we spent roughly about INR 950-960 odd crores. I mean, the plant that we had put up in TN. And it will take about 2 -2.5 years' time for this plan t to come up. And then in the 2
nd and 3rd phase, eventually we will add more capacity t here.
Aditya Khetan: Okay. Sir, on to the Aquapharm . Like on sequential basis, we are seeing a good drop of almost around 13-15% in volumes. Sir, we had already guided for FY '25 volume growth of 15- 20%? Is there a cut on that guidance? And what is the reason for this volume drop?
Raj Gupta: Specialty chemicals, gener

ally, I mean, this whole industry is facing a lot of headwinds in form of tepid demand and also stiff competition from China. You will see it across all the specialty chemical businesses. It is not unique to Aquapharm . it is only just about 9-10 months into our acquisition

and what we are focusing now is one on the cost and operational efficiency side and the other is on the increased market penetration side. We are putting more feet on the ground. And with all these initiatives, we expect that going forward , gradually over the next few quarters, we will be able to deliver better numbers. it will be visible in our performance from here on. But current year, it is because of strong headwinds in the industry.
Aditya Khetan: Sir, the weakness in like Carbon Black spreads in the domestic market and Aquapharm business also like remaining weak. And so, can we expect a similar sort of a performance in the fourth quarters also , like how you see things to change from particularly from which quarter?
Raj Gupta: We are not witnessing any weakness in margins even during the current quarter , it is primarily because of operating leverage and product mix. And Aquapharm like I said that we are expecting better performance going forward. So, even Q4 FY25 should be a better quarter. As of now, that is how we see it.
Aditya Khetan: Okay. Sir, just one last question if I may. Sir, any update on that Kinalte k JV? Sir, how far have we reached on to that part and has the lab testing and sampling and that has been successful and we can take it to a large commercial scale also? Just wanted to know on this part.
Raj Gupta: Yes, that is our plan. And Aditya, as part of that process, we are already participating in a lot of global battery chemical fairs, creating more visibility around the company. And simultaneously, the work on pilot plant is on. I mentioned that we have already started placing orders for project equipment. And in the next few months' time, once the plant is ready, then we will start placing samples with the targeted customers. It is on track.
Aditya Khetan: Sir, we have also transferred 2 patents to the JV, what we have made. Any updates like what is that?
Raj Gupta: Yes, so, we have had a tie-up with this Australian joint venture company. And all these patents were, all the IPs were developed by them. So, as part of the joint venture arrangement, we got them to transfer these IPs into the joint venture company.
Aditya Khetan: Thank you, sir.
Moderator: Thank you. Next question comes from the line of Khush Nahar with Electrum Portfolio Manager s. Please go ahead.
Khush Nahar: Thank you for the opportunity. S ir, my questions are more on the Aquapharm side. So, number one, like you said that there is some weakness in the US industry. So, could you elaborate a bit more, this recovery will be because of the recovery in our numbers will be because of company -

specific reasons like new products or it is more of industry recovery that we are betting on? And how much volume growth are we expecting once this recovery happens?
Raj Gupta: Well, Khush, there are 2 -3 things which we are kind of relying on. One, the raw material prices which were gradually coming down since last 1.5 years, they have somewhere stabilized . Which

will, therefore, stop impacting our margins and possibly would see a U -turn from here. So, which should have a positive impact on our margins. So, that is on the margin side.
Regarding the volume recovery, , industry now possibly has come to a point where we may not see further deterioration in the industry demand supply dynamics. Possibly, we will see some recovery, but we are not depending on that. Like I said, we are putting more feet on the ground and we are also trying to reduce our client concentration. So

, we are trying to create a broader base of customers and also creating more penetration in newer geography.
And, of course, it is not going to happen in one quarter's time, but the reflection of all these initiatives would become more and more visible as we travel into quarters in the next year.
Khush Nahar: All right, sir. Thank you for the detailed answer. And then the second question was more on the export side. So, I think this quarter, our exports have grown lower. So, what were the major reasons and when can we expect a recovery in this?
Raj Gupta: Our overall export volumes have gone up during the quarter.
Khush Nahar: 2.5% for this quarter volumes.
Raj Gupta: Yes, and, despite all the macro headwinds that we are facing . There is geopolitical issues, there are trade relations issues, trade route disruption. And generally, there has been some kind of destocking during the last quarter. December typically is a balance sheet month for most of the overseas customers. And they tend to reduce inventory in their books to show better capital efficiency. And despite that, we have been able to clock better numbers.
Khush Nahar: All right. Okay, sir. Thank you.
Moderator: Thank you. Next question comes from the line of Radha with B &K Securities. Please go ahead.
Radha: Hi, sir. Thank you for the opportunity. So, sir, my question was that Europe was importing around 4 lakh metric tons from Russia. So, that has stopped after the ban. And additionally, there were more sanctions that were imposed from 2nd October on the Russian company OMSK Carbon , which had a plant capacity of 1.6 lakh tons in Russia, in Belarus.
So, with respect to these two events, I wanted to understand that customers had started adding huge inventory in anticipation of the ban. So, do you think this situation is normalizing now? Or how long do you think this can continue? And when do you expect to witness sequential recovery in Carbon Black volumes?
Raj Gupta: Well, year -on-year, if you look at our volumes, our volumes are still higher. But coming to specific answer to your question, there has been some stocking in Europe because of this restriction on import from Belarus and Russia. You're right.

Currently, the customers appear to have a little elevated level of inventory. But despite that, our volumes in Europe and North America are going up. And that is because of being able to add new clients, new customers in these geographies.
I mentioned in our earlier calls also that until 2-3 years back, we were just doing about 4-5% volumes in Europe and another 2- 3% in North America. So, in totality, we were doing about just 7-8% of our total international volumes in the western part of the world. And in the last quarter, we have done close to about 35% of our volume in the se geographies .
And that's the reason why our overall international sales have been going up. If you look at our international sales in last 10 years' time, it has gone up by 3 times. And there is, significant scope for us to move up from here.
Once the stock levels again come back to the normalized levels, we are very confident that we should be able to do more business in western world. And therefore, we are putting up so much capex.
Radha: Yes. Just to follow up, how much do you think the inventory is lying with them as compared to what we consider normal?
Raj Gupta: It is a very bulky material. And therefore, it is unlikely that anyone would be able to stock more than maybe a couple of months' stock at any point in time , even that looks very high. So, we expect the situation to be normal, close to normal now.
Radha: Okay. So, last quarter, maybe in Q3 , it was slightly above normal. And now, we expect the

situation to have reached normal.
Raj Gupta: Yes, I thin k. I mentioned that December typically is a quarter of balan

ce sheet for them. So, the
capital efficiency is also at play there.
Radha: Sorry, I could not hear you. December is a quarter of?
Raj Gupta: I mean, for most of overseas customers (especially in the western part of the world), December
is a balance sheet quarter for them. And in order to show better capital efficiency, generally there
is a tendency to reduce working capital levels and therefore, de-stocking. We do not see this trend to continue beyond this quarter.
Radha: Okay. And, sir, again, continuing with this question. So, this entire 4 lakh tons and this 1.6 lakh
tons, roughly 5-6 lakh ton s of demand that has been created in European region. So, now that
this situation has been going on for two quarters, how do you think this demand has been
distributed among which nations?
Raj Gupta: So, there will be participation from multiple manufacturers and countries. It is for the most efficient manufacturer s to get the largest share. And we are, of course, going to be one of them.
Our volumes have already increased and PCBL as a brand name is very strong. I mean, it's a
very strong brand name globally in this industry.

Radha: Okay. Sir, second question was with regards to usually in this quarter or in this period, there are
negotiations with customers regarding pricing on the Carbon Black front. So, could you please
share your thoughts regarding the pricing that we expect on Ca rbon Black for FY '25? How is
it expected to fare out when compared to the current prices?
Raj Gupta: Negotiations mostly happen on the volumes. Because our pricing is also dependent on the
movement in crude prices. So , the level of realization would also depend on the behaviour of
crude prices going forward. But we got some new contracts also and I think it will be reflecting
in our volumes going forward.
Radha: So, the pricing we would expect in similar levels to current quarters with respect to the new
contracts?
Raj Gupta: No, I am not commenting on pricing, Radha. Pricing could be anything because tomorrow if
crude goes up to $100, then realization would tend to go up. If it comes down from the current
level, realization would come down because this industry operates largely on formula pricing.
So normally when we participate in tenders, it is mostly for volumes and on the formula.
Radha: Understood, sir. Sir, last question was with regards to ACPL. So, just wanted to understand that as a majority of the revenue in ACPL is coming from the US. Wherein we are supplying this oil
and gas chemicals, so what is our market share, with respect to the oil and gas chemicals in the
US market? And are there inputs from China coming in the US? And with respect to the new
government in the US, do you expect any changes in the supply chain?
Raj Gupta: I could not hear it properly, but I think your question was what is our share of oil and gas
industry, right?
Radha: Yes, sir.
Raj Gupta: So, we currently have just about 1% market share in oil & gas. Oil & gas is a fairly large industry
and we have a very small share. Like I mentioned , we had significant client concentration and
we were not present in a number of geographies. Even within North America, mostly we were
doing business in the USA. I mean, while Mexico and Canada also offer equally big opportunity.
So, now we are focusing on new geographies and customer penetration.
Radha: Sir, any comment on imports from China in the US market or any changes in supply chain you are expecting in that market?
Raj Gupta: I would not talk much about how China is going to play their strategy or whether US is going to
impose any tariffs on them. We rather are focusing on our own strategy. So, even if we consider
that it is going to remain a level playing field for all manufacturers across all countries, how can
we increase our market share? And that's exactly wh

ere we are putting our energy.
Radha: Sir, what drives the demand in these oil and gas chemicals in that market? Is there anything that
we can track to understand, how the situation is changing there?

Raj Gupta: The market itself, the market size is very large, Radha. We just have about a percentage of the
market share. So, even if market grows as 1 % or 2%, (historically it has grown at about 1.5 -2%)

there is still a long space for us to grow.
Radha: Understood. Thanks and all the best.
Moderator: Thank you. Next question comes from the line of Jainam Ghelani from Svan Investments . Please go ahead.
Jainam Ghelani: Hi, sir. Thanks for this opportunity. So, I'm noticing the results that we've taken an impairment of INR554 crores in Aquapharm C hemicals . And I feel that it's quite soon since our acquisition. So, do we expect any further impairment in this company in the near future or are we done for now?
Raj Gupta: Well, so I'll just explain the background of this impairment. This impairment is not there in isolation. You will see that there is an equal amount of write -back of deferred tax liability. So, as such, the impact on our current quarters financial is almost negligible.. Now, I'll just explain the background.
When we acquired Aquapharm , as part of the accounting requirement some temporary assets and liabilities g ot created. So, on one side, deferred tax liability gets created and then on the other hand, equal amount of non- core goodwill also gets created.
And when we merge these two entities, then all these temporary assets and liabilities get knocked off against each other. That's exactly what has happened. So, there is no impact on the carrying amount of other assets in the books of Aquapharm or Advaya . And there is no reason for us to think about any further impairment.
Jainam Ghelani: So, is it fair to assume that it is just because of the mismatch between the assets and liability and nothing related to the business performance?
Raj Gupta: It is not because of mismatch in assets and liabilities. It is because of the accounting regulations around mergers and acquisitions. This is a normal adjustment which has happened, which would have happened in any similar kind of acquisition. And as I said that this is not impacting the bottom line.
Jainam Ghelani: Okay. And so, my second question is that you mentioned earlier that usually December quarter is the quarter where we see a drop in volumes. But in the last 4 years, 3 years, we've witnessed gain in volume. So, is that because currently we have high inventory levels? Or if you could just quantify what would be our inventory levels currently in days or in absolute figures, please?
Raj Gupta: Okay. So, first, I'll answer your first part of the question. You said that in last 3 years, we have grown. So, in isolation, there would not be any drop in volumes or destocking. It will also depend on demand supply situations in the market. When customers see that they already have some level of stocking, they will tend to buy less and they will try to reduce inventory.

And if you track auto and tyre commentary, you will see that the destocking is happening in the entire supply chain. And which did not happen in last 2 -3 years. Last 2-3 years, the market remained buoyant. And therefore, even in December quarter also, the sales went up.
Now, coming to the inventory position, see, if you look at our sales volume, when crude prices go up or down and when customers want to destock, then only 3 -4% is what they can actually manage (inventory reduction or increase), because it's a bulky material. And if you look at our last quarter's volume and compare it with this quarter's volume, it's just about 3.5% decrease in volume. So, it is not significant in terms o

f overall inventory accumulation.
Jainam Ghelani: Okay, sir. Thank you. That's it from my side.
Moderator: Thank you. Next question comes from the line of Prolin Nandu with Edelweiss Public Alternatives. Please go ahead.
Prolin Nandu: Hi, Raj. A few questions from my side. First of all, on the pricing negotiation, right, you mentioned that it's a formula -based kind of a negotiation. So, are you alluding to that that formula has largely remained the same? And can you repeat as to, I mean, how are those negotiations on the volume part?
Raj Gupta: So, we have to participate in tenders in international market, the formula also changes, right? And we have to bid on both volumes and formula, . Formula pricing allows for variable cost pass-through . And so, that is one part of the formula.
And the second part of the formula is the margin over pass -through . Beyond the pass -through part, variable cost includes three things, which is raw material cost, the outward freight, and currency, if you are selling in any currency other than dollars.
Prolin Nandu: So, Raj, what I wanted to understand was that this EBITDA per ton range that we have been reporting, let's say, on a last four -quarter average basis, is that likely to continue going forward as well, based on the negotiations that you had on the formula?
Raj Gupta: So, like I said that when we are bidding, we are bidding on pass -through of variable cost, and then there is also margin. But once we bid and once we freeze the formula, then our margins tend to remain the same over a period of time, during the contract period.
Prolin Nandu: So, that margin markup has not changed, right, versus last year is what I wanted to understand,

right? I mean, on variable cost, the margins that you charge on the variable cost, that has not significantly changed, right, over the last negotiation?
Raj Gupta: That should not change significantly. To some extent, because of product mix, it might go up and down.
Prolin Nandu: Okay. And then that will always have a positive bias, right, given that our share of product mix is tilting towards speciality, right?

Raj Gupta: It does, but, it also depends on demand-supply situation. So, when we are bidding, we'll also have to keep that factor in mind.
Prolin Nandu: Sure. And coming to the slightly more medium -term to long -term outlook on export and maybe specifically on Europe and North American market, right? Now, what is happening is that there has been stocking which has taken place and you called out that maybe this December quarter was weaker because of stocking.
But going forward, when you think about probably the ban on Belarus ’s capacity, so is there a positive outlook on volumes going forward or do you see some risk , that in case if there is some de-escalation in geopolitical matters, there could be some headwinds on volumes as well? How should one think about the medium -term outlook in export for Europe as well as U S?
Raj Gupta: Mid to long -term, we remain fairly bullish on the growth outlook of the industry and our ability to increase our market share. Now, all these events which are happening, the sanction on Russia or Belarus for that matter, this, we believe, would going to be the re for maybe few quarters or
few years at most. And also, it is not that they will stop selling in global markets.
If they are not able to sell in Europe, they will find their customers elsewhere. And if they don't sell to their regular customers, that means they are going to sell at a discount to other customers, which is again, margin negative. So , these restrictions don't give us any benefit other than maybe
increase our market penetration to some extent.
Like in Europe, earlier it was very difficult for us to get access to those customers. The windows were not opening for so many years. And then this issue in Ea

stern Europe happened and all the
customers, they were willing to buy from us.
And once the relationship gets established, then it becomes kind of a long-term relationship. So that's the benefit what actually we are depending on, nothing beyond that. Rest all is our quality of product, our quality of service , our cost efficiencies and pricing.
Prolin Nandu: Understood. And one question on Aquapharm , if I may. So, in Aquapharm , in Q3, you mentioned that there were some macro -US-related kinds of headwinds. Q4 onwards, things should be better. But again, there the outlook on medium -term, right, as to in terms of the profit numbers or operating profit numbers that we did on that before the acquisition. How soon should we be able to see those numbers there?
Raj Gupta: I'll answer the second part of the question first. My sense is that by Q4 of next year, we should reach the run rate of how the business was performing a couple of years back. Coming to the first part of the question, we are seeing some recovery in the industry.
The headwinds are not as strong. And additionally, we have also been able to add new customers.
And we are also preparing to launch some newer grades in the market. And with expansion of product portfolio and higher customer reach, we expect the volume and margin recovery.

Prolin Nandu: Sure. So, by Q4, FY ‘26, we should be tracking a run rate on revenue as well as margins of what we did in FY ‘22. Is that correct?
Raj Gupta: I would not comment on the revenue because, again, I mean, there is some kind of relation between the raw material prices and realization. But EBITDA, for sure, we are confident that we should be reaching somewhere around at least INR 80-90 crores, if not more (the quarterly run rate).
Prolin Nandu: That's great. Thank you so much, Raj. I'll join back the queue. All the best.
Moderator: Thank you. Next question comes from the line of Krishan Parwani with JM Financial. Please go ahead.
Krishan Parwani: Hi, sir. Thank you for taking my question. So firstly, on Carbon Black , just on the destocking bit, do we not work on just -in-time model given high correlation with the crude?
Raj Gupta: No. So , the way we work, see, a good part of our volume , still go to tyre customers , around 60%.
And there we kind of forecast our demand one quarter in advance. And basis that, we do our procurement, our production planning and everything. But two things happened in last quarter.
One, crude prices came down by about $5-6, and the customers know that if they defer part of

their procurement to the subsequent quarter (with formula price working), they will tend to get that material at a lower cost . And second, some of the overseas customers, because of balance sheet consideration, etc., they also do it just to show better capital efficiency on their books

Krishan Parwani: Okay. Fair enough. And so, given the current scenario, by when do we expect to achieve, let's say, 160- 170 KT, a kind of quarterly sales volume in Carbon Black business?
Raj Gupta: My sense is that maybe by fourth quarter of next year. But for that, we would require our capacities to be ready because currently we can only go up to maybe 156 -157KT based on our current capacity. So, this TN lines have to come up.
Krishan Parwani: Okay. So that means even though the volumes have been declining for last 2 quarters, we will still continue with the capacity additions, correct?
Raj Gupta: Even in the last quarter, we were at 90% capacity utilization. So, we don't have any capacity cushion now, Krishan. We're very close to full capacity.
Krishan Parwani: So, okay. And last bit on Carbon Black . So, this lower part sales is by any chance accounted in the INR20 per kg EBITDA that you reported for Carbon Black or is it not?
Raj Gupta: Yes, operating leverage has played its ro

le. It is partly operating leverage and partly also the product mix.
Krishan Parwani: And secondly, on the Aquapharm , can you please give other income number for this quarter previous and 1Q ‘25?

Raj Gupta: Aquapharm doesn't have much other income. They just have about INR1 crore a quarter, INR1 crore a month, INR2 crores to INR3 crore s every quarter.
Krishan Parwani: So, in that case, so last quarter, if I see depreciation, I think it was closer to INR 30-odd crores. I think this quarter depreciation closer to INR 40-odd crores. So, what's the jump on account of?
Raj Gupta: Aquapharm depreciation has been almost kind of equal. I mean, INR1 -2 crore s here and there.
Krishan Parwani: I'm referring to, let's say, last quarter INR 20 crore s we had reported in the press release and this quarter is about INR 11 crore s. And last quarter in the presentation, we had EBITDA of INR50 crore s and this quarter we reported EBIT DA of INR51 crore s. So, I'm just deducting that. That's why I'm asking where's the disconnect?
Raj Gupta: No sorry. Will you please repeat your question? You're saying the difference between EBITDA and PBT?
Krishan Parwani: Difference between EBITDA and EBIT?
Raj Gupta: No, it is same, I guess. Where did you get EBIT numbers?
Krishan Parwani: In your press release?
Raj Gupta: No, we have not mentioned any EBIT numbers. You may have looked at the segmental numbers, but there are some adjustments also in that. We'll look at those numbers and explain it to you, Krishnan. But the numbers are consistent. There has not been any change from last quarter.
Krishan Parwani: Okay, so depreciation is INR 30 crores or INR 40 crores?
Raj Gupta: It is more or less similar. No, there would not be a INR 10 crore difference in the depreciation. But also, what has happened is during the quarter, the merger has happened between the acquisition vehicle and Aquapharm . So, some items might have got created because of this merger thing. Let us look into that and we will revert on this to you.
Krishan Parwani: Okay, and just last bit, if I may. In the absence of the amortization of the goodwill that is written off, let's say that is impaired. So, I think amortization number should go down. That means EBIT number should look up, right, going forward?
Raj Gupta: No Krishnan. So, this impairment is of the non -core goodwill. Goodwill in any case was not getting impaired . Whatever goodwill is there on the books is going to remain there , as long as our profit projections do not change . And we don't see any change in profit projections. S o whatever exceptional items you see in this quarter's financial report, that is because of the merger. This is the merger accounting.
And you will see that impairment is backed by an equal amount of deferred tax liability right back. So , as such exceptional transactions are not impacting our current quarters or current year's profitability. So, this is profit neutral (all these adjustments).

Krishan Parwani: Okay, no problem, sir. Thank you so much for patiently answering my question. Wish you all the best.
Moderator: Thank you. Next question comes from the line of Bharat Sheth with Quest Investment. Please

go ahead.
Bharat Sheth: Hi Raj, thanks for the opportunity. Russian Carbon Black are also coming to India since they have discontinued to Europe. So , some are going to China and even India also is getting a lot of import from Russia. Is that happening and how that is affecting the domestic market?
Raj Gupta: So, Russia because they are not able to sell it in Europe, they are selling mostly in Asia now. And that is impacting our margins. But mostly they are selling in spot market to small consumers. None of the large tyre companies are buying from Russia as tyre compa

nies are also
exporters in global market and if they buy directly from Russia, then it might attract some kind of sanction from US. So in our earlier commentary also we have been mentioning that this restriction on Russia is not only creating positive side benefits for us, but it also has a negative side. It is also kind of impacting our margins. In some of the customer segments, especially the smaller ones , our margins are getting impacted because of Russian imports .
Bharat Sheth: Is it possible to quantify something?
Raj Gupta: It is not significant. India is importing just around 100,000 tons every year and about 30% of that is from Russia. It is not significant. But even to whatever extent they are selling (1,500-2,000 tons on an average monthly), to that extent there is some impact which we have to bear.
Bharat Sheth: And second thing on this, our export since has increased. So, can you quantify how much export is in dollar currency?
Raj Gupta: Our sales is mostly in dollar terms. So about 95% of our international sales is contracted in dollar terms. Even when we are selling in Europe, our underlying contracts are in dollars. So , a very small portion of our sales, 4 -5% is in non- dollar terms.
Bharat Sheth: Okay. So, do you think that in coming quarters, I mean with rupee depreciation, we will have some kind of a benefit on account of that?
Raj Gupta: We are also importeing . Most of our raw material also comes in dollar terms . The contracts are in dollars. So, as such, we don't get benefit or get negatively impacted because of movement in currency as long as we keep our position hedged. And our policy is to keep our currency exposure fully hedged.
Bharat Sheth: And coming to the speciality side of the Carbon Black, can you give a little more color, how much new product has been added during these 9 months and how many customers?
Raj Gupta: Last year, we did a total sales volume of 57,000 tons around that. And this year, we have visibility of somewhere around 63,000- 64,000 tons on a full year basis. So, this is more or less in line with our earlier guidance to the market.

And every year, we are adding newer lines. So , like last-to-last year, we added one line. And then recently also we commissioned one more line. And with all the new lines, we are getting into newer applications. So, it is not only vertical volume growth for us, it is also expansion of portfolio, which we are achieving through these new lines.
Bharat Sheth: And these new applications are more profitable or more value accretive for us?
Raj Gupta: We are actually moving up the value chain, even in the specialty portfolio. So gradually, one year is not the right period to measure the improvement in contribution. But over the next 2 -4 years' time, we expect decent margin growth in the segment.
Bharat Sheth: And any color , how much are net borrowing vis -a-vis quarter , Q2 to this quarter? Gross borrowing and net borrowing?
Raj Gupta: Our net borrowing has gone up roughly by about INR 98 odd crores in this quarter.
Bharat Sheth: So, this is largely on account of what?
Raj Gupta: This is largely on account of some extra inventory that got accumulated.
Bharat Sheth: Thank you and all the best.
Moderator: Thank you. Next question comes from the line of Nishant Gupta with Minerva Global Capital. Please go ahead.
Nishant Gupta: Thank you for the opportunity. So, the first question is, what kind of a debt -equity level we can see going forward since the finance cost is affecting the bottom line?
Raj Gupta: Nishant, we have fairly high visibility around increase in our earnings. Year -on-year profitability would go up. Last year, we had a debt -to-EBITDA of about roughly 4.5 . By this year end, we should be somewhere around 3.3- 3.4. And a year from now, we should be below 3 for sure

.
Now, where we are comfortable? We are not comfortable with long term debt in our books. So , over a period of time, once we are through with our expansion, we would pare off debt. So, maybe not in next 5 years, because next 5 years are going to be a kind of high growth period for us (significant growth we are going to achieve in these 5 years).
So, we'll do capex and there will also be some investments. But maybe over a period of next 7 -

8 years, you will see reduction in absolute debt also.
Nishant Gupta: Got it, sir. Thank you. Sir my next question is, sorry if you clarified this on previous conference calls around the nano silicon, the JV, which we have done. So, what kind of commercial operations commencement date are we kind of looking at and what kind of market and revenue are we looking from that particular segment?

Raj Gupta: Currently, we are putting up a pilot plant , which will be mostly for sampling. Once we stabilize the product in the pilot facility, we are going to put up a proper commercial plant of 2, 000 tons. Now, this 2,000 tons, based on our back of the envelope calculation , should give us somewhere around INR1,700-1,800 crore s kind of a top line and roughly about INR 800-900 crore s kind of EBITDA. That's how we are seeing it.
Nishant Gupta: Got it, sir. Any tentative timeline by when this proper plant will be coming up?
Raj Gupta: Our sense is by 2027 we should have this plant ready and running. And by , maybe somewhere between FY28 and FY29, we should be able to fully utilize this capacity.
Nishant Gupta: Got it, sir. And the $ 44 million which you mentioned in the previous PPT, that would be sufficient to fund this proper plant?
Raj Gupta: Yes, so this is not capex heavy. We expect to incur just about $20-25 million on this capacity.
Nishant Gupta: Got it, sir. Thank you and all the best.
Moderator: Thank you. Next question comes from the line of Rajesh Jain with RK Capital. Please go ahead.
Rajesh Jain: Hello, sir. I have two questions. What will be the interest cost trajectory over the next 4-8 quarters? Will the interest cost remain elevated such that the major part of the growth in revenue and EBITDA will be eaten up by the interest and even the employee costs? And when will the PAT growth start becoming visible?
Raj Gupta: PAT growth will be visible from next year itself. Last year, we did not have this interest cost and also the amortization. So, this is setting a new base (this year's expense structure). And in terms of absolute reduction in finance costs, the interest rates generally are coming down. And also, when we acquired Aquapharm , we also borrowed money for this acquisition. And acquisition money typically comes at a premium , doesn't come at the normal cost. Now, gradually, that acquisition borrowing is getting repaid. While our overall borrowing may not go down, but we are utilizing our cash flows first to repay the acquisition debt. And consequently, the weighted average cost of borrowing would also come down.
We expect overall borrowing cost to go down. My sense is that borrowing cost should go down by at least 3 -4% in absolute terms. So, currently, we have about INR 120 crore s quarterly run rate. Maybe we can see INR5 -7 crores kind of quarterly reduction going forward
Rajesh Jain: That will be from as soon as the next quarter or 3-4 quarters down the line?
Raj Gupta: Next quarter also will have some reduction because there is some repayment which will start happening. Actually, we have already started repaying , but a big chunk of repayment would happen in January. And therefore, that impact will be there. It may not be INR 5 - 6 crores in this quarter, but it will be there. And from first quarter of next year onwards , gradually, you will see reduction in overall finance costs.

Rajesh Jain: Okay. And sir , are you seeing a noticeable slowdown in Europe economy and the auto sector? And do you see the risk of an impact on your Carbon Black exports to Europe?
Raj Gupta: Not really. So, first of all, the commentary from tyre and auto industry in Europe is not negative. Historically, they had been growing at about 1- 1.5% and for CY ‘25 also, their commentary remains similar to that. Both US and Europe, the commentary is positive. It is not negative.
Second, while our absolute volume in Europe has gone up , , it is still very insignificant portion of their overall requirement. And it is unlikely that they are going to restore their relationship with Russian suppliers soon. So, our share in European market is going to go up from the current level
Rajesh Jain: And so, in your EBITDA or in your PBT, how much impact do you see of the container freight rates increase due to the Red Sea and other issues?
Raj Gupta: Actually, container freight rates have started softening since last quarter. There was a spike in 2 nd quarter, but last 2-3 months, we are seeing some downward trend. The situation is coming back to normalization.
Rajesh Jain: So, you are hopeful of returning to baseline or no impact, basically?
Raj Gupta: If not baseline, at least, it will not remain as elevated as it was in July or August.

Rajesh Jain: And so, to my first question, when you said that the PAT growth will start becoming visible year-on-year from next year. So, next year, does it mean like 4 quarters down the line? I mean, what exactly do you mean by next year?
Raj Gupta: No, I am saying that. See what happened this year, last year, we did not have borrowing. And consequently, the difference between EBITDA and PBT was very small. But this year, because of acquisition borrowing coming in, interest and amortization is eating into our EBITDA.
So, current year's performance has set a lower base. And on this base, next year onwards, from the first quarter itself, you will start seeing improving numbers.
Rajesh Jain: Okay. That is from the June quarter.
Raj Gupta: Just to put it in perspective, if you look at our EBITDA, that has grown significantly from last year. Even in the first 3 quarters, our EBITDA has grown by over 40%. So, overall, operational performance has gone up. But because interest and amortization has eaten into this profitability, therefore, bottom line reflection is lower.
Rajesh Jain: Okay. That is all from my side. Thank you.
Moderator: Thank you. On behalf of PCBL Chemical Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

5th May, 2025

The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001
NSE Code : - PCBL BSE Code : - 506590
Dear Sir,

Sub: - Q4 FY 25 Earnings Conference Call – Transcript

Further to our letters dated 24th April , 2025 and 29th April , 2025, please find enclosed herewith the transcript of the Q 4 FY'25 Earnings Conference Call held on Tues day, 29th April , 2025 at 17: 00 hrs India Time, for the quarter and financial year ended 31st March , 2025. This information will also be hosted on the Company's website and can be accessed at the link:
https://www.pcblltd.com/investor -relation/financials/investor -presentation .
We request you to please take the afore- mentioned information in record and oblige.
Thanking you, Yours faithfully,
For PCBL CHEMICAL LIMITED

K Mukherjee
Company Secretary and Chief Legal Officer

Enclo : As Above

"PCBL Chemical Limited Q4 FY '25 Earnings
Conference Call"

April 2 9, 2025

M
ANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR , PCBL
CHEMICAL LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER , PCBL
CHEMICAL LIMITED
MR. ANAND KUMAR – GROUP HEAD, INVESTOR
RELATIONS
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS
MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the P CBL Chemical Limited Q4 FY '25
Earnin gs Conference Call hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an

opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '* ', then ' 0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjesh Jain. Thank you and over to you, s ir.

Sanjesh Jain: Thank you. Good afternoon, everyone. Thank you for joining on for PC BL Chemical Limited Q4 FY '25 R esults Conference Call.

We have P CBL Management on the call represented by Mr. Kaushik Roy - Managing Director ; Mr. Raj Gupta - Chief Financial Officer ; Mr. Anand Kumar - Group Head , Investor Relations ; Mr. Pankaj Kedia - Vice President, Investor Relations.

I will request Kaushik s ir to open the call with his initial remark post which we will have a Q&A session . Over to you, sir.

Kaushik Roy : Thank you so much. Very good evening to all of you.

I would like to extend a very warm welcome to each one of you for joining this call today to discuss Q4 and FY '25 of PCBL Chemical Limited. I hope you have already gone through the investor presentation and the financial results which we have already uploaded on the Stock Exchange and I am honestly thankf ul to all of you for taking your time to join us today in this call.

Now, coming to last quarter and this year :

I am happy to inform that in the whole year, P CBL Chemical has reported its best ever operational performance and highest ever EBITDA, highest ever C arbon Black sales as well as Specialty Black sales . And in addit ion to that, power sales volume was also the highest in the history of P CBL . And the other milestone which we have achieved is we have achieved in FY '25 a revenue of $1 billion plus.

As you all know, over the last few years, we have diversified beyond carbon chemistry into new fields within the chemical sector and this growth, both organic and through strategic acquisition and partnership ha ve brought us to a pivotal moment. We have broadened our capabilities to pioneer advanced solutions for our customers globally.

Our quest to diversify from a pureplay Carbon Black producer led to the acquisition of Aqua pharm chemical , which you are fully aware of in early 2024. As you know, Aquapharm is a leading S pecialty Chemical player focusing on water treatment, detergent and oil and gas

 chemicals. This particular acquisition provided us with access to an export -oriented Specialty Chemical platform and FY25 was the first full year of operation for Aqua pharm p ost integration.

FY '25 was a bit challenging year for Aquapharm . The business scenario , the business environment was weak, there were sharp corrections in the yellow phosphorus crisis resulted in a soft performance. Phosphonates have a huge opportunity, given Aquapharm's global leadership position. Raw material prices of Phosphonates have now stabilized, which would be beneficial for us going forward. We have strengthened management capabilities. There were some gaps in that area and created a revamped organizational structure in Aquapharm . We expect a very strong improvement in both operational a nd financial performance in Aquapharm in this financial year, which is FY '2 6. The steps taken to improve cost and operational efficiency measures , value added product launches and strengthening of sales teams in the USA and Europe has set a strong foundation for the next leg of growth in Aqua pharm in coming years.

In oil and gas chemicals, A quapharm

has less than 1% of global share and we are working on strategies to increase our customer base presence in multiple geographies, increasing capacity and supply chain capabilities. In the United States, oil and g as chemical opportunity is large considering Mr. Trump's new policies focusing more on increased oil production.

Keeping all these things in mind, we have also gone ahead with expansion projects which are on track and nearing commissioning. This would help us to accelerate the sales volume growth in coming years. We are also evaluating Brown field capex across all manufacturing locations in India as well as in USA. Within Aquapharm, Green Chelates is another segment where we see strong growth opportunity with push towards biodegradable c helating agents in USA and Europe as well as in China and India. We are therefore w orking on expanding the portfolio of G reen Chelates b y using our R&D capability. We have already developed M GDA and GLDA liquid and are now working on MG DA granules.

Now coming to the Carbon Black side, w e are in the process of acquiring 116 acres of land in Naidu peta, Andhra Pradesh for our 6th manufacturing unit. This new facility will primarily focus on rubber black as well as performance and specialty chemicals. This land can eventually accommodate 4,50,000 MTPA of additional capacity. Capex at this site is expected to commence in a year and construction to take 18 months thereafter. The proposed Greenfield plant under PCBL, Tamil Nadu, has significant tax advantage as earnings would be subject to a lower tax rate of 17.2%.

We are also participating in a fast -growing battery chemicals market through Nano vace Technologies. We intend to manufacture nano-silicon, which is to be used in anodes of lithium - ion batteries. It brings significant benefits like extended battery range, longer battery life, faster charging and reduction in CO_2 emission, a t the same time it is cost effective. The pilot plant currently is under construction in our Palej plant and should be ready in the next few months' time.

PCBL has also signed technology transfer agreement with a Chinese Company for Acetylene Black capacity, which finds application in high voltage cable , batteries , semiconductor , packaging, conductive plastics, paints and coatings. Global demand for Acetylene Black is approximately 70,000 MTPA with 90% of suppl ies coming from China. We plan to set up an initial capacity of 5000 MTPA by FY '2 7 at Mundra . We are witnessing strong interest from across value chain partners for this.

FY '25 was the 1st full year operation for our new Greenfield C B facility of 1,47,000 MTPA in Tamil Nadu. We have already announced Brownfield expansion of 90,000 MT in two phases in Chennai, Tamil Nadu . The first phase 30,000 metric ton will be commissioned in a few weeks' time and the second phase of 60,000 metric ton along with 12 MW green power by FY '26 end. We aim to cross 1 million tons capacity in Carbon Black by FY '28.

PCBL anticipates continuous growth in the international market over the next few years , driven by expansion into new geographies, strategic investments in supply chain capabilities, moving up the value chain and the launch of new specialty grades.

The capacity growth in EU and USA has been stagnant and Russian CB is banned by the European Union. In the process, PCBL is gaining market share in both EU and USA.

Tyre industry growth outlook , both in India as well as at global industry level continues to remain positive. With EV penetration rising across two -wheeler s and passenger vehicles, we expect replacement demand to remain steady and positive.

The demand for S pecialty grade Carbon Black continues to be resilient. Since , FY17 -18, PC BL has increased its focus on developing grades , which can be used in these prod

ucts, leading to a
corresponding increase in margins , significant increase in share of Specialty Black volume from 1% in FY '15 to 11% in FY '25. PCBL added 20,000 MTPA Specialty Black capacity in Mundra in FY '25 , taking the total S pecialty Black capacity to 1,12,000 MTPA .

We also plan to set up 1 ,000 MTPA Specialty Black capacity dedicated to superconductive grades, where margins are obviously extremely high and is expected to be completed by the end of FY '26.

Over the last few years, the Company deepened its research commitment, comprising forward - looking investment in infrastructure , people and process, resulting in empowerment of the Company with proven capabilities in product, application, process efficiency and product customization.

Now, I will come to a quarterly performance of P CBL Chemical Limited. But before that, just to give you a flavor of how we are looking at the business and what the philosophy of the Company is. Broadly, if you look at PCBL , it has got 3 major baskets or verticals of business ,
one is relating to R ubber Black , the second one is relating to Specialty Black , Specialty

Chemical, along with new initiatives and the third one is Aquapharm which is beyond carbon chemistry. When you talk about the R ubber Black, which is our foundation today, w e started with Rubber Black in a big way and we are a leader in India and we continue to grow globally. The growth journey continues and therefore as you know we have already added 5th plant in Chennai and we are working on the 6th plant in Andhra Pradesh. The focus will remain there. We will keep growing in that area both in India as wel l as globally.

Let me come to the second bucket where we are talking about S pecialty Black, where the journey started in 2014 and today , we have reached the position of 4th largest player globally. Along with Specialty, we have also started focusing on things like Nanov ace which you are aware of nano- silicon technology. Acetylene Black, just now I talked about , we are looking at superconductive which will be commissioned very soon. This is another big bucket for us.

And the third one is about Aquapharm . It was the first year of operation , last financial year and we moved from a promoter driven organization to a professionally managed organization. So, it was important to create the right kind of foundation and we have taken all those actions to ensure the organizational structure is in place and it will eventually reflect in the performance and we are very confident that in this financial year, we will be seeing a substantial improvement in

Aquapharm 's performance also . So, the focus remains on all the three verticals , Rubber Black related, Specialty plus new initiatives driven by R&D and innovation and third one is about Aquapharm which is phosphorus -based chemistry moving away from carbon chemistry.
Let me now talk about the quarterly performance;
During the quarte r, our consolidated sales volume in Carbon Black business increased by over 5.3% year-on-year to 1,50,152 MT . This translates into a capacity utilization of over 95% during the quarter. Consolidated revenue from operations increased by 8.2% to Rs. 2,087 crore s on the back of higher sales volume and revenue from Aquapharm Chemicals.
Consolidated EBITDA reduced by around 4.5% year-on-year to Rs. 317 crore s. PBT stood at Rs. 126 crore s, while PAT stood at Rs. 100 crore s. EBITDA per metric ton in Carbon Black business stood at Rs. 17,655.
Of the total Carbon B lack sales volume, domestic sales volume s tood at 86 ,737 MT, while international sales volume stood at 63, 415 MT. Export sales volume registered a strong year-on-year growth of 16.8% in Q4 FY '25 .
Moving on to our segmental performance :
Tyre accounted for 90,080 MT , Performance Chemical reported sales volume of

44,700 MT,
while Specialty sales volume was 15,372 MT . We continue to expand our product portfolio and customer base across all segments.
 Aquapharm Ch emicals reported a steady performance during the quarter. Q4 FY '25 revenue stood at Rs. 372 crores with an EBITDA of Rs. 51 crores . The quarterly sales volume stood at 24,098 metric ton.
Coming to the yearly performance :
Consolidated revenue from operations increased by over 30.9% year -on-year to Rs. 8,404 crore s from Rs. 6,420 crores in FY '24. Sales volume increased by around 12.1% year -on-year to 5,96,262 MT in FY '25 . The c onsolidated EBITDA for FY '25 was up by 28.8% year-on-year to Rs. 1,384 crore s from Rs. 1,074 crore s in the previous year.
During this time, we also achieved the highest ever power generation and sales volume during the year. Power generation increased by 10% from 671 MUs in FY '24 to 738MUs during the year, with an external sales volume growing by about 7% to 436 MUs as against 408 MUs in FY '24. Aquapharm reported revenue of Rs. 1,420 crore and EBITDA of Rs. 193 crores in FY '25.
Now, turning to the macro environment :
We are assessing the current development in the USA . As such, the economies are not really doing too great as all of you know , USA is not showing great signs of improvement in economy. Europe is going almost flat. China is also a little bit down. India is the brightest spot at this point of time, so that is good news for all of us. But at the same time, a certain amount of uncertainties has been generated recently because of the tariff issue which got created recently. We are watching out for the situation. We beli eve that possibly once the dust settled down a bit , things will be sorte d out. India might have an advantage over others and hopefully that will reflect on our Company as well.
India' s Specialty Chemical manufacturers may gain some share in USA because of this tariff issue. We are not sure about the basic Carbon Black, the Rubber Black, whether that opportunity is there or not, but S pecialty for sure, there is an opportunity. We might also see some benefit coming to the Aquapharm as we go along. Currently, the carbon black exposure to USA market is about 5% for PC BL. CB Exports to the USA would be exempted from a tariff for the portion of raw material, which is procured from the USA , which is approximately 75%.
At PCBL Chemical, we continue to work on portfolio expansion and capacity additions across all business verticals and increasing allocation of resources towards strengthening our supply chain, improving the product mix and optimization of cost. T he long-term prospects of all the business segments remain positive and we are on track to achieving our mid and long -term growth targets. All this achievement underscores our strong position within the industry and highlights the progress we have made in global S pecialty Chemical space. PCBL has successfully set a strong foundation for its growth journey upwards. And with this, I would like to conclude and the floor is open for your questions, please. Thank you so much.
 Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aditya K hetan from S MIFS Institutional Equities. Please go ahead.

Aditya Khetan : Thank you sir, for the opportunity and for the detailed understanding on the business. Sir, my first question is on to the outlook for the Carbon Black. I believe, s ir, in the domestic market in FY '2 6 like most of the auto OEMs have guided for a muted set of growth. Even in the T yre segment also, the growth would be largely in the lower single digit. So, demand seems to be muted for carbon black in domestic. In times of this muted dema

nd, are we able to compensate for the loss in volumes in domestic in the export market and how the trend in spreads generally takes up like when the demand is muted? Any thoughts on this , sir?

Kaushik Roy : Yes, you are right . In a way , Indian demand at this point of time for A uto and T yre is naturally not very strong as you rightly said. And therefore, the Carbon Black demand in India will not be very strong, though there is a decent amount of demand, which will be there . And what is our plan is that while maintaining the leadership position in India, we will be focusing more on the international market. And our presence, as you will see going forward, will grow further . Just to give an example , about 10 years back, our international sales were around 80,000 MT in a year and already last year we have crossed 2 ,40,000 MT. So, we will keep focusing on the international market and keep growing further in the international market. You are absolutely right, while India might be a little soft at this point of time, but we will be growing more in the international market.

Aditya Khetan : Got it. S ir, on to the international markets , it is rightly understandable that EU and USA, these are the two markets where we would be witnessing volume growth . Sir, in terms of number, if you can put , although we know that the ban by Europe on Russia has led to a supply g ap of almost around 6,00,000- 7,00,000 MT of Carbon Black volume. How much of that is compensated by China and India and what is the wallet share like if you can highlight by Indian players like especially for PC BL, how much we have reached the penetration and how much more room is there, sir ?

Kaushik Roy : Yes, you are right . In Asia , naturally, our wallet share is quite high, but when you look at Europe and the USA , our wallet share is in single digit and therefore the headroom is quite large for us and we see that as an opportunity to grow both in EU and USA. And to be honest, we are putting up capacity that is the primary reason , 90,000 MT we are adding in this year , in Tamil Nadu and again in parallel almost we are initiating the project activities of Andhra plant. So, keeping that in mind, we are going ahead .

Aditya Khetan : Got it. Sir, o nto the Aqua pharm, this quarter, definitely there was a good upturn in terms of volumes and per kilo realizations, any sort of change like which has happened compared to last quarter and we could see this trend to be materially on the higher side. Any sort of a demand uptake in international markets for Phosphonates? Anything has changed if you can highlight that?

Kaushik Roy : Yes, sure. I think I mentioned that there is a lot of opportunity for Aquapharm to grow in the field of oil and gas chemical industry, which is a very large one and our share is just about a couple of percentage. So, there is a huge amount of growth opportunity there, huge amount of headroom is there. It is the question of penetrating the market, penetrating the customer and expanding the geography and making the right set of products which is technically reached and precisely that is what we are doing. We had issues in terms of lack of skill, lack of leadership which now we have corrected and therefore, we have already started seeing in the last quarter there is improvement and going forward you will be seeing further improvement in Aqua pharm 's operation. And there is also a lot of focus on better cost management, more efficiency in procurement and all other functions as well. So, on one side, we are focusing on sales, closely working with customers, expanding geographies , and expanding product portfolio. On the other hand, we are focusing on operations to improve costs . So, the combination of these two have reflected already in the last quarter. Going forward, it will be even

more prominent.

Aditya Khetan : Got it. And s ir, the guidance of 15-20% volume growth in Aquapharm that will be maintained ? And sir secondly, in FY '25 the EBITDA was Rs. 194 crores for Aqua pharm . This includes the other income also .

Raj Gupta: Yes, it does.

Aditya Khetan : So, sir, how much would that be in this Rs. 194 crore EBITDA ?

Raj Gupta: Other income was Rs. 11 crores .

Aditya Khetan : Sir, for full fis cal FY '25?

Raj Gupta: Yes.

Aditya Khetan : Sir, just one outlook on the debt side . Sir, this quarter we have witnessed some decline in the finance cost. I believe, s ir, like we were also doing the Capex of around Rs. 5,000-6,000 crores

and the cash flow which we would be generating largely would be used for that expansion going ahead . Alongside sir, are we also focusing on reducing the debt? If yes, s ir, what is the guidance
for debt in FY '26 and ‘27?
Raj Gupta: Absolute debt level may not go down significantly from the current level unless crude goes down
from here. We would be generating good cash flow, but we also have a Capex pipeline , not Rs.
5,000-6,000 crores , but in the next 5 years , we will be spending around Rs. 3,500 crores . So, on
average, about Rs. 700 crore every year will be the Capex run rate and consequently , absolute
debt may not go down significantly from the current level. Interest rates have started cooling off
a small reflection of which is there in our Q uarter 4 finance costs . We believe that next year,
with more interest rate cuts expected , our interest costs should go down.
Moderator : Thank you. The next question is from the line of Angad Saluja from UBS Securities India. Please
go ahead.
 Angad Saluja : Hi, sir. Thank you for taking my question. T he first one on realizations for the Carbon Black
business for the quarter, I think we have seen a decline now for two consecutive quarters in
realizations and obviously now with crude also being slightly volatile in the last one odd m onth.
How do you see the realization shaping up for the next quarter and the year ahead, like what is
your outlook on realization specific ally?
Raj Gupta: So, this quarter , realization should be mostly flat, small uptick , small improvement because there
is quarter lag between the movement in crude prices and change in our realization. So, in the
first quarter, we would see marginal improvement in realization, but then realization should not
be seen as a reflection of change in margins. It is more reflective of the movement in raw material
prices, which is linked to crude. But margin s would depend on product portfolio and also broader
demand supply situation in the industry.
Angad Saluja : Got it. And s ir, just going back to that you have said product mix will drive more margins , I
think in the quarter we have seen that despite Specialty Black sort of doing better, I think almost
9% Y-o-Y growth overall and the full year as well , our margins for Q4 have di pped Q-o-Q as
well as Y-o-Y, so any specific reason , any one-off or anything that we should know about?
Raj Gupta: Specialty still is about 10% of our total volume, right. So, while year-on-year S pecialty volumes
are going up in terms of percentage, its weight on the overall sales volume is still very small.
Coming to the reason behind drop in prices, Russia, which earlier used to sell in Europe mostly,
now because of ban, is pushing more material in Asia and India a nd they are selling at
unrealistically low prices . And consequently, with our focus on capacity utilization, we also have
to play a bit on pricing , which is reflected in the drop in margins in the current quarter . But with
all the work that we are doing on portfolio building , on efficiency improvement and also with
higher volumes operating leverage would be favorable for us. We believe that from 4–5 year
perspective, we would be largely on track with our guidance of Rs. 25,000 EBITDA /MT.
Angad Saluja : Got it. Thank you. That is it.
Moderator : Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities Limited.
Please go ahead.
Sanjesh Jain: Good afternoon and thanks for taking my question. First, touching upon the Aquapharm, i n this
quarter , EBITDA because if I take Rs. 194 crores for the full year, it appears that we have done
only Rs. 38 crores for this quarter while the earlier run rate was Rs. 50 crores o n a much higher
volume, much higher revenue, anything which has one -off or anything which has happened in
the EBITDA margin for this quarter ?
Raj Gupta: EBITDA for the quarter is Rs. 51 crores. I don't know where you ar e getting Rs. 38 crores.
Sanjesh Jain: Because you have disclosed Rs. 194 crores for the full year ?
Raj Gupta: Yes, Rs. 194 is for the full year, you are right .
 Sanjesh Jain: So, in the first 9 months, what we have disclosed is Rs. 156 crores , so Rs. 194 minus Rs. 196 is
Rs. 38.
Raj Gupta: The EBITDA , Rs. 194 crore s that we are talking , is the reported EBITDA and in the 1st 3
quarters, we were mostly talking about operational EBITDA . This year also , there are some
expenses which are being incurred on the consulting side like BCG and McKinsey and when we
report numbers , those expenses also become part of our operating expenses and consequently
our reported EBITDA comes down.
Sanjesh Jain: Right.
Raj Gupta: So, like to like basis , 4th Quarter is better than the 1st 3 quarters and 4th Quarter is still only a

small reflection of the improvement which is now happening in the business. A good reflection of it will be from the current year , 1st quarter itself of the current year.
Sanjesh Jain: Got it. That is on it, but how do we see this Rs. 194 crores going? Because that consulting fee and all will be done in FY '25, s o from a repor ted basis, where should we see EBITDA for FY '26?
Raj Gupta: So, the business with its capacity has potential, i t did perform Rs. 400 crores plus EBITDA 2 years back and w e strongly believe that now with more capacity addition and more & more product launches and a better portfolio, we can further improve from there. It will take a couple of years ' time to maybe cross that Rs. 400 crores . But this year itself, we believe we can do 40 - 50% better performance.
Sanjesh Jain: Fair enough. Now coming back to the Carbon Black , again, there is a drop in EBITDA sequentially. Any particular reason you are seeing pressure on the premiums which we were earning or the product mix because the Specialty mix has remained fairly stable. So, what is driving this drop in EBITDA per kg in the Carbon Black business?
Raj Gupta: Fourth quarter was kind of an uncertain quarter from global economic point of view . Post this Presidency election in USA, there was an indication that there would be some tariffs which will be lev ied on trade partners of USA and consequently, lot of our customers wanted to reduce inventory, n ot knowing as to how it is going to impact them . And therefore , the market demand was sluggish generally. Also, Russia , last 2 quarters has started dumping in India and in some of the Asian countries and they are sellin g it at almost $200 lower prices. Now, we want to keep our capacity utilization high and therefore we still booked some volumes which were not at our usual margins .
Sanjesh Jain: And the Russia dumping continues because I don't see why it will not because they need to somehow place their around 0.7 million of capacity somewhere in the market and the market opens up in India and China, which are larger market which can absorb this. This situation is unlikely to change, right?

Raj Gupta: Yes. Possibly , it will continue with this. We will have to find new markets and customers, which is precisely what we are focusing on.
Sanjesh Jain: So, when we say Rs. 25/Kg EBITDA in next 3-4 years in such a scenario , can you help us understand the bridge, how we really want to transform this from Rs. 17-18/ KG EBITDA to a Rs. 25/ Kg EBITDA ?
Raj Gupta: Sanjesh, the operating leverage itself is going to play a big role . For every 10,000 tons incremental sales volume at the current gross margin that we make, it will be adding about Rs. 400 per ton to the whole portfolio at EBITDA level.
Sanjesh Jain: But we are already using 95% utilization, right? How are we going to add that volume?
Raj Gupta: Yes, b ut we are adding capacity of 90,000 MT. The capacity is going to come in a year's time, 30,000 MT of which is almost ready . And then in a year's time, we will have more Brownfield and then eventually a Greenfield in Andhra Pradesh.
Sanjesh Jain: And Greenfield you are not going to add that much?
Raj Gupta: No. Greenfield will also add because the head office expenses are not duplicated, right , so they remain more or less stable . Maybe the operating leverage will be a little less there, but we will still have operating leverage. And this Rs. 400/MT is at 10,000 MT additional volume. We still have cushions even with the Brownfield expansion, which is in pipeline , to add Rs. 4,000 from operating leverage, but I am not saying that our operating cost structure would remain the same. So maybe half of that is about Rs. 2,000 -2,500 is going to come against this 90,000MT capacity itself and then the product portfolio is also changing . For every incremental 1000 tons of Specialty sales , our blended EBITDA improves by about Rs. 60-70 and every year , we can add between 7 ,000- 10,000 MT additional Specialty volume. Also in S pecialty, we are moving up the value chain . Our M D, Mr. Roy, has just mentioned about 1000-ton superconductive capacity. Now, here the margin profile is likely to be $10,000+ as against our current $400 average gross margin. So, the margin profile in the new product lines will be very different from the conventional products that we have in the portfolio. And add to that the work that we have been doing on the yield side , which still has sufficient cushion . We are not the best manufacturer even now. So, when we are talking about Rs 25,000/MT , we are not saying that at that level , we will get saturated . That is just our next 5-year target , maybe we will do better.
Sanjesh Jain: Got it. But any example, is any operator in the Carbon Black doing Rs. 25/Kg EBITDA ?
Raj Gupta: Rs. 25/Kg EBITDA, it will be difficult because different countries have different cost structures , but at a gross margin level , there are certainly companies which have at least Rs. 7,000-8,000 better margins than us.
Sanjesh Jain: Fair enough. Just last question from my side . This Acetylene Black , what we are trying to do,

the Specialty , the raw material will come from China and the capacity which we are putting , the
 technology is also coming from China. Is that fair understanding and how much more profitable is this product from the EBITDA per kg perspective?
Raj Gupta: Your understanding is correct , with respect to the technology and the raw material and what we are seeing in India, India currently imports about 2000 tons of Acetylene B lack and it is sold at around $4,000 -5,000 a ton an d with $ 800-1,200 kind of margin per ton.
Sanjesh Jain: Which is almost 3 x what we do ?
Raj Gupta: Yes.
Sanjesh Jain: Fair enough. That is it from my side. Thanks for taking all those questions and best of luck for the coming quarters .
Raj Gupta: Thanks , San jesh.
Moderator : Thank you. The next que

stion is from the line of Krishan Par wani from JM Financial. Please go ahead.
Krishan Parwani : Yes. Hi, s ir. Thanks for taking my question. Three from my side. First on the Carbon Black side, what is the volume growth headroom in FY '2 6 considering the time taken to bring the capacity downstream?
Raj Gupta: We should be doing about 65 0,000 tons, which is about 9% -10% increase over our FY '25 volumes.
Krishan Parwani : So, you do have growth headroom from that 90,000MT expansion that you are doing at Tamil Nadu , so from there you are expecting an incremental probably is 50,000 -60,000 MT, is that correct?
Raj Gupta: We have about 35 ,000 MT of capacity cushion already and then one 30,000 MT line is ready for commissioning in Tamil Nadu which is part of 90,000 MT . So, that itself would give us this additional 50,000 -60,000 MT. And then once the larger line of 60,000 MT is commissioned , which will be towards maybe the 3rd or 4th Quarter of this year , then, we will have more capacity available. But we are not counting that in our current numbers of 50,000-60,000 MT volume .
Krishan Parwani : And you are fairly confident with the domestic demand not very strong, I think, Kaushik sir's earlier commentary , so with the strong export volumes, we are confident of achieving 650 -660 KTPA, correct?
Raj Gupta: Yes, we are.
Krishan Parwani : Secondly, I don't know, if you mentioned it earlier, the reason for decline in Carbon Blacks price this quarter and probably, what is your aspiration for the next year and the year after that ?
 Raj Gupta: See, the market remains extremely volatile and therefore it may not be a very linear kind of
improvement in our margins. So, like in the past , you have seen that in some years , our margin jumped by Rs. 2,000 -2,500 also and similarly in some years it tends to remain flat. So , while on a long -term basis , maybe 3-4 years' basis, we are fairly confident that with our initiatives , with change in portfolio and with operating leverage playing its role, we will be moving towards the targeted number. But immediately in 1-2 years , there are a lot of things which are changing very rapidly. Like this , this USA tariff thing, how it is going to impact the entire ecosystem of auto industry across globe , that is yet to be assessed. So, I would say that this is a little early for us to comment on how margins are going to be this year , but we believe that we should be able to maintain our margins.
Krishan Parwani : Maintain probably Rs. 18000-20000/ MT . Is that correct or?
Raj Gupta: Our current year's average EBITDA margin is around Rs. 20,000/ MT.
Krishan Parwani : Yes. Rs. 18,000 - 20,000/MT that is the range , yes. And lastly , on Aqua pharm , just one or two clarifications , so our 4 Q FY '25 EBITDA is Rs. 51 crores, while our EBIT is Rs. 19 crores. So, I think depreciation is closer to Rs. 32 crores. So just wanted to understand why is that depreciation so high for largely depreciated assets that you were required ?
Raj Gupta: We acquired this Company at around Rs. 4,000 crore a nd as per accounting regulations in India, the difference between the value of physical assets and the acquisition value becomes intangible assets , which are available for amortization and which also carries tax benefits . A good portion of this depreciation and amortization is on account of amortization of intangible assets . The quarterly run rate is Rs. 23 crores .
Krishan Parwani : And then what explains the difference between the Rs. 32, is it other income Rs. 9 crores or was it what?
Raj Gupta: The balance is the physical asset depreciation .

Krishan Parwani : Fair enough . You a re saying that the physical asset depreciation is Rs. 9 crores quarterly and then the intangible is okay, fair enough.
Raj Gupta: And this intangible a mortiz

ation is also entitling us for a tax shield . It is going to be huge, almost around Rs. 500 crore s and which kind of makes profit of India business exempt from tax for next 7-8 years. That is the kind of shield that we are going to get out of it.
Krishan Parwani : Fair enough. G ot it. And I think, just one last bit. On the Aqua pharm EBITDA side, I think you were till about last guiding that by the end of FY '25 exit run rate , EBITDA s hould be about Rs. 70-80 crores so how far are we from that exit run rate of Rs. 70-80 crores quarterly in Aqua pharm ?
 Raj Gupta: Rs. 70-80 crores guidance was for FY '2 6 4th Quarter is what we said we will be reaching and we are fairly co nfident that we would reach and God willing , cross that number.
Krishan Parwani : Fair enough, s ir. Thank you for patiently answer ing my question.
Pankaj Kedia : Krishan, if I can add on the Aquapharm side, see the green shoots are visible from last quarter onwards, both on our top 2 categories of business which is the oil and gas chemicals and the detergent si des. On both these businesses, we see a very good growth opportunity this year. And the fact that we have a local manufacturing facility in the USA in Texas , with this whole trade tariff thing happening today, there are a lot of uncertainties, but we see a very clear advantageous situation emerging in the next few weeks and months . Hopefully, when we come back to you by the end of the first quarter of this year, we should be able to come and tell you about the significant growth prospects on the Aquapharm side. So overall, we are still talking about almost 50% of EBITDA growth coming in Aqua pharm this financial year. So , that kind of number we think we should be able to deliver .
Krishan Parwani : In terms of the capacity expansion in A quapharm, the 38,000 MTPA , I think it was supposed to come on stream in March ‘ 25. So, is there a delay of 1 -2 months or when will that come on stream?
Pankaj Kedia : Some capacities have been commissioned before Mar ch and the rest is in process of getting commissioned.
Kaushik Roy : It is already ready at this point of time and it has just commissioned 2 -3 days back. So, it has already happened. There i s slight delay, not exactly delay from the point of view of completing the activity. It took some time to get clearance from local government. What you call is Consent to Operate. That took a little longer than expected and that is why this delay is, but it has already happened now.
Krishan Parwani : Understood. Thank you so much for patiently answering my question. Wish you all the best, s ir.
Kaushik Roy : Thank you so much.
Moderator : Thank you. The next question is from the line of Sailesh Raja from B &K Securities. Please go ahead.
Sailesh Raja : Thanks for the opportunity, sir. We are planning to set up the Nano vace facility in Palej and also capacity for Acetylene Black in Mundra. So why are we not considering Naidupeta for these two projects ? Are these two projects not eligible for 17% concessional tax rate?
Raj Gupta: No, Sailesh, actually our R&D team operates out of Palej plant and these products …these lines would require lot of t echnical support and R&D support and therefore we are planning to set it there. S o, Andhra will take time. And hra, for getting the MoEF approval, etc., will take at least a year's time. We can't afford to delay our projects , right.
 Sailesh Raja : Sir, m y second question on the input -output ratio trend, this has been enough, key driver behind the improvement in our gross debts over the last 5 years, so currently our approximate input - output ratio stands at 1.8: 1 in standard and performance Carbon Black. So based on my estimate it is 10

bps improvement in ratio translating to saving of Rs. 150 crore s if my understanding is right and what is our target input ratio over the next 2- 3 years?
Raj Gupta: So, you may not be able to calculate it based on the raw material consumed and the overall production level, because the portfolio itself is changing and not all grades have the same input - output ratio. But internally, we have th e benchmarks for each of the grades that we produce. And for 1% improvement in yield, it is almost like Rs. 100 -150 odd crores . It will also have a relevance to crude prices . At current crude prices , about 1% yield improvement is roughly Rs.

1,300- 1,400/MT EBITDA for us.
Sailesh Raja : Thank you.
Moderator : Thank you. The next question is from the line of Siddhant from Tusk. Please go ahead.
Siddhant : Sir, I just wanted to have clarity on the Nanovace technology. So , what is the progress so far and what update are we looking to commercialize the plant in FY '27?
Kaushik Roy : Yes, so Nanov ace, currently we are working on the pilot plant. All orders have been placed and ground activity will start very soon once the supply starts and we are expecting by end of this calendar year which is October to December during that quarter , we should be able to commission that plant and in parallel , we have already started discussion with the prospective customers, both in battery side as well as anode side and in addition to that also with some of the leading automobile manufact urers. So, both activities are going on in parallel and once we get approval from them based on the pilot plant samples, we will immediately start the commercial plant thereafter.
Siddhant : But in terms of technology, we have already established credibility, right?
Kaushik Roy : Yes, absolutely.
Siddhant : And regarding FY '27 , we are looking to commercialize the plant, right?
Kaushik Roy : No, we are looking at FY '28 mid to commercialize the plant. The pilot plant will be ready by the end of this calendar year. A fter that we will need to give some time for approvals and to put up the new capacity, the commercial capacity, which will take roughly about little more than a year.
Siddhant : And just to understand the technology, basically, we are replacing the g raphite part in the anode with silica, right?

 Kaushik Roy : No, not really. We are mixing nano -silicon with graphite at certain percentage. We are not replacing.
Siddhant : Both are combined together to increase the life cycle of the battery?
Kaushik Roy : It is a hybrid thing. It will increase the life cycle of the battery, the charging between two charging intervals . It will be much higher. The life of battery will be much longer and at the same time, the emission level will come down substantially. So, a combination of all three and additionally, the overall cost will go down over a period of time. Per running kilometer, the cost will go down .
Siddhant : And in terms of this technology, is there any competitor who is also looking to explore this or are we the only ones having this technology right now?
Kaushik Roy : You can say in a way that nano -silicon , the kind of technology we are exploring, we are one of its kind s in this area. There are other players, but it is so far not commercially viable or cost effective.
Siddhant : So, the first -move r advantage will remain with us?
Kaushik Roy : Absolutely. That is what the expectation is.
Siddhant : And like the revenue will be $100 /kg. We are still sticking to that number ?
Raj Gupta: No, that was an assumption that we took, which is a conservative assumption. Obviously, if it is selling at a higher price in the market , there would be only some discount to it that we will offer, but it may be higher than $100 also for all we know . This is a little early for that. That was for our internal conservative calculation of profitability.
Siddhant : Right. Thank you so much, s ir. That will be it for me.
Moderator : Thank you. The next question is from the line of Pro lin Nandu from E delweiss Public and Alternatives. Please go ahead.
Prolin Nandu: Hi, team. Thank you for taking my question. I just want to understand our philosophy on this capex , right. See given that in domestic market , we don't know by when this Russia dumping will end . Now on the export market also , there is uncertainty on tariffs, right. But at the same time, you mentioned that you can't wait for approval to come in Tamil Nadu where we have probably a favorable tax regime there, right in some sense and hence we are expanding our facility. So just wanted to understand that, given that the demand outlook is not very encouraging at least for the near term, why is there an urgency to put capex ?
Raj Gupta: Well, we are already operating at above 90% capacity. That is number one. Number two, the lines that Sa ilesh was talking about were more on the Specialty grades of Carbon Black side for

 which we would require to provide a lot of technical and R&D support, which currently is not available in our Tamil Nadu plant and consequently, we will have to keep these capacities station ed near to the R&D c enter , which is Pal ej on Mundra. So that is the reason . And third, the demand outlook . Even when, we say the demand outlook in India is not good , globally , still demand will grow by a certain percentage. Last 10 -year CAGR has been around 3.5% industry growth rate, which adds about 500,000 MT of incremental demand every year . And that is on the regular Carbon Bl ack side, not specialty . Specialty is a different market dynamic altogether. So, there is sufficient cushion in the market . And all said and done, we are just about 4% of the overall market size currently . Who stops us from taking this 4% to maybe 8% or 12% going forward , over a period of time.

Prolin Nandu: Sure. Understood. So, this And hra capex that you have announced, right , is this going to be only for Specialty or it is going to be the mix, right because you mentioned that talent is available nearby for the S pecialty line . So, what could be the level break up that we are looking at between Carbon Black and S pecialty here?

Raj Gupta: I guess you misunderstood. I said our R&D and technical team are in Gujarat , not in Andhra. But having said that, in Andhra in the first phase, we will be putting up regular black lines and then maybe based on requirement , availability of feed stock and maybe availability of talent , we might also decide to add S pecialty capacity there. But as of now , we are planning t o put up 150,000 tons of Carbon Black capacity, which will be rubber grade capacity mostly , in the first phase of capacity in Andhra.

Prolin Nandu: Sure, and just to, last question from my side, just to double click last question from my side to double click on this capacity utilization , right at the question that you mentioned, could you help us understand what is the capacity utilization for S pecialty Carbon Black?

Raj Gupta: Specialty , we are almost at 100 %. Last year, which is FY '25, w e added a 20,000 MT line and where we have about 7 ,000-8,000 MT of capacity available, which we hope to utilize this year. So immediately we will have to add one more line of S pecialty.

Prolin Nandu: And when will that come , the new line or S pecialty?

Raj Gupta: Next 12- 15 month s' time .

Prolin Nandu: So, till that time , we have that constraint on the S pecialty mix, right? Is that understanding, correct?

Raj Gupta: Not constrained because this year , we already have capacity cushion. So, the capacity which came up in FY '25 is largely available for this year's growth and by the

end of this year, we will have that line almost ready , the new line.

Prolin Nandu: That is from my side. Thank you, team.

PCBL Internal Document Moderator : Thank you. The next question is from the line of Rom il Jain from Electrum PMS. Please go ahead. Excuse me, Mr. Romil , your line has been unmuted. Please go ahead with your questions. As there is no response from the line of the current participant, our next question is from the line of Sarah from UVR Fund advisory. Please go ahead.

Sarah : Hi. Thank you for this opportunity. S ir, my questions are related to Aqua pharm. In Aqua pharm, what is the current logistics cost and what are the plans to optimize these cost?

Kaushik Roy : You are saying that in terms of percentage?

Sarah : No, sir, absolute and per ton basis, sir?

Raj Gupta: No, it could be very different. Aquapharm has manufacturing facilities in 3 geographies, USA, India and Saudi Arabia and from there , it caters to different markets , so there will not be any uniform logistics cost. Typically, if you were to look at the co ntainerized freight rates, from India to Middle East or Southeast Asia, it will be about $20- 25/ton. For Western Europe, it would be about close to $100/ ton and from India to USA, it will be around $150 /ton. These are the rates .

Sarah : Alright, sir. In Aquapharm, 85% of sales come from the USA and Europe. What is the outlook on demand and pricing in these key regions and what is the target addressable market in USA and Europe and how much of the current market is catered by China?

Kaushik Roy : Well, the USA market is the strongest for Aquapharm fro m the point of view of demand as well as from the point of view of margin. So that is the best possible market what we have. Europe is a decent market, but obviously not as good as the USA . So therefore, as an organization our thrust and focus right now is to increase our sale in USA as much as we can. So that is going forward will be our strategy as we go along while maintaining the presence in Europe because there are players like for example P &G, we are the largest supplier to P &G and mostly it is supplied in Europe, so it remains but at the same time lot of focus will be there in USA market. This I am talking about products which are sent or manufactured in Aquapharm India.

Sarah : Do we have the demand size for the same for the USA and Europe?

Kaushik Roy : In USA, the demand is strong because oil production is going at full swing in the USA and with Mr. Trump coming in, possibly that will increase further, the demand will increase further. So, the USA side is pretty strong. Europe is little soft, or I will say it is a bit muted and as I said ,

therefore , more focus is there for USA right now for us from Aquapharm side.
Sarah : That I understood, sir. I wanted some numbers like if you could give on demand side.
Kaushik Roy : On the demand side, the USA economy is growing roughly about 1.7% this particular financial year that is the projected growth around 1. 7%, w hereas for Europe , it is almost flat. It is just about 0.5% -0.6%. So that is what the growth looks like in Europe and the USA .
 Sarah : Alright, sir.
Kaushik Roy : But of course, the USA is the largest economy, so on that almost 2% growth is not that bad, but it has definitely come down from the earlier numbers .
Sarah : Alright, sir. At what prices are China dumping and how competitive is Aqua pharm pricing as compared to these prices that China is dumping?
Kaushik Roy : So right now, China is not able to dump in the USA because of the current tariff which is 145% . They are not in a position to dump, but yes, earlier China used to dump a lot of material and because of that at places we used to kind of compete with China and therefore i

t used to be a
problem for us, but right now , a bit of an advantage for us , I will say, particularly from USA perspective with 145% duty.
Sarah : One last question. In the total debt that we have, how much is Indian debt and how much exposure do we have for foreign debt?
Raj Gupta: It is entirely rupee denominated debt.
Sarah : Alright , sir. That is it from my side. Thank you.
Kaushik Roy : Thank you.
Moderator : Thank you. Ladies and gentlemen, this was the last question for the day. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

30th July, 2025

The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001
NSE Code : - PCBL BSE Code : - 506590
Dear Sir,

Sub: - Q1 FY 2 6 Earnings Conference Call – Transcript

Further to our letters dated 18th July, 2025 and 23rd July, 2025, please find enclosed herewith the transcript of the Q 1 FY'2 6 Earnings Conference Call held on Wednesday , 23rd July, 2025 at 16: 00 hrs India Time, for the quarter ended 30th June, 2025. This information will also be hosted on the Company's website and can be accessed at the link: https://www.pcblltd.com/investor -relation/financials/investor -presentation .
We request you to please take the afore- mentioned information in record and oblige.
Thanking you, Yours faithfully,
For PCBL CHEMICAL LIMITED

K Mukherjee
Company Secretary and Chief Legal Officer

Enclo : As Above

"PCBL Chemical Limited

Q1 FY26 Earnings Conference Call "

July 23, 2025

MANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR – PCBL CHEMICAL LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER – PCBL CHEMICAL LIMITED
MR. ANAND KUMAR – GROUP HEAD INVESTOR RELATIONS
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR – INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the PCBL Chemical Limited Q1 FY 26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchstone phone. Please note that this conference is being recorded.
I now hand the conference over to Sanjesh Jain from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Thanks, Vishakha. Good afternoon, everyone. Thank you for joining on for PCBL Chemical Limited Q1 FY '26 results conference call. We have PCBL Chemical management on the call, represented by Mr. Kaushik Roy, Managing Director; Mr. Raj Gupta, Chief Financial Officer; Mr. Anand Kuma r, Group Head Investor Relations and Mr. Pankaj Kedia, Executive Director, Investor Relations . I would like to invite Mr. Kaushik Roy to initiate the call with his opening remarks, post which we will have a Q&A sessio n. Over to you, sir.
Kaushik Roy: Thank you so much. Good evening, ladies and gentlemen. A very, very warm welcome to each one of you and thank you for joining Q1 FY '26 earnings conference call of PCBL Chemical Limited. Today, we'll be discussing our business and financial performance for the quarter in details. I hope that you've got a chance to review our financial results and the investor presentation, which are also available on stock exchanges as well as on your company website.
Before we begin, I would like to express my sincere appreciation to all of you for taking the time to join us today and for your continued interest and support in our journey.
Amid rising global uncertainties, including the Iran -Israel conflict, India -Pakistan tensions, Red Sea disruptions and escalating tariff risk from U.S.A., macroeconomic pressure continued to affect global sentiment. While intensity of dumping into India n market has moderated but remains at somewhat elevated level. This is reflected in the pricing environment. Despite this backdrop, PCBL Chemical delivered a steady and stable performance in Q1 FY26 , marked by volume growth across all key business segments. We remain confident in our ability to navigate the prevailing volatility in business environment and strengthen our competitive edge in the evolving global landscape.
The global t yre industry is undergoing a structural shift with manufacturing steadily moving towards cost -efficient hubs like India - driven by the need to optimize cost and enhanced supply chain resilience. Also, as higher tariffs have been imposed on some of the key t yre exporting countries, India is well positioned to increase its export share.
Recently, one of the major global carbon black producers announced the planned closure of few of its production lines in Europe and North America by the end of this year. This development further underscores the shift in global manufacturing dynamics. It also provides India an

opportunity to capture larger market share in the global trade of carbon black. This is likely to be beneficial for PCBL in the long run and as we add capacities.
In India, the t yre sector is witnessing steady growth, supported by OEM, expanding replacement tyre market and strengthening of export demand. As the world's 3rd largest t yre market, India continues to play a pivotal role in the global supply chain. PCBL remains strategically aligned to this momentum, backed by its scale, specialty offerings and commitment to innovation and reliability.
PCBL is rapidly expanding its capabilities via customized offerings and continued innovation, particularly in high -performance applications like battery c

hemicals and energy storage. With
tightening regulations on export of new age battery technologies from China, we are seeing a natural shift in preference towards alternative and reliable sources. Our upcoming Nanovace facility is well positioned to offer advanced solutions to meet the growing needs of both domestic and global customers. The pilot plant is expected to be ready by the end of the calendar year, post which the sampling process will commence. We are encouraged by the strong level of interest from the partners across the battery value chain, reinforcing the potential of this new segment for PCBL .
Recently, we have been granted a process patent by the U.S. Patent Office on our proprietary method of developing nanomaterials designed for next -generation energy storage technologies.
This breakthrough patent represents a significant milestone in our R&D efforts and strengthens our intellectual property portfolio in the energy storage domain. The grant of this patent not only validates our technological innovation, but also opens new avenues for strategic partnerships, licensing opportunities and potentia l commercialization in global markets.
The technology transfer process for our upcoming Acetylene Black expansion has been successfully completed this quarter. We have started detailed engineering work for setting up India's 1
st Acetylene Black capacity. This has applications in high -voltage cables, batteries, semiconductor packaging, conductive plastic , paint and coatings.
And it is drawing strong interest from the partners across value chain. Currently, India is 100%

dependent on import of Acetylene Black. Once PCBL facility is ready, we would be well positioned to meet the domestic requirement and serve the global customer s. We believe this development will have a significant positive impact on the company's long-term growth prospects and aligns with our vision to be a leader in sustainable energy solutions.

Now coming to Carbon Black projects. The first phase of our Brownfield expansion of 30,000 MTPA at PCBL Tamil Nadu has commenced trial runs and will be commissioned in next few weeks' times . The second phase comprising an additional 60,000 MTPA , along with 12 MW power capacity will be commissioned by the end of this financial year.

We are in the process of completing the acquisition of 116 acres of land at Naidupeta in Andhra Pradesh for a G reenfield Carbon Black project. This new facility will focus on producing Rubber Black and Performance Chemicals. Capex at this site is expected to commence once we obtain environmental clearance in this year.

We are also planning to set up a new line of Specialty Black of 20,000 MTPA capacity, which is expected to be ready over next 3 -4 quarters. This would take our total Specialty Black capacity to 1,32,000 MTPA . This line will be coming up in Mundra.

Capex activity is going on for 1,000 MTPA Specialty Black capacity dedicated for superconductive grade and as expected will be completed by the end of FY '26 in Palej. We are on track to achieve our targeted capacity of over 1 million tons by FY '28. This provides a good visibility of consistent growth in our Carbon Black business with an improving margin profile.

PCBL anticipates continuous growth in international sales volume over the next few years, driven by expansion into new geographies, strategic investments in supply chain capabilities, moving up the value chain and the launch of new specialty grades. The de mand for Special ty Black continues to be steady.

Over the last decade, we have been focusing on developing newer grades with varied applications in plastics, pigments, inks, paints and coatings as well as conductive applications. We continue to expand our product portfolio, enter newer geographies, while moving up the technological curve.

Now coming to Aquapharm Chemicals.

The initiatives taken in the last few quarters have started yielding benefits and is setting a strong foundation for accelerated growth in coming years. We are focusing on expanding our business in U.S., Latin America, Eu rope and Middle East.

Corresponding increase in capacity, product development and supply chain capabilities have already been undertaken. We are also working on end-to-end integration of the 3 business segments, detergents, oil and gas chemicals and industrial water treatment chemicals, with focus on opportunities for cross -selling across business segments with higher capacity utilization.

Aquapharm Chemicals expansion projects are on track and nearing commissioning. We have commissioned capacity of 11,500 MTPA to produce polymer at Mahad plant. We are also working on debottlenecking as well as Brownfield projects, both in India as well as U.S.

We plan to commissio n additional capacities for PBTC, green chelates, acetyl chloride, granulations, amines, imidazoline in Q2 FY '26. Aquapharm is on track to deliver strong growth in FY '26 versus FY '25 with focus on new product development and capacity growth for the existing portfolio. PCBL has established a resilient and far -reaching global footprint supported by a seamlessly integrated manufacturing and distribution network.

As the company scales into high -margin, high-growth segments, it continues to demonstrate discipline in capital allocation and agility in responding to evolving demand cycles. Coming to the quarterly performance, PCBL continued with a steady performance in challenging macro environment.

During the quarter, our consolidated sales volume in Carbon Black business increased 2.6% QoQ to reach 1,54,093 MT . This translates into a capacity utilization of over 97% during the quarter. In Aquapharm business, our sales volume increased by over 9% YoY to 26,523 MT during the quarter.

Consolidated revenue from operat ions during the quarter was INR 2,114 crores. Consolidated EBITDA increased by around 2.5% QoQ to INR325 crores. PBT stood at INR120 crores, while the PAT stood at INR94 crores. EBITDA per metric ton in Carbon Black business stood at INR17,791/ -.

Of the total Carbon Black sales volume, domestic sales volume stood at 89,606 tons, while

international sales volume stood at 64,487 tons in Q1 FY '26, which is 2% YoY growth. Moving on to our segmental performance. T yre accounted for 91,140 tons, Performance Chemicals reported sales volume of 46,888 tons, while Specialty sales volume was 16,065 tons.
With this, our specialty contribution in volumes has reached over 10% from less than 1% in the year 2015. We expect this share to continuously ramp up over the next few years. We continue to expand our product portfolio and customer base. Aquapharm Chemica ls reported a steady performance during the quarter. Q1 FY '26 revenue stood at INR382 crores with an EBITDA of INR50 crores.
Under Aquapharm, the detergent accounted for 9,419 tons, oil and gas reported sales volume of 8,501 tons, industrial water treatment accounted for 3,944 tons, while remaining 4,660 tons pertains to other segments.
This Quarter , we also achieved the highest ever power generation and sales volume during the quarter. Power generation increased by 11% YoY from 194 MUs to 215 MUs with an external sales volume growing by around 14% YoY to 132 MUs as against 116 MUs in Q1 FY '25.
PCBL's transformation into a multi -chemistry platform reflects a clear intent to deliver science-driven, scalable and sustainable solutions across high-impact sectors.
With offerings that span traditional performance materials and emerging specialty chemicals, the company has created a portfolio that is both diversified and future ready. This diversity enables PCBL to address varied customer needs across mobility, industrial processing, infrastructure, water treatment and ener

gy storage, while reducing concentration, risk and enhancing profitability. With this, I conclude and open the floor for your questions. Thank you so much.

Moderator: Thank you very much. We will now begin the question -and-answer session. Th e first question is from the line of Sailesh Raja from B&K Securities. Please go ahead.
Sailesh Raja: Thanks for the opportunity. S ir, my first question is in the Rubber Carbon Black segment, next pricing cycle negotiations are scheduled to begin in the month of August with the revised price set to take effect from October month. So , considering the uncertainty around the U.S. potential tariff and the elevated inventory levels and the customer, there is likely to be a pricing pressure. So how do you see this scenario playing out in the near term?
Kaushik Roy: See, at this point of time, you're right, there is some strong headwind and there is a lot of uncertainty in the market. As such, the economies were not very strong and on top of that, the uncertainty got created because of Mr. Trump's initiatives, what is going on at this point of time. So, headwind is definitely very strong.
We know that this might have some impact on the pricing. But at the same time, you need to understand there are markets where supply is less than demand and U.S., Europe are examples for that. So , there will still be opportunities in this market. There will be imports into this region from Asia. So , we'll be looking at that opportunity.
As far as specific to the pricing, of course, it will depend on when we finally get into a discussion and negotiation and what is the economic situation at that point of time. And at the same time by that time, hopefully, there will be more clarity on the tariff side. Once those clarities are there and we have got another 2-3 months' time before we get into a final negotiation with all big t yre companies across the globe, which will be effective 1st of January next year. So that will continue.
But the other thing is, as an organization, to take care of the situation in terms of performance, we are taking a lot of initiatives internally, which are in our own hand in terms of improvement in efficiency across all functions, trying and improving our working capital management so that overall, the organization's performance remains strong financially.
So, this is our strategy. And at the same time, we continue to grow and be ready for future because we are quite confident and optimistic about this that eventually the market will turn positive going forward. Maybe it will take some time, but we are quite po sitive and optimistic about it.
Sailesh Roy: Sir, for the whole year, can we see this EBITDA p er kg to be maintained at INR17 -18 per kg?
Kaushik Roy: As I said, I don't want to give you any guidance for this. But as I said that there's a lot of focus internally in the organization for improvement in efficiency. And I'm quite hopeful that will bring a lot of value on the table. So, I can't give you a number or guidance, but yes , we are positive. Why should only talk about maintain, maybe at some point of time, we'll talk about improvement from here on.

Sailesh Raja: Okay, sir. Sir, my second question on the exports front. So , our volumes to Europe and U.S. that
has grown significantly in the last 3 years from 9,000 tons to 85,000 tons. So , with increasing
consolidation in the global Carbon Black industry, how do you see our mix going up in the next
1-2 years?
Given the current exports contributing, it is around 41 % of the overall volumes. So how do you
see that mix going up? And within U.S. and Europe today, it is around 35% of overall exports. So how do you see that mix to
go up in the next 2- 3 years?
Kaushik Roy: Again, I'll not put a number how much it will go up by but I can gene

rally tell you about our
strategy. As I said that we'll be continuously growing in all segments, value -added as well as our
regular Rubber Black . Now in regular Rubber Black, as you already know that in India, the
supply-demand situation is in favour of the customer because supply is almost 1.8 million tons,
whereas demand is just about 1.1- 1.2 million.
So, India should be looked at as a manufacturing hub for the globe. And we are already a very
strong player in India. We are the leader. So , we'll continue with our leadership. But at the same
time, the major growth will come in the international market, where there is a lot of headroom for us. The market share of
PCBL there is not as high as what we have in domestic market. So
naturally, ther e is a lot of headroom over there.
We're looking at the international market as a growth opportunity for us. Entire Asia, European Union as a whole and, of
course, U.S.A., subject to the tariff situation doesn't go out of control
completely because the logistics cost is obviously a little higher for U.S.A. a nd on top of that, if
tariff goes haywire, then of course, there is a concern.
But then at the same time, the tariff, if it is applicable in India, I'm sure the tariff rates will be
even higher for some of the other countries. So maybe net , we will be in a beneficial position.
So, as we see the international market growth will be very sharp going forward.
And with new capacities which are coming up, Brownfield in Tamil Nadu and eventually after
that, in Andhra Pradesh, a major share will definitely go to the international market. But at no point of time, we'll be ignoring or
neglecting domestic market. We are a leader and we'll continue
to be the leader.
Sailesh Raja: Okay. Sir, you said 1.8 million tons supply in the India market. Of that, how much it is coming
from China and Russia imports?
Raj Gupta : That's not much. India in totality imports about 9,000- 10,000 tons a month. So, India net -net is
an exporter.
Sailesh Raja: Okay. Last question. In Aquapharm, last year and 1Q it was muted EBITDA. But how do you
see the performance to pan out in the next three quarters in terms of volume as well as the

margin? Also, this business is diluting the overall ROCE. So, what kind of ROCE you are
targeting internally over the next 2-3 years?
What are the steps that we are taking in terms of customer acquisition, then raw material sourcing
and improving the conversion cost? Also, the capital allocation policy in Aquapharm, can you please discuss?
Raj Gupta : Last few quarters, a lot of work has been done towards market building, creating higher
bandwidth in our sales and marketing team, expanding the product portfolio. And these have
started yielding results. Maybe this will be more visible in subsequent 3 -4 quarters. We expect
this year to be significa ntly better than last year. And, of course, this business has significant
potential to grow from here.
Now in terms of ROCE, see the internal expectation is always that , whatever investment we
make, whether organic capacities or inorganic, these acquisitions, etcetera, that we have, at least
17-18% kind of minimum return on invested capital, but it takes time to reach to those numbers.
In 3-4 years' time, this business as it becomes bigger in terms of top line, we'll start getting better
and better returns on capital. Hopefully in 3-4 years' time, we should be there.
Sailesh Raja: How much c apex we have, sir, in this business?
Raj Gupta : In totality, during the quarter, we have done about INR 112 crores of capex .
Sailesh Raja: Only in Aquapharm, I mean?
Raj Gupta : Aquapharm is not much. Aquapharm, it was ongoing. So , a good part of cap ex has already been
incurred in last year. This year, in the first quarter, it was about INR 15-16 crores.
Sailesh Raja: Okay, sir. Thank you, sir.
Moderator: Than

k you. T he next question is from the line of Sanjesh Jain from ICICI Securities Limited.
Please go ahead.
Sanjesh Jain: First on the Orion plant closure. Any sense is that the pl ants were old and not efficient o r do you
see that Europe and North America, it's becoming incrementally less viable for them to produce

at those cost level and become competitive versus India and China? What's playing out in market of Europe and North America?
Kaushik Roy: Yes, you are right, absolutely, Sanjesh. That is precisely what is the reality. I think the cost structure is such for them in U.S.A. and Europe and these plants are very old plants. And what we understand that our intelligence says that they're trying to close down the Rubber Black lines.

I mean, so -called not the high value -added lines they are trying to stop. And put that money, whatever they save from there, more on the specialty lines. That is their target. And indications are there, out of these five what they're talking about, possibly two to three will be in U.S.A. and a couple will be there in Europe.
That is the indication. And this is clearly indication that competition -wise or competitiveness - wise, India and China are definitely ahead of them today from those regions. It is difficult for them to compete and that is what is reflecting. And this is hon estly an opportunity for organizations like PCBL for growth. Definitely, there's an opportunity for us.
Sanjesh Jain: And do you expect more such closure to come? Is it fair to assume that in net -net every year, there will be less of addition and more of closure.
Kaushik Roy: Yes, addition for sure will not be there. A ddition for sure is ruled out for the regular black. Specialty, something may happen. But Specialty, possibly what will happen, they'll convert some of these lines to Specialty. They may not add anything new, but they will be converting some of the conventional lines to Specialty b ut that also requires a lot of c apex, it will be a call of those companies.
But you'll definitely be not seeing any addition. So, therefore, this gap between demand and supply will only grow in future, which will be, in a way, advantage for Asia.
Sanjesh Jain: Very clear. Second, on the Specialty, now including acetylene and the 1,000 metric ton in the superconductive grade, is it fair to assume that the growth will accelerate with all these products coming up next year in the Carbon Black side and eventually that should lead to a much better EBITDA per kg, right?
Kaushik Roy: You are right, absolutely. I'll tell you, as an organization, our strategy is on one side, looking at continuous growth on the conventional items where we supply largely to tire companies and some of the non-t yre rubber companies. So that continues to grow through expansions in Tamil Nadu, in AP Greenfield, etcetera.
But at the same time, to keep an eye on the profitability improvement, we have taken all these initiatives like Acetylene Black, superconductive, then Nanovace, the battery thing. So , both will continue in parallel. So, we are going to grow. At the same time, profitability also will improve. And I think rest Raj can add from the point of view of finance, what is his thinking on that.
Raj Gupta: All these things will take some time. The real reflection of all these new technologies on our bottom line would be more visible from FY '28.
Sanjesh Jain: We said the plant should be all available by end FY '26 or early FY '27. So, we will have some benefit showing up in '27, right?

Raj Gupta: We will have some benefi t, but the approval process, et cetera will also take some time, Sanjesh. So, the real reflection, I'm not talking about the marginal reflection, but the real reflection would come with a time lag.
Sanjesh Jain: Got it. Raj, so that

Carbon Black oil used to trade at a premium in China. Has the situation changed with slowdown?
Raj Gupta: Yes. The gap between the feedstock that we use and that of our Chinese counterparts use, that has come down a bit. Currently, it is about USD 130.
Sanjesh Jain: Okay. And any reason why China dumpi ng has come down. Sir you mentioned in your opening remarks that the dumping intensity in India has come down. Is that the freight cost not availa ble or domestic or matching and or the grade is not right for India? Any particular reason why there is a sudden drop in the intensity by Russian?
Raj Gupta: Russian import intensity has not changed much. It all started a couple of quarters back and Russia continues to sell in India but the quantities are not very significant. They are doing about 2,000 tons a month out of roughly 9,000 -9,500 tons which is coming in India. And mostly this is being imported by small time traders.
So, none of the t yre companies are buying directly from Russia because of the quality concerns and also because of the sanctions on Russian material. So, it is mostly on spot market where this

is being traded.
Sanjesh Jain: So where are Russians selling right now, the quantities?
Raj Gupta: China, mostly China.
Sanjesh Jain: Okay. And then last question on the Aquapharm. I think since we took over the EBITDA has been consistent at INR50 crores. When should we see this trajectory changing? We were expecting INR 300 crores plus kind of an EBITDA this year. Will Q2 show that trajectory changing for us in the Aquapharm?
Raj Gupta: See, we are still maintaining that guidance of INR300 crores for the current year. And first quarter was also marked by all this U.S. first announcing tariffs and then withdrawing it. And the level of import in U.S. significantly increased during the quarter because of the announcement and then withdrawal of that.
So, this quarter, again, is not a normal quarter from a performance point of view. Second quarter onwards, you will start seeing the numbers.
Sanjesh Jain: Got it. Thank Kaushik. Thanks Raj for answering all those questions so patiently and best of luck for the coming quarters.

Moderator: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities . Please go ahead.
Aditya Khetan: Yes. Thank you for the opportunities. Si r, my first question is on to the power business. Sir, since last quarter, so sequentially we have seen power business EBIT contribution has gone up.
So, some INR25 crores incremental EBIT has been added in power business alone, whereas Aquapharm and Carbon Black seems to be flattish only. Sir, what has changed since last quarter? Because I was checking the volumes, they have not gone up much like on QoQ basis. So, what explains this INR25 crores jump?
Raj Gupta: So, there is increase in both volume as well as realization.
Our power volumes have gone up to 13 crores unit from roughly 10 crores unit in the previous quarter. And realization also has improved by roughly INR0.50 paisa per unit. So that explains the increase in the bottom line.
Aditya Khetan: Okay. And sir, so this power business contribution has gone up, but other businesses seem to remain muted only, s ir. For the last few quarters , we have seen like a muted.
Raj Gupta: Yes. So Aquapharm business and also the Carbon Black business, the performance was kind of flattish during the quarter.
Aditya Khetan: Got it. Sir, what explains this dip in the spreads of Aquapharm? Because I believe we had mentioned earlier as volumes increase, operating leverage benefits the EBITDA. But the realization is spreads of Aquapharm has declined. Is this because of higher imports from China are we facing today or any other reason?
Raj Gupta: It is not imports from China. I mean, the reason for profitability to be not reflecting in the current quarter. One reason is higher freight cost that they had to incur because of all this geopolitical disruption.
Aditya Khetan: Okay. But sir, freight cost, like it could have gone up by almost around 30- 40% in a quarter's time frame?
Raj Gupta: The impact of freight cost is around INR6 crores during the quarter.
Kaushik Roy: I'll explain something to you. While you're talking about numbers, we can definitely talk about specific numbers. But I think you need to understand the overall perspective of business. Now last quarter and this quarter i.e. Q4 and Q1, possibly are the 2 most difficult quarters and most probably it will continue for a little more time.
The whole economy has gone upside down across the whole world. None of the big economies are doing well today. You look at U.S.A., you look at Europe, you look at Asia as a whole and within that, India and China, none of them doing too well. And on top of that, these policy changes which were announced by Mr. Trump created further confusion and uncertainty in the whole system.

So today, if some company is at least able to hold on to their performance of previous quarter or previous year, then I think it is reasonably good achievement, I'll put it that way. You need to see the overall perspective and then kind of analyse the whole situation. So that is my suggestion to you to kindly look at it that way. Within that, of course, we can talk about specific numbers to analyse and understand more. That is fine.

Aditya Khetan: Got it, sir. Thank you, sir, for that explanation. At Aquapharm, so we have commissioned 11,500 tons in this quarter. So, the remaining capacity would be completed by FY '26?
Raj Gupta: This should come up in next 2-3 months' time.
Aditya Khetan: Okay. Sir, any idea like for the next 2 - 3 years, how much capacity in Carbon Black would be added and in which country? And roughly how much expected closure could be there?
Raj Gupta: There is very little coverage on industry, but the historical trend has been… every year about 300,000- 400,000 tons of new capacity get added.
Aditya Khetan: Okay. Okay, got it. Thank you, sir.
Moderator: We'll take our next question from the line of Madhav Marda from FIL.
Madhav Marda: Hi, good evening. Thank you so much for your time. Sir, I just wanted to understand, if I look at the Carbon Black margins for us, we had a very strong improvement just after COVID had improved until last year. So, could you give some colour in terms of the softness which you've seen this quarter? If you could break it down in terms of maybe domestic versus export market or how we should best understand sort of the impact on margins this quarter? I understand the global macros are quite weak, but just some more colour for our understanding would be great.
Raj Gupta: Madhav, there has not been much difference in terms of margins in different markets. I mean international market, domestic market, more or less margins have been in parity. T he challenges that we are facing primarily is in the spot market trades, not the contractual trades, where because of little oversupply and plus all these global macroeconomic conditions weighing down on businesses, which is impacting margins.
Madhav Marda: Sir, could you remind me like what is our spot volume mix versus the contracted volume mix for PCBL today?
Raj Gupta: We are doing about 60% to t yre companies and roughly around 10% on the specialty side. The balance 30% kind of remains in spot market or under short -term contracts.
Madhav Marda: Okay. Got it. Understood, understood. And the competition is there like in the spot market is from the Russian producers or sort of who are the players who are kind of creating the pressure or is it just some demand softness, which is leading to temporary margin pressure here? What's happening here?

Raj Gupta: See, in recent past, capacity addition has been at a little higher pace as compared to the demand growth in industry. And that certainly is one of the reasons. A good part of the new capacities are in Asia, primarily India. And then, of course, Russia, because of sanctions, they are not being able to sell in Europe. So, they are also dumping it in some of the Asian countries.
And Asia, in totality is still very big for us. We do about 60% volumes in India and then another roughly about 24-25% in rest of Southeast Asia. So, all this Russian dumping and rapid capacity addition has impacted. And of course, the demand growth has not kept pace with capacity addition. So that's, of course, one more factor.
Madhav Marda: Okay. And the Orion plant closure, sir, what is the capacity which is shut down there? Any ballpark number like the sort of 2- 3 facilities in U.S. and a couple of them in Europe? How much would that be?
Raj Gupta: We don't have exact details so far. We are trying to get some more details. Our sense is that it could be somewhere around 250,000 -300,000 tons.
Kaushik Roy: We do not know really how much it will be and by when. They're indicating by end of this year, but it has not happened yet. So, we have to wait and watch for a while.
Madhav Marda: Okay, okay. Got it. And sir, just one more question was on the capital allocation. Could you give some sense in terms of capex in the next couple of years? How much do we plan to spend in the Carbon Black business and then Acetylene Black and Nanovace? If you could give some breakup, that would be great. Thank you.
Raj Gupta: Acetylene Black and Nanovace would not require much investment. These are low investment businesses. Carbon Black, I mean, between all the businesses that we have, Aquapharm, PCBL and the Nanovace now, on an average, we would be doing about INR600- odd cror es every year.
Madhav Marda: Okay. And how much of that would go into Carbon Black versus non-Carbon Black businesses?
Raj Gupta: Total commitment for Nanovace will be around INR200 -250-odd crores. I'm talking about the residual portion. And Aquapharm would require roughly about INR100- 125 crores on an average every year. The rest will be for Carbon Black.
Madhav Marda: . And the Acetylene Black project, how much capacity do we plan to add? You're saying it's not capex intensive. So, any outlook in terms of what capacity you want to add and by when?
Raj Gupta: Initially, we are planning 4,000-5,000 tons but we will be creating higher cushion upstream and downstream. And in between, the reactors are kind of small reactors of 1,000 tons. So, we can keep on adding reactors based on our market seeding and all.
Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Yes. Hi, sir. Thank you for taking my questions. Sir, did you give Carbon Black offtake guidance for FY '26 and per kg EBITDA guidance, which stood at, let's say, INR17.4 a kg ex of other income?
Raj Gupta: No, we have not given any guidance, Krishan. If you have seen our current quarter's number, you would see that we are already operating at 96 -97% capacity. I think we will reach almost full capacity this year. We'll maintain this kind of capacity utilization a little higher. And realization would also depend on movement in crude prices.
Krishan Parwani: Yes. Okay. So basically, you are at 154 kt run rate, and annualizing it, you would be closer to 616 kt-odd and then probably some incremental. So, 630-635 kt should be a fair assumption?
Raj Gupta: Maybe a little more. We are also about to commission one small line in Tamil Nadu in the next, 2-3 weeks. And that will be available for a good part of the year.
Krishan Parwani: Got it. And so, realization, I understand it's crude linked, but from the spread p

erspective, I was asking like, let's say, per kg EBITDA, I think you had indicated in the last call that your overall or 2-3-year aspiration is to be at INR20 -22 per kg EBITDA. For F '26, where do you stand?
Raj Gupta: I would not talk about current year's number s, but we are on track to achieve targeted EBITDA per ton. We spoke about some INR4-5 increase from the current level in next 4 -5 years' time. And that will come because of the product portfolio expansion , moving up the value chain. Some part of it will come from operating leverage and also a good part will come from all the work that we are doing towards conversion efficiency improvement.
So, we are on track to achieve that. I mean the business environment volatility is very high every quarter, there's some or other development, which is negative for our industry.
Krishan Parwani: Got it. Coming to Aquapharm, we can see your volume has gone up. However, your EBITDA has not gone anywhere. So, what actually happened there?
Raj Gupta: We just spoke about that. So, first quarter, again, I mean, we were talking about US announcing tariff and then again deferring it by a quarter, which kind of resulted in the US importing a lot more during this quarter from China and some other countries, which impacted our business volume. So, this is again not a usual quarter for this segment's performance. But the guidance that we gave for Aquapharm for the current year, we are holding on to that.
Krishan Parwani: Yes. That I got it. I mean, I think you said volumes were impacted, but I'm saying that the volume did go up, but your EBITDA went down. So, something had to give, right? I mean or was it costs were high or was it the realization went down or you were holding some inventory? Because volume, we can see its material.

Raj Gupta: No. So , the product mix also changed and also there was pressure on pricing, which resulted into lower margins. Additionally, freight costs during the quarter went up because of this trade route disruption.
Krishan Parwani: Yes, that is probably explains the INR204 crores other expense went up to INR231 crores. That is fine. And I think you mentioned that you are holding on to your guidance of INR300 crores.
So just wanted to understand what will drive almost like INR80 crore s kind of a quarterly run rate if you were to just take it for the next 3 quarters. What will change to give you a INR30 crores uptick from the coming quarters?
Raj Gupta: We are operating at low capacity. Operating leverage is going to give us that improvement in the subsequent 3 quarters. We are planning to increase capacity utilization.
Krishan Parwani: Okay. So, I thought your capacities are closer to 130 KTPA plus you added 11 KTPA. So probably 140 and you're already running at 110 KTPA kind of a run rate. Is that fair...
Raj Gupta: So, we are going to get about 38,000 tons from the new facility, out of which only 12,000 tons have been commissioned so far. And we had 130,000 tons before this capacity addition. So, in totality, we will have about close to 170,000 tons.
Krishan Parwani: Yes. But isn't that the case like in the initial quarters or initial couple of months, the opex is higher until your plant stabilizes. So, are you still confident of operating leverage playing out just from this quarter and then the next quarter or operati ng leverage play out could happen probably 2- 3 quarters down the line?
Raj Gupta: The pricing this quarter was also not the usual pricing.
Krishan Parwani: Yes. And that has changed?
Raj Gupta: Right. So, I mean, we can't extrapolate current quarter for the full year's profitability. We are already seeing some improvement in the current quarter. And hopefully, every quarter, you will

see improvement going forward.
Krishan Parwani: Got it. And just the last bit, if you may allow me. So, what led to the increase

in the interest expenses this quarter?
Raj Gupta: Interest expense is going down. It is one capitalization which happened in the last quarter of last year. So, for one of our unit s, PCBL Tamil Nadu, where we are putting up this brownfield expansion, there was some interest expense, which I mean, for the capex that we are incurring.
And ideally, that should have been capitalized in the first 3 quarters, but capitalization for the whole year happened in the fourth quarter.
And consequently, fourth quarter interest cost went down to that extent. And on that base, current quarter interest cost is looking higher. But actually, in terms of overall cash outflow for interest

payments, it has gone down in this quarter. And every quarter from here on, you will see further reduction.
Krishan Parwani: Okay. And on this continuation, what was your gross and net debt at end June '25? If you have that number in mind, yes.
Raj Gupta: There is some, we don't publish balance sheet in first quarter, but there is some reduction.
Krishan Parwani: Yes, I was just saying just a ballpark number if you have handy, but in case you don't, that's fine.
Moderator: The next question is from the line of Yash Sinha from MIPL Family Office.
Yash Sinha: I had a bit of a unit economics question around the Carbon Black business. Just wanted to understand the difference in realization between your Specialty Carbon Black, Performance Carbon Black and your normal Carbon Black?
Raj Gupta: It would depend on grade to grade. I mean we have a portfolio of some 100- odd grades between these 3 portfolios. At the portfolio level, we are getting about roughly 25% higher realization in Specialty, 25 -30%, and about roughly 7 -10% kind of higher realization in the performance segment.
Yash Sinha: Yes, I was asking if after this Orion plant closure announcement, any of the larger export clients have intimated to you that they would be providing slightly larger orders going forward?
Raj Gupta: It is little early for that. Of course, we expect to get some benefit out of it going forward, but it is going to take time. And these plants are still running. Orion has announced that they will close by the end of this year. So, I mean, there's still some time before we start getting concrete benefit out of this.
Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.
Aditya Khetan: Yes. Thank you, sir, for the follow -up. Sir, the new Carbon Black greenfield line like which we have planned, any idea, sir, when we are planning to start the construction and when it would be fully completed?
Raj Gupta: It takes about roughly 18 months to get the plant ready once we have all the necessary approvals in place. But the approval process is a little lengthy. We expect all the approvals to be in place in next 4 quarters. So, from now, maybe around roughly 2.5- 3 years.
Aditya Khetan: Sir, my question was on to the Specialty Carbon Black line, which we are planning in the next 3-4 quarters. Sir, our current capacity utilization is around 50%. I think that would be fully operated by in the next 1- 2 years. So, this capacity addition, any outlook like we are adding on to the same capacity into the similar grade and what will be the capex?

Raj Gupta: Okay. So first of all, there would always be a gap between the rated capacity and the actual achievable capacity based on the product mix. And in Specialty, we can reach maximum around 64-65%. I mean that's the maximum that we can achieve. So, against 112,000 tons, maybe we can reach about 70,000- 75,000 tons.
And we are already operating at a run rate of 16,000 tons plus every quarter, which is very close to kind of full capacity utilization or in a year's time, we are going to achieve that. And therefore, we re

quire more capacity. And to get this line commissi oned will take about 4 quarters' time.
The second question, I think you asked about the capex for this line. Is that right?
Aditya Khetan: Yes, sir.
Raj Gupta: Okay. So, it will be somewhere around INR85- 90-odd crores.
Aditya Khetan: Okay. And sir, the grades are similar like which we are manufacturing today, it is into the similar grade's expansion?
Kaushik Roy: This will be mostly similar, some new grades come in the category of ink and coating.
Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. Thank

you for joining us, and you may now disconnect your lines.

Call: Oct 2025

24th October , 2025
Th
e Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001
NS
E Code : - PCBL BSE Code : - 506590
Dear Sir,
Sub: - Q2 FY 26 Earnings Conference Call – Transcript
Further to our letters dated 14th October, 2025 and 17th October, 2025, please find enclosed herewith the transcript of the Q2 FY'26 Earnings Conference Call held on Friday, 17th October, 2025 at 17:00 hrs India Time, for the quarter and half year ended 30th September, 2025. This information will also be hosted on the Company's website and can be accessed at the link: https://www.pcblltd.com/investor-relation/financials/investor-presentation .
We re quest you to pl ease t ake the a fore-mentioned informati on in reco rd and o blige.
Thanking You,
Yours faithfully,
For PCBL CHEMICAL LI MITED
K. Mukherjee
Company Secretary and Chief L egal O fficer
Enclo : As Above

"PCBL Chemical Limited Q2 FY'26 Earning
Conference Call "

October 17, 2025

M
ANAGEMENT : MR. KAUSHIK ROY - MANAGING DIRECTOR , PCBL CHEMICAL LIMITED
MR. SURESH KALRA - CEO, AQUAPHARM CHEMICAL
MR. RAJ GUPTA - CHIEF FINANCIAL OFFICER , PCBL CHEMICAL LIMITED
MR. ANAND KUMAR - GROUP HEAD, INVESTOR RELATIONS
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR , INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN - ICICI SECURITIES

 Moderator : Ladies and gentlemen, good day and welcome to PC BL Chemical Limited Q2 FY'26 Earning
Conference Call Hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' and '0' on your touchtone phone.
I now ha nd the conference over to Sanjesh Jain from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Thanks, D hanesh. Good evening, everyone. First of all, Happy Dhanteras and H appy Diwali to everyone and thanks for joining on to P CBL Chemical Limited Q2 & H1 FY'26 Earning s Conference Call.
We have PC BL Chemical Management with us on call represented by Mr. Kaushik Roy – Managing Director ; Mr. Suresh K alra – CEO, Aqua pharm Chemical ; Mr. Raj Gupta – CFO ; Mr. Anand Kumar – Group Head, Investor Relations ; Mr. Pankaj Kedia – ED, Investor Relations.
I would like to invite Mr. Kaushik Roy to initiate the call with his opening remarks post which we will have a Q&A session. Over to you, sir.
Kaushik Roy: Hi, good afternoon, everyone and thank you for joining us for the Q2 FY'26 Earnings Conference Call of PCBL Chemical Limited. It is a pleasure to connect with all of you once again as we share the highlights of our performance for the quarter and discuss key business developments.
Our Results and Investor Presentation have been uploaded on the Stock Exchanges and the Company website for your reference.
In Q2 FY'26, PC BL Chemical reported healthy growth in carbon black sales volume on both YoY as well as QoQ basis and improved capacity utilization across three product lines.
However, the margins are impacted by continued pricing pressure in a relatively softer market environment. We believe that this phase has largely bottomed out and expect a steady recovery in profitability in coming quarters.
This quarter, we achieved highest ever power generation and sales volume. Our working capital cycle improved by 12 days in H1 FY'26, releasing around Rs. 240 crores of cash and overall cash generation remain healthy, with a reduction in gross debt of over Rs. 300 crores since March 2025. Our specialty and solution segment under Aqua pharm witnessed a gross margin improvement of 10% on t he back of a better product mix.
Margins in carbon black during the quarter were influenced by a challenging global environment, following the imposition of high input tariffs by the United States. We have also noticed customers being quite cautious in their purchasing patterns, reflecting broader economic uncertainties and tighter inventory position across society. Currently, our carbon black exports
 to US account for around 5% of total volume and with a 50% tariff in place, the business remains constrained. However, as US continues to be imported dependent for carbon black, we expect both volume and margin to recover once the situation stabilizes. Meanwhile, we are proactively taking steps to mitigate the impact and strategically rebalance our export strategy.
Given this backdrop, in this environment, we have identified specific areas where operations can be improved and efficiencies can be enhanced. Dedicated teams are already working and actively implementing initiatives across functions to optimize process, m anage costs and strengthen overall competitiveness. These focused efforts are helping us stay resilient and well positioned for recovery.
With the recent GST cut in India, we are already seeing signs of recovery in auto sector. Demand is picking up and we expect this growth to sustain. Domestic tyre demand is projected to grow at 6-8% in F

Y '26, led by stronger replacement demand in the second half.
Now coming to global scenario :
Major international tyre companies have announced significant investment to expand production capacity in North America with project planned through 2029. Just for instance, Goodyear is investing around $865 million, Hankook is committing $1.6 billion, Bridgestone is bringing in about $6 10 million and Michelin plans to invest nearly $540 million and some other tyre companies together are investing approximately $4 billion. This reflects long -term optimism in the sector despite current demand problems.
While this quarter reflected certain short -term challenges including the impact of US tariffs, temporary deferment of purchases following the GST rate cut and subdued overall economic sentiment, the long -term carbon black demand -supply dynamics of the industry remain strong.
With improving market conditions and expected pickup in demand, we are entering a phase of renewed growth momentum.
In line with this PCBL Chemical is poised for exciting period ahead with several strategic projects scheduled to come on-screen in phases over the next 18 months, positioning us well for sustained growth and long- term value creation.
Let me share some of these projects with you :
Specialty Black Line dedicated for super conductive grades of 1,000 MTPA capacity will be

commissioned in Palej , Gujarat by this month end and commercial production will begin from 2025 November, which is next month.
Brown field expansion of 90,000 MTPA rubber line in Tamil Nadu is under commissioning stage and likely to be operational in the current quarter itself.
Number 3, commissioning of Specialty Black Line, 20,000 MTPA in Mund ra is likely to be preponed to March ' 26.
 On the battery chemical side, Nanovace's pilot plant project is on track. Process patent for the nano-silicon for battery applications already granted in US and likely to be received in Japan, South Korea and Europe over the next two quarters. The Company has also applied for two project patents, namely carbon -silicon composites and battery -grade graphite from bio -sources.
Acetylene Black plant of 4,000 MTPA is expected to be commissioned over next 18 months.
We are on track to achieve our targeted capacity of over 1 million tons of carbon black capacity in next couple of years.
The global conductive carbon black market continues to grow steadily, supported by rising electrification and the expanding energy transition worldwide. Demand is driven by multiple sectors including electronics, energy storage, EVs and industrial applications. Three key major trends, the global shift to renewable energy, increasing electrification and rapid expansion of data centers are reshaping the need for advanced conductive materials. Asia-Pacific remains the largest production and consumption hub whi le the United States and Europe continue to be strong high- value markets.
PCBL Chemical 's expansion into superconductive grade carbon black will position us to tap into this growing global market and cater to next generation high- performance applications. We are expanding our capabilities via customized offerings and continued innovation, particularly in high -performance applications like battery chemicals and energy storage. We are the first company globally w ith all three advanced technologies, namely superconductive carbon black, nano-silicon and acetylene black, catering to conductive solutions and next generation battery applications.
In our Specialty Black business, we maintain growth despite current market challenges, demonstrating strength of our supply chain and customer relations while continuing to expand product, coverage and applications.
We have strengthened our sales force, warehouses, technical support and distribution network to enhan

ce customer connect and service. Our successful EU strategy now serves as a blueprint for the Americas, MEA and Asia with the focus on service excellence, positive turnaround and portfolio expansion. The aim is to position P CBL as a local player in each region, defend our stronghold in the Indian subcontinent, at the same time expanding to high -potential market s like ASEAN, China and the EU.
During the quarter, P CBL achieved two significant milestones in its sustainability journey. The Company successfully registered under the International Renewable Energy Certificate, IREC platform , entitled to credits for clean energy generated across our plants.
In addition, P CBL was once again honored with the Gold Medal in the Eco Vadis Sustainability Rating for financial year 2023- 24, placing us among the top 5% of companies globally. Together these achievements reinforce our commitment to sustainability and further strengthen P CBL's
 ESG profile and brand positioning globally. P CBL Chemical has established a resilient and far -reaching global footprint, supported by a seamlessly integrated manufacturing and distribution network. As the company scales into high -margin, high- growth segments, it continues to demonstrate discipline in capital allocation and agility in respon ding to evolving demand cycles.
Now coming to the quarterly performance:
During the quarter our consolidated sales volume in the carbon black business increased by 5% QoQ to reach 1,61,728 metric tons. This t ranslates into a capacity utiliz ation of over 99% during the quarter.
Consolidated revenue from operations during the quarter was Rs. 2,164 crore and consolidated EBITDA were Rs. 278 crores . PBT stood at Rs. 78 crores while PAT stood at Rs. 62 crores . Of the total carbon black sales volume, domestic sales volume stood at 99,549 tons while international sa les volume stood at 62,179 tons i n Q2 FY '26, which means a 6% YoY growth.
Now moving on to our segmental performance :
Tyres accounted for 93,892 tons, performance chemical stands at 50,331 tons while specialty sales volume was 17,505 tons. We expect this share to continuously ramp up over next few years

with increasing demand and capacity addition. During this time, we also achieved the highest ever power generation and sales volume during the quarter. Power generation increased by 7% year-on-year from 209 MUs to 223 MUs with an external sales volume growing by around 10% year-on-year to 138 MUs as against 126 MU s in Q2 FY'25.

Coming to the 6-month performance during H1 FY '26:

Consolidated revenue from operations stood at Rs. 4,278 crores as against Rs. 4,3 07 crores in H1 FY' 25. Sales volume for carbon black increased 4% year -on-year to 3,15,821 MT in H1 FY'26 as against 3, 02,610 MT in H1 FY '25. The consolidated EBITDA for H1 FY '26 stood at Rs. 603 crores as against Rs. 738 crores in H1 FY '25. Power generation went up by around 9% and sales volume by 11% in the first half of the financial year. Despite macroeconomic volatility and evolving trade barriers, PCBL is strengthening its position as a multi-chemistry platform focused on innovation, scalability, and localization. By expanding capacity, leveraging digitalization and automation and partnering with global technology leaders, we are c reating future -ready solutions.

Let me now hand over to my colleague , Mr. Suresh K alra – CEO of Aqua pharm Chemical, who will update you on Aqua pharm performance and outlook. Suresh, good evening. Thank you for joining us. Over to you, Suresh.

Suresh Kalra: Thank you, Kaushik. Good evening, everyone. Thank you for joining us in this call. I will update you on Aqua pharm Chemical Limited, especially for Q2 FY '26. Aqua pharm has a challenging external environment. The different dynamics shaping performance across our key markets. I will take it

one by one.

India delivered strong growth, which was supported by expanding reach and deeper engagement with key customers, while Saudi Arabia continued to scale on the back of strategic accounts .

Our U.S. business hit some near -term softness, being a technical business, and the oil prices were almost at a very low from longer time on a WTI index basis, but sales trend seems like improving in August and September.

Our Home Care business delivered promising growth of 18% QOQ (Q2 FY' 26 versus Q1 FY '26) in quantity sold driven mostly by expanded reach and stronger engagement with our key customers, especially our large key customers like P &G Unilever, etc.

Our water solution maintained also very strong momentum, growing at about 16% QOQ, driven by strategic accounts.

The fourth segment is applications -in conductive solutions, which are almost flat, a bit slowdown in the domestic textile industry. And in O il & Ga s segment, which is, as I said, our U.S. -based business, the plant at U.S., their volumes were a little down by 40%.

So, overall, all of our four market segments, H ome Care saw robust growth. Water solution growth was very strong. Applications -specific solutions were flat, and oil & gas saw some volume downtrend because of the cyclicality of the oil market in U.S.

Geopolitical tensions continue to remain elevated, as we understand, and the recent 100% tariffs imposed by U.S. and China actually created some good opportunities for Aqua pharm's phosphonate and Green Chelates business, because the U.S. customers are now also looking forward to diversifying sourcing beyond China. They were l ot dependent on China for that. So, that's creating an opportunity. At the same time, the recent application of tariffs by the U.S. on India, especially on the biocides and select polymers exported from India, has impacted a portion of our business, which leads to some temporary headwinds in the near term. In spite of that, Aqua pharm delivered a steady performance in Q2 FY '26, closing the quarter with a revenue of Rs. 395 crores, with a growth of 9% on topline, and an EBITDA number of Rs. 48 crores. During the quarter, our focus remained on strengthening our commercial capabilities and technical depth to suppor t long -term sustainable growth.

We also recently onboarded a very senior level industry expert as H ead of our R&D and innovation center, a very experienced guy from the industry and we are now going to steer our innovation efforts also for the future, which will help us advance our next phase of product development.

We also have enhanced our sales organization in the USA. As I said, the business is driven by cyclicality, sometimes we really need to work on very strong opportunity pipelines. So, we are enhancing our sales organization with very strong technical orientation people, with great customer engagement focus, laying the foundation for improved market reach and market resilience in the coming quarters. That effort has already been taken and we are going to see benefit from that in the coming quarters.

PCBL Internal Document A few more key business updates I would like to share.
Aquapharm now offers a complete green chelates portfolio. So, Aqua pharm is possibly the only company today in the entire industry which has the entire portfolio of green chelates . So, green chelates – GLDA, MGDA and IDS, they are ready for the commercial sales. Alongside two new Polymer products, one of them is PESA Granules , which is used in dishwashing like Reckitt kind of customers, and second is PM 300 which is used in water treatment, like Ecolab kind of customers . So, these trials and discussions are underway with multiple customers. We have now the complete range ready with us.
We also have co

mmissioned a new plant of PBTC As you have seen before, it was a traded product for us for a long time, and now we have commissioned a plant which will move from a traded product to a manufactured product for us. A sampling has been initiated for all strategic accounts and discussions are ongoing for the global water treatment players.
We are also undertaking a de-bottlenecking initiative, which is also complete, for acetyl chloride. This is one of the product lines that were completely sold out. So, we undertook a de - bottlenecking operation, which is complete now and that will increase the efficiency of our business. Along with that, we are also putting granulation lines to support our new granulated products.
Coming to our segmental performance in terms of volumes, H ome Care, which is our product line basically for public care and home cleaning , reported ~10,000 tons of volume. Oil & gas reported ~6,500 tons of volume. Water solutions reported ~ 5,000 tons and the application-specific solutions reported ~ 4,000 tons of volume.
We are pretty confident now of delivering a visible EBITDA improvement from Q3 onwards because of all the initiatives which are complete. We are building new opportunities and have already seen some tender wins, especially a very large tender at Saudi Water Authorities RO and Purification Plants tender and we are also participating in tenders with Procter & Gamble for the green chelates for their US operations.
Our focus on expanding the customer base is across three regions, coupled with very strong distributor partnerships. We are also entered in to have new distributor partnerships in Africa with Solevo and a couple of other distributors which we are currently appointing in the Latin American market.
At the same time, there's an extensive workshop -style approach which we have taken for our new product development to identify new molecules through close collaboration with our customers. We have very strong standings with a lot of our customers, and we are using the voice of customers there to identify the new products required in that workshop-style approach. Our commercialization approach would be going along with it, strengthening our NPD pipeline, looking forward to enhancing profitability and support ing our sustained growth momentum.

PCBL Internal Document With this, I will conclude my remarks. Thank you for your attention. I would now welcome any questions from the participants.
Moderator: Thank you, sir. Thank you very much. Ladies and gentlemen, we will now begin with a question-and-answer session. Our first question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. So, just a couple of questions. Sir, in your initial remark, you mentioned that the US tariff impact and GST related changes have led to slower volume uptick . So, if you can quantify like if the situation were normalized, if this were not about to happen, how much volumes we have lost in this quarter?
Raj Gupta: Yes, just for specifically US, we have cut down our volumes by roughly about 2000 tons in this quarter. And so far , as GST impact is concerned, we have not lost volume, in fact our domestic volumes have gone up but due to more sales in spot market , we did face pricing pressure. So, the impact of this deferment of auto purchases was felt not directly on the volume but on the pricing more, specific to us.
Aditya Khetan: And this is for gross price, like what we understand that market demand is also soft. Comparatively, is there also higher supply which is coming from Russia? We knew like earlier the share was lower, now it has doubled up. So, because of higher imports coupled with lower demand, is this the reason to blame for lower price?
Raj Gupta: We do not see a structural change in the dema

nd supply scenario but last 5-6 months, the markets and the industry have been facing a lot of headwinds. Everything came together , like this US tariff which was initially introduced at a lower level, then increased, then GST rate cut announcement, which also kind of resulted in some deferment of auto purchases. Russian imports have been happening since last 1 year. So, overall levels have not gone up. So, India still is importing almost about 8 ,000-10,000 tons a month, which is not much honestly, but of course, these imports are happening at a lower price. So which is kind of creating pressure on the spot prices. But we do not see anything which can destabilize our plan going forward. We have our own strategy to deal with all these headwinds. But of course, it takes some time to respond to the situation. But we remain very optimistic about our performance in the subsequent quarter s.

Aditya Khetan: Got it. Sir, earlier, like in earlier calls, we used to highlight that from our commodity carbon black space only, we have some specialty products also over there. That will also help to improve EBITDA by Rs. 1 per kg. I mean, for the last 1 year, we were highlighting this point. So, is that thing taking place right now or you see like that will be slow from here on?

Raj Gupta: Our specialty volumes are going up. Even this quarter, if you look at our volume, they have gone up. Quarter -on-quarter, we have a 9% increase. Even year -on-year also we have increase. And on a full half year basis, you will see that there is an increase. This year, based on our capacity, we can reach maybe about 7 2,000-73,000 tons and we are on track to achieve that volume. So,

 the product mix is changing for better. But of course, the current situation is not a usual one. And therefore, the impact on the margin s.

Aditya Khetan: Okay. Sir, on Aquapharm in your initial presentation, you highlighted, so there will be a visible EBITDA improvement. You mentioned like, I believe, sir, for the last few quarters, we are at the similar EBITDA in Aqua pharm . We are stocking around Rs. 20 per kg on EBITDA. You see like, sir, most of the negatives, like earlier we used to mention about higher cost and lower product mix. All these things are there in the current spreads and EBITDA. And you see how much jump if you can quantify li ke for FY '26 and for FY '27?

Suresh Kalra: So, our business is divided into four major market segments. And also, right now, it is aligned pretty well geographically. Okay. So, India business, which is basically we call it Aqua pharm India, is manufactured in India and mostly supplied in Europe to some extent in US. So, I would say, for example, Aquap harm India business is 20% of the revenue come from US. So, that is the only business that is impacted due to tariffs. Now, if you see it at the global level, that business becomes only 9% impact. So, the tariff situation on India product is impacted for sure. Some of the products are exempt also. So, the imp act there is still limited. On the other hand , the benefit to us due to tariffs is because we have a manufacturing location for oil & gas in Houston, US and most of the customers also in US in Permian Basin . So, we have a benefit over Chinese and any other suppliers. Now, right now, our India business is clearly showing visible improvement, but overall numbers are still looking the same to you at an EBITDA level because of US business right now is going through a low end of cycle because of the oil prices are staying between $62 -65, which is possibly one of the lowest. Usually, the sweet spot for oil prices is between $75 -80. And the better it goes, the better efficiency products are needed. So, right now, we are facing headwinds du e to the type of business in our US manufactured business, while India manufactured business is seeing

quite a growth and overall, it is still offsetting it. That's why we are seeing looking at the normal. If I take a number, for example, the India business alone EBITDA grew at Rs. 28 crores in Q1 and in Rs. 33 crores in Q2. So, a very clear visible improvement in the Indian business. When we are saying that overall improvement will be visible in the coming quarters, because we know oil is a cyclical busine ss and it has to change in the coming quarters.

Aditya Khetan: Sir, just a follow -up on this. At what crude oil price level will you start getting operating leverage?

Suresh Kalra: Yes. So, it's not always directly as such linked, but this is very clear that the crude oil price, so we talk about Brent and WTI. WTI is about $4 lower. So, WTI today is about $62, $65 or $62.9 last night. So, the moment it starts improving the efficiency products, because we make efficiency products mostly, which are basically scale inhibitors, original inhibitors and H2S scavengers . They are used more and more and especially the high -end of the ones that require more, when the efficiencies are needed more. And that's linked with oil prices, but not a linear, I would say, comparison which we can make, but it definitely see improvement when the oil prices goes up.

 Aditya Khetan: Sir, just one last question. This acetyl chloride, you had mentioned in your earlier remarks. So, this expansion figure is included in our numbers like we have stated to double from 1.4 to some

3 lakh tons. So, this de -bottlenecking is included in that figure?
Suresh Kalra: Yes, that is included, but it's not clear. It's just de -bottlenecking. It is not completely expansion projects, but yes, that is included. You're right.
Aditya Khetan: Got it. Thank you, sir. That's it for me.
Moderator: Thank you. Our next question is from the line of Sanjay Jain. Please go ahead.
Sanjay Jain: Yes, good evening. (Inaudible)
Kaushik Roy: Well, at this point of time, there are a lot of uncertainties in the market. As you know, one is of course US tariff and specific to India, it is also about GST. And beyond that, even the global economies, if you talk about USA, Europe or Asia, including India and China , other than India, in the first quarter, only we had shown a good number 7.8% GDP growth, economic growth. Most of the places, the fundamentals are little soft and ultimately the growth is not very strong at this point of time. Projections are also little soft at this point of time. But having said that, we feel that we have kind of reached a level from where it will start improving. How fast the recovery can happen, that is something possibly time will tell. But a lot of actions have been taken internally to manage or sail through this difficult headwind or the strong headwind what we are facing at this point in time with more focus on operational excellence. So, that is one initiative. So, that should take care of the challenges what we are facing. But this thing do take time, I am sure all of you will appreciate it . But on the other side, since our feeling and we are quite clear about it, that going forward things will improve. And therefore, our expansion plans are all in place. The CAPEX are all in place. As we explained a while back, that 90,000 tons of Tamil Nadu is coming on stream within next few weeks' times . Simila rly, in Mundra and Pal ej, both places , specialty lines are coming up. Nanovace's pilot plant is also . So, overall, in nutshell , our thinking and our outlook are very positive. And we should be able to overcome it . I mean, it is a global phenomenon at this point of time. So, I am sure it is a matter of time, things will get sorted within USA. And US is a potential market for us going forward. So, we should be able to recover fast. And we are all ready with all our arms and ammunition in pla

ce. We are making sure that we are fully geared up. The moment opportunity comes, we should be able to capture that opportunity. So, that is the overall outlook. And in a way, you can see the positive thinking from our side. Some headwinds are there, but we should be seeing better times going forward and not too far off. It is just around the corner, possibly.
Sanjay Jain: Got it. One additional question. Last quarter, we spoke elaborately , we were trying to complete the capacity expansion and what time line we expect the capacities to be operational ?
Kaushik Roy : You're absolutely right. Some of the not -so-viable production lines are going under closure in near future. I am not taking the name, but you are fully aware of it . Some of them are based out of US, some of them are based out of Europe and South Africa, in Africa. So, which is kind of
 advantage for us, of course. And since the efficiency level of manufacturing is pretty high with Asian manufacturers particularly and we are adding capacity, we are already in discussion with some of the global players for our next year contract, which is just another 2 -3 months away. So, that discussion has already started. So, now, this capacity utilization will take time. 90,000 tons is equivalent to a medium size of plant. It will not happen overnight, but gradually, production will go up in line with buying from the customers. We have started discussion of that and trials will start now as soon as the lines come on stream, which is end of this month and commissioning early next month. We will start the trials and thereafter, it is more about discussion with the customers, tying up the volume and quickly scale up and our endeavor is to utilize capacity as far as possible in next financial year itself. It should be mor e than 50% I guess, in next financial year. And by exit, we should be, by exit of next fi nancial year, we should be touching the run rate to achieve full 100% utilization. That is the level of confidence we have.
Sanjay Jain: Got it.
Moderator: Thank you. The next question is from the line of Radha from B& K Securities. Please go ahead, ma'am.
Radha: Hi, sir. Thank you for the opportunity. Sir, for Aqua pharm based products, what percentage of the U.S. market is being catered by China directly or indirectly? And now, if there are 100% tariffs on China, how much volume growth as well as any margin expansion that you are expecting due to this?
Suresh Kalra: Thank you, ma'am. I will answer this question. So, U.S. market, as I said, is divided into two major parts. One is oil & gas. Oil and gas is where we manufacture locally and we supply locally. So, we basically do not compete with a lot of Chinese products there. We would rather use them a lot for our buying raw materials, okay, for the oil & gas market. A lot of production happens in oil and gas, but a lot of imports also come through . So, it is a combination. So, we get some benefits when we are competing with them and the duty becomes very high. But at the same time, if the raw materials for us get expensive also because of the duty on China, then also we

get impacted. So, it is kind of an offset impact. While our other business, which is H ome Care business, there we are going to see a lot of benefits coming to us, although we are supplying from India. But right now, at this moment, we know that it is uncertain, it is changing every day. As of now, the duty structure on China on these products has become 100% effective last week, okay. If that continues, we are going to see a significant benefit. Now, how much to quantify it is that we are looking at all the pluses and minuses. For example, we are seeing some demand drivers also in our favor with smart appliances for the H ome Care industry coming and they are phasing out of the EVPA

mostly in the phosphonate side of the business for the H ome Care. So, that net overall, we are looking at currently, we are at an average of Rs. 50 crores of EBITDA every quarter. We look forward to end this financial year with the Rs. 75 crores of EBITDA overall, the global business for nine -months' basis . So, that is an exit we are looking at today. We are comparing all those pluses and minuses coming to us in the business.

Radha: Yes, so just to confirm, 75 crores of EBITDA you want to end it on a quarterly basis by this year end?

Suresh Kalra: By this year end, that is right. So, that is where our exit is planned at this moment.

Radha: Okay, great sir. So, second question is on Nano silicon . With regards to Nano silicon , the company is investing Rs. 500 crores in a rapidly evolving technology and targeting a substantial Rs. 1,200 crores EBITDA by 2030. So, can you please highlight any customer approvals or feedbacks that have been received in the initial stages as of now?

Pankaj Kedia : Can you repeat your question?

Radha: Yes, I wanted to understand any customer approvals or feedbacks recei ved with in terms of Nano silicon ?

Pankaj Kedia : Sir, we are waiting for the pilot plant of ours to get commissioned and once the pilot plant is commissioned, we will be sending the approval grade material to a lot of customers and then we hope that in the next 6 to 9 months post sending of the approval grade material, we will be able to get product approval. The interest level in this product remains high and so sometime by the second half of next year, we look forward to a lot of positive news around this.

Kaushik Roy: And in addition to that, based on our lab samples, we have already started producing this in our lab. So, we have kind of approached some of the global names. I cannot take those names for obvious reasons but there is a lot of excitement with this product. There is a lot of interest and as Mr. Pankaj just now mentioned, now as we are moving from lab to pilot, once the pilot is ready, which should be by FY '26, another 2-3 months ' time, thereafter we will start submitting the sample and then the engagement will be much deeper and we are pretty confident that we will get a very positive response from most of them.

Moderator: Thank you. Our next question is from the line of Dhruvin Kadakia from S KP Securities. Please go ahead.

Dhruvin Kadakia : Hello, sir. Thank you for the opportunity. I just wanted to confirm that given the current situations that are going on overall in the market, for carbon black as well as for Aqua pharm for the next 2 years, what are our expectations with respect to sales realization per ton and EBITDA per ton?

Raj Gupta: With The level of crude and raw material prices at a steady level, we believe that whatever drop we had to absorb because of the current market condition, I think we can get back to that in couple of years' time. So, our EBITDA which used to be around say Rs. 20,000, has come down to about Rs. 16,000. So, that is a margin of Rs. 4,000 ,we are fairly confident of recovering once the market stabilizes.

Dhruvin Kadakia: Okay. That is for carbon black and Aqua pharm in particular?

Suresh Kalra: Yes, I think the principle remains the same. So, in that sense, a lot of our business actually depends on how the crude oil moves. So, net sales realization would definitely also be part of that. It does not mean that it improves the EBITDA level. So, I mean, of course, I mean, this is another metric which is used. But at the same time, I would say that we are focusing more on how much per ton we are going to make a profit. And that is what we are currently mostly finding because the product r esource changes significantly. So, the selling

price becomes less important.
Price is about 115 per kilo. I believe if I just go by that, then we will be looking at increasi ng it

to more than 200 actually, w ith the product mix which we are planning, yes.
Dhruvin Kadakia: Okay, sir. Thank you, sir.
Moderator: Thank you, sir. The next question is from the line of Krishan Parwani from JM Finance. Please go ahead.
Krishan Parwani : Hi, sir. Thank you for taking my question. So, I actually joined the call late. So, I am not sure whether you have answered any of these. So, just first on the carbon black side, there has been a sharp decline in per kg EBITDA. So, do you already respond to that? Why is that?
Raj Gupta: Yes, Krishan, we kind of responded to that. As I said , one, we had to bear the burden of US tariffs. And just to give you a sense, in carbon black business, annually, we were doing about Rs. 350 odd crores of business there. In our case, the effective tariff rate is 20%. So, though it is 50%, but we get some exemption . But it is still 20% and which makes it a Rs. 70 crores a year kind of an impact at EBITDA level. Now, part of that has hitour numbers this quarter. So, expenses to that extent are higher. So, that is one. The second is, if you look at crude, it came down steeply in last quarter from about $ 72-73 in the previous quarter to about $63-64 in July-September quarter. Now, when this happens, then some of the operators who can buy oil from spot and sell in the spot market, they price their product s differently. And we have to compete with them, especially considering that the market conditions currently are soft. I mean, the GST deferment also had some impact in pushing the auto sales towards the last part of the quarter.
And consequently, market was kind of oversupplied and which further created the pricing pressure . So, a ll of these conditions kind of hit us in one quar ter and therefore the impact on the margins.
Krishan Parwani: Okay, great. Thank you for the elaborate answer. Just on that particular inventory losses, if I may, if I call it that, how much of an impact do you think it would have made on your per kg . Let us say it is X of 100 income, Rs. 14, Rs. 13 .5. So, X of that inventory losses would you have been around 15-15 .5?
Raj Gupta : I would not call it inventory losses, because it was not a write down that we had to take. But it is only that it gave opportunity to some of the producers to buy lower priced oil, produce and sell at market at a lower rate. And we wanted to keep our capacity utilization high. And consequently, we had to compete with them in the spot market. So, it was more of that. But if you look at our volumes, volumes have gone up. I mean, despite all the challenges, all the

 headwinds that we were facing, we could still keep our capacity utilization at almost full level. I mean, we were at about 99% in this quarter.
Krishan Parwani: And just a clarification on that front, because I think you mentioned about US tariffs. And as I see your exports sequentially has declined to about 62 KTPA compared to 65, 63 run rate . So, and how much of a volume is to US? Because as far as my understanding is probably not more than 5% to 10% of the overall carbon black sales. Or is it high?
Raj Gupta: No, it was 5% only. We were doing about 30,000 tons. Last year, we did 30,000 tons and that was the run rate . But of course, I mean, we see US as a large market, large opportunity for us. US imports about 200,000 tons a year. And once the tariff settles to some lower level, we obviously would be doing more volume there. But again, for these 30,000 tons , it converts into almost Rs. 350 crores of sales , of revenue.
Krishan Parwani: Got it. And second question is on the A quapharm. I think I did hear that there is a tariff impact also there in the A quapharm. But when do you think you c

an get to a Rs. 70 crores -Rs. 80 crore EBITDA run rate , I think which we had initially planned or hoped that F Y'26 will see somehow like a Rs. 70-80 crore EBITDA run rate. So, are we still on track to achieve that?
Suresh Kalra: Yes, thank you. So, as I said earlier, we are kind of hovering around Rs. 50 crore EBITDA. And with all the initiatives which I discussed without repeating them, we are looking forward to reach at end of this year, financial year with an exit of Rs. 75 crores EBITDA. So, while we maintain our current set of business, that new product lines which we have introduced and looking at the positive demand drivers which are coming from Europe and looking at the additional business which we are going t o generate from Saudi side, I think with that pipeline, it seems right now pretty confident for us to reach an exit rate of over Rs 75crores , which is something which we promised you earlier. So, it’s not changing. Just as I said again, tariff situation uncertainty slightly delayed our plan. So, something which we would have achieved at once, possibly would be achieving at Q uarter 4, it's only change. And also, earlier when you said about the net realization, I think also was clarified pretty much. There will be a lot of things that will change in the product mix in the future, but I don't see any significant change in the net reali zation in the coming quarters. We are looking at a lot of new product development in the next year and two years, which I have already discussed, that in our innovation centre, we are putting a workshop-side approach. With that, we are going to a lot of new ends of products with high realization. But in these coming two quarters, I see a lot of improvement from our EBITDA perspective. S o, in the end of Quarter 4, as I said at the beginning, we will be close to about Rs.

75 crores.
Krishan Parwani: Got it, got it. Thank you. And one last clarification, if I may, or rather a question. So, with the kind of EBITDA decline and our net debt not going anywhere, do you want to rethink your dividend policy? I mean, do you want to conserve that Rs. 200 crore -Rs. 300 crore cash, whatever that you have? That's my last question.

 Pankaj Kedia : Frankly speaking, in this quarter itself, we saw significant improvement in the working capital days and we do not see the current quarter's performance as an indication of performance going ahead. The fact remains that we are running at over 99% capacity utili zation on the carbon black business. And in a matter of, going forward, you would see significant improvement in the performance. So, cash generation is likely to remain healthy and that probably gives the confidence to the board to maintain a strong dividend payout policy.
Krishan Parwani: Okay, got it. Thank you so much for answering my question. I wish you and the entire PC BL team a very happy Diwali. Thank you.
Moderator: The next question is from the line of Shashank K anodia from ICICI Securities. Please go ahead.
Shashank Kanodia: Good evening to you and thanks for the opportunity. Sir, firstly, just wanted to check, is there anything to follow in the employee expenses because it is a sharp 25% jump on Y -o-Y basis?
Raj Gupta: Shashank, our appraisal cycle is July to June. And therefore, typically in second quarter, employee expenses go up. N ow, if you compare year -on-year, it has also gone up because of some fresh hiring. We are building capability , we are expanding both organically and inorganically, and also we are investing in technology. And therefore, we will require more talent in the organization. And some of this hiring has happened in last one year's time. And consequently, the effect is visible in the employ ee cost.
Shashank Kanodia: So, should we expect a new run rate for us, quarterly new run rate for us?
Raj

Gupta: Yes, it will be kind of quarterly run rate. There is some one time also because some senior level employees joined during the quarter and there were some joining bonuses, etc. But that is not much, that is Rs. 2-3 crores . But more or less, this is indicative of the going forward run rate.
Shashank Kanodia: Right. Secondly, sir, as you rightly mentioned in the first half, EBITDA per ton on the carbon black , which is roughly Rs. 16,000 to a ton. So, given the fact that you mentioned the things being bottomed out , so for the full year basis, can we clock an annual rate of Rs. 16,000 as EBITDA p er ton, both fiscally and then, return to a course of 20,000 plus kind of thing, ' 27 onwards? Any take on that front ?
Raj Gupta: Though it is early in this quarter and the major issues like US tariffs and all, those are still unresolved, b ut what we are seeing is that crude has stabilized kind of around $ 60-62. And the disadvantage that we faced last quarter because of steep decline in crude price, is not likely to be there this quarter. Basis that we have confidence that Q uarter 3 EBITDA per ton should be better than this quarter.
Shashank Kanodia: Right. Sir, for a full year basis, can we do something like 16,000 or is it still early to take a call on that ?
Raj Gupta: I guess we should do better. But, the situation globally, both in domestic market as well as in international market, a lot of things are happening one after another. If we assume a steady state

 kind of a scenario, if we assume that this US tariff situation is going to be resolved with some kind of rational tariff, I think we can do much better.
Shashank Kanodia: Right. And so, usually we maintain a target like, giving a Rs. 20,000 base cas e an EBITDA per ton to improve around Rs. 1-2 per kg, as we are taking as to a kg by effect of FY' 29-FY'30. So, does that really alter that game plan or is it still very much possible for us to really traverse that journey?
Raj Gupta: So, long term guidance remains same and we remain on track. All the initiatives that we discussed with you all, those have already been initiated internally and we are pretty confident that we will deliver those numbers. But those numbers again, I mean, wh en we were at Rs. 20,000, the market conditions were different, we did not expect so many disruptions. So, this again Rs. 16,000 is not a normal margin profile of the business. This is due to that and we therefore expect the c ompany to come back to the previous run rate level once we have some solution to these issues. And with all the changes that those are happening at the product mix level, operating leverage and then yield improvement, operational efficiency and all, we expect us to be on track for that Rs. 24,000- 25,000 EBITDA per ton.
Shashank Kanodia: Right . Sir, just a small feedback, it has taken a, knowing personally with me for last 7 -8 years,

this has taken a long time explaining to the investment community the main strength of the business and a non-commodity feature. But this kind of performance reall y does not match up
with the initial commentary and the thing. So, just a small question, if you can be a little more
realistically, if you can give us guidance to the community in future. That is the only feedback from my side.
Raj Gupta: When we give guidance, those are based on some basic assumptions, right, like external
situations remaining stable. And of course, today it is not a normal situation. If you compare our
current year's performance with, say 3 -4 years back performance, even in good market
conditions , we used to deliver about Rs. 12,000 -13,000 kinds of EBITDA. And now, even with
so many headwinds, we are still able to deliver some Rs. 16,000 kinds of EBITDA. So, definitely
there is improvement in our operating efficiencies, size of business , and our

product mix. So,
those changes are visible. And we are pretty confident that the numbers that we have
communicated to you all, we will deliver. Long -term guidance, we are on track, we are pretty
confident. But short -term disruption, it takes some time to respond to the headwinds. But we are
confident of our capability as an organization and as a team. And God willing, in a couple of quarters, we will again start showing improvement.
Shashank Kanodia: Perfect. Thank you so much .
Moderator: Thank you. Next question is from the line of Mr. Kumar Soumya. Please go ahead.
Kumar Soumya : Hi, sir. Good evening. Sir, just one question from my side. This quarter, we had a healthy growth
on the domestic front . So, how sticky is that? And how do you see the domestic volume spanning
out in the rest of the course of the business?
 Raj Gupta: See, market was soft during the quarter. And we, of course, our focus was on to utilize our
capacity. But then we also had to compete with some of the spot players, and which is reflecting
in our margins. It will take some time for us to reroute our materials to the targeted market. We
will have to move more volumes out of domestic market. Because if we continue to sell more here, it will further impact the pricing and the margin. So, I would not call it a very steady state
or a steady number. Of course, we will ensure that our capacities are utilized to full. But it will
take a couple of quarters before we can find the right market mix and customer mix.
Kumar Soumya: Got it. And sir, the second question, the point that you highlighted, the effective tariff that you
have is 20%. Is that because you a re sourcing raw material from US ?
Raj Gupta: Yes. We are importing raw material from US. And 60% of the price at which we sell in our
material in US consists of input from US. So, raw material part of that is about 60%. And
therefore, that portion becomes exempt from tariff. So, it is only the balance 40% which gets
tariffed at 50%.
Kumar Soumya: Got it, sir. Thank you.
Moderator: Thank you so much. That was the last question. On behalf of PC BL Chemical Limited and by
ICICI Securities Limited, that concludes this conference call. Thank you for joining us a nd you
may now disconnect your lines.

Call: Feb 2026

9th February , 202 6

The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fo rt,
Mumbai – 400051 Mumbai – 400001

NSE Code – PCBL BSE Code – 506590

Dear Sir,
Sub: - Q3 FY 26 Earnings Conference Call – Transcript
Further to our letters dated 29th January , 202 6 and 3rd February , 202 6, please find enclosed herewith the transcript of the Q3 FY'26 Earnings Conference Call held on Tuesday , 3rd February , 2026 at 15:00 hrs India Time, for the quarter and nine months ended 3 1st December , 2025. This information is hosted on the Company's website and can be accessed at the link: https:// www.pcblltd.com/investor -relation/financials/investor -presentation .

We request you to please take the afore -mentioned information in record and oblige.

Thanking you,

Yours faithfully,

For PCBL CHEMICAL LIMITED

K. Mukherjee
Company Secretary and Chief Legal Officer
Enclo: As above

"PCBL Chemical Limited Q3 FY'26 Earnings
Conference Call "

February 03, 2026

MANAGEMENT : MR. NILESH KOUL - MANAGING DIRECTOR , PCBL
CHEMICAL LIMITED
MR. RAJ GUPTA - CHIEF FINANCIAL OFFICER , PCBL
CHEMICAL LIMITED
MR. ANAND KUMAR - GROUP HEAD, INVESTOR
RELATIONS
MR. PANKAJ KEDIA - EXECUTIVE DIRECTOR ,
INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN- ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to PCBL Chemical Limited Q3 F Y'26 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that thi s conference is being recorded.
I now hand over the conference to Mr. Sanjesh from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Thanks, Pari. Good afternoon, everyone. Thank you for j oining on for PCBL Chemicals Limited Q3 & 9-month F Y'26 Results Conference Call.
We have PCBL Management on the call, represented by Mr. Nilesh Koul – Managing Director , Mr. Raj Gupta – CFO , Mr. Anand Kumar – Group Head (Investor Relations), Mr. Pankaj Kedia – ED, Investor Relations.
I would like to invite Nilesh to initiate with his opening remark, post which we will have a Q&A session. Over to you, sir.
Nilesh Koul : Good afternoon, everyone, and a warm welcome to you on PCBL Chemicals Q3 and 9 -month FY'26 Earnings Conference Call.
Our result documents were shared with you earlier and I hope you have had an opportunity to glance through them. I will initiate by briefly taking you through the key financial and operational highlights for the quarter and 9-months ended 31st December 2025. Following that, we will ope n a forum for your questions.
Before I talk about business, a quick introduction is in order. I have taken over this role from Mr. Kaushik Roy on the 3rd of November 2025. Prior to j oining PCBL Chemicals, I worked in Castrol, British Petroleum, Lafarge Holcim in a career spanning 28 years, and my last assignment was with Hindalco Industries Limited as Senior President , Aluminum and CEO , Downstream Business.
Now , about the business :
As we reflect on the quarter, our Q3 performance has been shaped by geopolitical developments and volatile market conditions across segments. While this has put pressure on near -term profitability, the underlying fundamentals of our business remain strong an d unchanged.
Domestic demand remains healthy, supported by high domestic consumption and rising tyre exports. Globally, carbon black demand has been impacted in the short term due to trade tensions, tariffs and geopolitical challenges. Following significan t capacity addition over the last few years, industry utilization currently around 75% is lower compared to the normal level of

80%. As utilization improves in coming quarters, pricing power should gradually return. Given the uncertainty around global trad e policies, particularly the U.S. tariff around 50% on India, we saw very cautious behavior from customers in the U.S. The conclusion of Indian -U.S. trade deal announced yesterday at a substantially reduced tariff of 18% will meaningfully benefit both PCBL and Aqua pharm in expanding our sales volume and profitability in the U.S. market. The trade deal is a major boost to India's export competitiveness as India has now a significant advantage to its Asian peers. Recent announcement of the India -EU FTA is als o positive for us. The EU carbon black market is around 1.5 million tons in size and offers meaningful headroom for Indian players to increase their presence in a more conducive trade environment. Overall, improved trade relations should be supportive acro ss our chemical businesses.
Over the past three years, India's carbon black exports have more than doubled to around 450 KT. This gives us confidence that export momentum will continue and recent signing of multiple FTAs will increase the export opportunit y in medium to long term. The continuous decline in

crude prices over the past years impacted margins and led to inventory adjustments, while also helping reduce working capital requirements. With crude now stabilizing and moving up around $65 per barrel, we do not expect the same margin pressures going forward. China's anti - involution policy may also gradually moderate price competition, althoug h the timing remains uncertain.
In the end -use industries, such as tyres, capacity addition across Asia, U .S. and Europe are expected to support downstream demand. Globally, the tyre industry is expected to see close to $29 billion of new investment by 2029. In India, tyre demand remains healthy, supported by improved affordability following GST cuts, premiumization trends, EV adoption and upcoming tyre investments.
While Q3 has been challenging, we have remained disciplined in execution and sharply focused on strengthening the core. In parallel, we have embarked upon a company -wide cost

optimization drive, focused on procurement optimization, yield and productivity improvement, further reduction in downtime, logistics optimization, and expanding our market reach. These are measurable execution -led projects, and we are targeting cumulative cost savings of Rs . 200 crores over the next two years, which we expect to translate into visible improvement in profitability over the coming quarters. Alongside cost initiatives, our R&D teams are working on diversifying our feedstock mix, including evaluating alternates, which include coal tar. This enhanced supply chain flexibility reduces concentration risk and strengthens our ability to manage volatility across market cycles. Our growt h strategy remains volume -led, supported by geographical diversification, efficiency initiatives, new value -added product streams, and improving performance at Aquaph arm. We have also taken initial steps towards integrating circularity in our operations, i ncluding evaluating the use of tyre pyrolysis oil and end -of-life recyclable carbon black. These efforts are currently at an early stage, but they align with our focus on sustainability, cost resilience and long -term competitiveness. As technology has matu red and adoption improves, we expect momentum in this area to gradually accelerate.

In the Specialty Carbon Black segment, the near -term environment has been influenced by slower infrastructure activity and consumer trends and continued capacity addition, leading to lower pricing power. However, our newly developed value -added grades are gaining acceptance in applications such as industrial coatings, supported by their performance characteristics. That said, we are seeing encouraging traction in segments li ke semiconductors, data centers and AI -led investments. Overall, we remain constructive on the outlook and continue to selectively increase our focus and resource allocation in this segment.

Alongside our ongoing focus on execution, we are progressing with strategic capa city expansion across segments. I will now share a brief update on these projects.

a) We have commissioned 60,000 MTPA brownfield expansion of rubber carbon black at our Tamil Nadu plant. This takes our total installed capacity to 8,50,000 MTPA

b) Trial runs commenced for Super -conductive Specialty black grades of 1,000 MTPA at Palej, Gujarat

c) Pre-commissioning process has started for the Specialty Black line of 20,000 MTPA in Mundra

d) Nanovace pilot plant project of 80 tons is expected to be live by the end of Mar 2026

e) Work on the 4,000 MTPA Acetylene black plant has been initiated, and we expect it to be commissioned by the end of FY27

f) For the proposed Greenfield CB project in AP - we have applied for environmental clearance , and we expect to receive them within a period of 12 months.

We are committed to meaningful investment in technology and digital capabilities also, aligni

ng
with our long -term vision.

We firmly believe that the coming quarter will reflect the benefit of all these investments and the India -US and India -EU trade deal, positioning the company on a stronger, more sustainable growth trajectory.

We continue to strengthen PCBL's sustainabili ty and safety performance alongside business execution. PCBL has retained its gold rating from Eco Vadis , placing us among the top 5% of companies globally assessed on environmental, soc ial, and governance parameters.

During the year, we have also made measurable progress across our sustainability priorities, including reduction in greenhouse gas emission, specific water consumption, and energy intensity. PCBL's TN plant and Durgapur plant received ISCC plus certificati on, demonstrating our initiatives towards circularity and responsible consumption and production. Year -to-date, specific water consumption has reduced by 3.9% in Durgapur and 5.3% in Kochi, while specific

power consumption has reduced by 1.3% in Durgapur a nd 3.6% in Kochi. All manufacturing sites have achieved zero waste to landfill certification, platinum diversion rating. Importantly, we have also maintained a strong safety track record with zero loss time injuries in FY '26, reflecting continued focus on operational discipline and people safety.

Coming to the quarterly performance :

During the quarter, our consolidated sales volume in carbon black business marginally declined by 2% YoY to 141,271 metric tons. Consolidated Revenue from operations during the quarter was Rs. 1,846 crores and Consolidated EBITDA were Rs. 231 crores. Further, in alignment with recent changes in the labor code, we have recorded a one -time provision of Rs. 21 crores during the quarter.

Of the total carbon black sales volume, domest ic sales volume grew by 6% YoY to 89,615 tons, while international sales volume decreased by 13% to 51,656 tons in Q3 FY '26.
Moving on to our segment performance :
Tyres accounted for 81,219 tons, performance chemicals 43,352 tons, while specialty sales volumes were up by 17% YoY to 16,700 tons. Power generation increased by 28% YoY from 161 MUs to 206 MUs, with an external sales volume growing by around 33% YoY to 125 MUs as against 94 MUs in Q3 FY '25.
Coming to the nine -month performance during FY26 :
Consolidated revenues from operations stood at Rs. 6,124 crores as against Rs. 6,317 crores in 9-months FY '25. Sales volume from carbon black increased 2% YoY to 4,57,092 metric tons in 9-months FY '26 against 4,46,11 1 metric tons in 9-months FY '25. Consolidated EBITDA for 9-months FY '26 stood at Rs. 834 crores as against Rs. 1,067 crores in 9-months FY '25. Power generation went up by around 14% and sales volume by 18% during the 9 months of fiscal year.
Despite microeconomic volatility and trade barriers, PCBL continues to strengthen its position as a diversified multi -chemistry , anchored in cost discipline, innovation, scalable operations, and long-term resilie nce.
Now, I would like to talk about our Specialty and Solutions business at Aqua pharm. Recently, there has been a chan ge in the leadership at Aquapharm . Mr. Suresh Kalra, who was the CEO of Aqua pharm has resigned due to personal reasons. Interim leadershi p has been placed for effective business continuity and smoother operations.
In coming weeks, we plan to organize an investor day at the Aqua pharm facility to take you through the various steps being taken to take the business to the next leg of growth. In the short term, the business faced a challenging external environment. There are different dynamic shaping performances across our key mark ets. I will take it one by one.

Performance was weak as geopolitical tensions remained elevated like tariff s under few of our products in USA and slowdown

in end offtake . Aqua pharm reported revenue of Rs. 327 crore
and an EBITDA of Rs. 35 crores in Q3 FY '26. Hom e Care sales volumes declined by 8% on a QoQ basis. Our water solutions business also faced headwinds, resulting in a 26% QoQ decline. Application -specific solutions remained flat while the oil and gas segment declined by 23% QoQ impacted by lower oil rig counts and fra c spreads in the U.S. While lower oil prices have led to more cautious customer behavior and then an indirect impact on realization, but with crude prices stabilizing and moving higher, visibility has improved.
Home care and water solutions a re largely supplied from India and U.S. tariffs on biocides and select polymers have impacted part of the business, while impact on home care business is seasonal. This is now expected to improve with the lowering of the U.S. tariffs. However, we continue to focus on our opportunity funnel.
In Q3 FY '26, we saw some strong conversations.
Green chelates

- For GLDA , we received a formal allocation from P&G (MENA and Europe for the first time) and we are also on track to initiate supplies to Henkel from Q1 FY '27 in Europe.
- IDS received REACH registration and initiated commercial supplies in Europe.
- MGD A Liquid initiated seeding through distributors in Europe.

In water treatment ,

- From Saudi water authorities, we received a letter of intent from them for anti-scalant for RO plants and anti -foaming for thermal plants (both for the first time).
- New product development - PBTC : initiated sampling of our own produc ed PBTC across all major water treatment companies

In Oil & gas,

- Initiatives are taken to diversify business geographically. With dedicated hiring acros s LATAM region and Midland Basin. We are further looking forward to hiring more people to cover other basins as well.
- New product pipeline includes launch of new products to ensure increase in wallet share with all our existing customers.

Recent regulatory tailwinds will lead to a significant uptick in coming quarters.

■ China VAT refund of 13% revocation for products like PBTC will help us to expedite sales conversion.
■ Constructive positive movement in imposing anti -dumping on China for HEDP and ATMP coming in India should also help.
■ India -Europe FTA will also remove the 6.5% duty on our chemical exports.
■ And of course, the India -US trade deal agreed at lower tariff at 18% will also help.
We have built a well -researched opportunity pipeline across green chelates, biocides and phosphonates. To support execution, we are strengthening our sales organization and appointing new distributors in markets where we have limited presence such as Africa, Latin America, Canada and Australia, which should enhance our market reach over the coming quarters.
We are also focusing on optimization of our vendor and raw material supply base for Aqua pharm .
Now that these initiatives are largely completed, we are confident they will start reflecting in better EBITDA.
With this, I conclude my remarks. Thank you for your attention and I now welcome your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aditya K hetan from SMIFS Institutional Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. Just a couple of questions. Sir, when we look in this quarter holistically, overall volumes have seen 23,000 ton s decline quarter -on quarter -on-quarter basis. But the realization and gross profit still look okay despite all the tariff related uncertainty. But again, on hindsight , our fixed cost has gone up. So, what has led to this steep dip in volumes and higher fixed costs during the quarter?
Raj Gupta: Aditya, if you look at our quarter -on-quarter cost changes, the fix ed overhe

ads have not gone
up. So, there is a saving in fixed cost. But operating leverage has played negatively. And consequently, when you look at EBITDA level, then it is slightly lower compared to the last quarter.
Nilesh Koul: In terms of the volume d ecline, it's predominantly come from a reduction in the export volume. While we maintained domestic market share, the export environment being a little more tricky is where we have lost volume and that's impacted on the bottom -line.
Aditya Khetan: How much volume, sir, we have impacted because of tariff in US?

Nilesh Koul: So, it's difficult to put a hard number on that. One of the things that happened with the US customers was that even when we were competitive, because they were not sure about wha t the eventual duty structure would be, they were not willing to commit. We shall now see how we engage back with them and get back that volume. So, there's not a particular number I can give you. But yes, it did impact us not being able to convert a lot o f opportunities which were being discussed earlier in the year.
Raj Gupta: Last quarter was end of calendar year. And a lot of our customers are in international market for them, that is balance sheet period. And consequently, historically, we have seen so me inventory reduction s on their books. And which last quarter has also kind of hit us, the changes in inventory level. And consequently, there was impact not only in US, but in number of other geographies also.
Aditya Khetan: Got it, sir. S ir, my second question is, when we look at the current business structure, we have not been able to ramp up Aquapharm, like it has been a very long period of time now. So, what gives us the confidence that in our future businesses, like your Nanovace and you r Super-conductive grades , wherein I believe a bigger share of EBITDA going ahead would be coming from the Nanovace . So, what gives us the confidence that , that also would be a linear ramp up or the Company can start the plant, what they have said, conside ring what has happened in the hindsight in Aquapharm, we have not been able to get that number. Can you let us know how things will move ahead and whatever we have said, can we deliver on that?
Pankaj Kedia : Aditya, on Aquapharm side, while we have not been able to ramp up in the past, that point is true. But a lot of steps have been taken in the recent past and a lot of regulatory tailwinds are also supporting us now, which gives us a belief that next financial year, we will see a significant ramp up on the volume side. If you recall, we almost added 30% of capacity in Aquapharm in the last couple of quarters, first half of this year. And those were those products where we were seeing customers demanding products. Having commissi oned those capacities, it takes some time to ramp up those capacities, which we believe will start happening going forward.
Secondly, if you see on multiple product sides , practically, primary reason of Aquapharm not doing well in the last quarter was a decent degrowth in the oil and gas business, where lower crude prices were kind of impacting in terms of customer demand to us. But with crude slightly moving up, we believe that demand should pick up. On some of t he other products, specifically

on the green chelate s side, where we have in the past also spoken about a very large opportunity, because we see very specific movement from the customer side requirement towards green chelates . We have added capacities in t he past for green chelates . We are working on new capacity addition on green chelates a nd from the existing capacities, which we have in the past, we have now, after a lot of effort and product approvals in place, we have started getting orders. As Nilesh mentioned in the call, for the first time, we have got an allocation from P &G. And from Q1, we are also

looking to initiate initial supplies to Henkel. And as these top -end, top -tier customers in Europe and then in US also start accepting our product, prob ably a few quarters down the line, we are expecting significant growth in the green chelates portfolio. From the

Saudi facility, which we have, we have received a letter of intent for some of the anti-scalant products, which will add a decent volume to us next year. On the oil and gas segment, we were primarily not present on the Latin American market, which we believe , will now open up. And while it is a little early, but again now Venezuela becomes a market for us, which was practically not available. Also, there are a couple of regulatory tailwinds, which I am re -highlighting to you, which is on the PB TC product, the 13% VAT removal from Chinese side, will now ensure that our margin on PB TC will move up sign ificantly. And it's a reasonably decent portfolio for us. And last year in September end, we filed an anti -dumping petition with DGTR for our HEDP and ATMP product, and have already spent almost four months on that. The investigation is in process. As and when the ADD is imposed on these products, you would see a meaningful increase in both the revenue and bottom -line contribution from them. So, I think overall, while Aqua pharm has not grown as we anticipated, but we believe in the coming few quarters, you will see a gradual upward movement in both topline and contribution.

Nilesh Koul: If I can take on the Nanovace question, I think what you should get confidence from is, we ha ve put together a very strong project management framework in taking this product from lab to commercial, with very strong engagement with customers, already on the pilot stage. Dedicated teams being hired ahead of time. And I think rigor in execution is s omething that we are prioritizing with strong project management. I think we are very confident that we will be able to take it to the commercialization stage as per the plan.

Aditya Khetan: Got it, sir. So, putting things into perspective for Aqua pharm, y ou have said like you are also starting Henkel suppl ies in Europe by 1st Quarter , anti-dumping duty imposition on HEDP and all. So, putting these things like what sort of volume growth we are anticipating in Aqua pharm for the next two years ? And similarly, in Carbon Black, is there any change in the volume guidanc e which we have earlier stated?

Pankaj Kedia : On the Aqua pharm side, I think we should be comfortably looking atleast a 20% volume growth next year.

Aditya Khetan: But sir, this volu me growth figure of 20% was despite the current order of Henkel and all these anti-dumping duties. So, ideally, it should be much higher?

Pankaj Keida : It should be higher. Some products are under approval stage and supply ramp up takes time. So, we have c onservatively estimated at that number. We will be happy to report higher growth going forward.

Aditya Khetan: And on the Carbon Black side, sir?

Nilesh Koul: On the Carbon Black side, again, we should be seeing growth. As I talked about earlier, we have commissioned and started up an additional soft line in TN, which should demonstrate that we are confident that volumes are going up. Both in the domestic market, it will be in line with the growth of the market. And in the international market, we expect t o grow market share. So, you

should see strong growth coming in. We are already seeing some green shoots in Q4 itself. But the real value will start coming in from Q1 -Q2 next year.

Aditya Khetan: Got it. Sir, just one last question. So, when we look at the spread cycle of history , today we might be standing at the lower of the spreads. And quarter -after-quarter, management has reiterated that this is the bottom. But every quarte

r, we see a new bottom in spreads. So, just I want to know, considering all the negatives today what we have, and we are seeing US volumes ramp up inside. Is it fair to say, so this number could be the bottom, and from here on, we could see better numbers only? And on the demand side from the tyre customers, is there any visibility you're getting in the export market and in domestic market, whether we could inch up volumes further?

Nilesh Koul: As I said, the domestic tyre market demand is robust. We should be expecting single -digit growth, but strong single -digit growth, I would say b etween 5 -6%. So, tyre demand will continue to grow. And I think we can confirm that this quarter is the turning point with both international volume s shaping up and the growth returning. I think you should expect b etter performance going quarter -to-quarter .
Aditya Khetan: Got it, sir. Thank you. That all from my side.
Moderator: Thank you. The next question is from the line of Suyash from Mangaldas Venichand Trades and Investments LLP . Please go ahead.
Suyash: Thank you for taking my question. I wanted to know about the Nano vace project. The pilot project is in place. So, can you tell me more about this?
Nilesh Koul: So, Nano vace is a project we are entering into the battery energy segment. This is a partnership with an Australian company. So, the concept in terms of Nano vace is a new way of making the product and we are already engaged with customers in validating the properties of the product. And we have got very, very interesting and encouraging returns from them. After the pilot project is d one in March, we expect a validation period of a few months before we look at final ramping up of the capacity. This is a significant growth opportunity for PCBL to diversify and get into the battery materials industry.
Suyash: Okay. And what is the expected revenue and EBITDA margin from this product for FY '27 and FY'28?
Raj Gupta : Commercialization of this product is going to take some time. We are planning to put up a 2,000-ton commercial plant. And at full utilization level, it should generate som ewhere around close to about Rs. 1,700 crore kind of topline and alm ost 50% of that going to bottom -line. But the full utilization is going to take beyond FY'28. So, our sense is that it should be end of FY'29 or beginning of FY'30 that we will reach the q uarterly full run rate of utilization.
Suyash: Okay. So, that means the Rs. 1,700 crore topline will be achieved after '28?

Raj Gupta: No. So, while the commercial plant should come up by end of FY'28, utilization thereof will still take a few more quarters. It can take 4 to 6 quarters or maybe even more. This is a little early for us to comment on that. But at full utilization level, it should generate about Rs. 1,700 crore topline and about 50% of that s hould be flowing down to bottom -line.
Suyash: So, the commercialization will be end of FY'28, not '27. I thought this was in second half of FY'27?
Raj Gupta: Correct. You are right.
Suyash: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.
Radha: Hello, sir. Thank you for the opportunity. Sir, in the investor meet, you had suggested that there will be no debt reduction in the next three years as you are planning to go for higher CAPEX , which was I believe about Rs. 3,200 crore s. But the recent presentation mentions that there is a release in working capital and which was used for reduction in debt. So, I wanted to understand, is there any change in st rategy on the CAPEX and debt front?
Raj Gupta : So, Radha, we are largely through with our ground field expansion. We just commissioned , one soft line in Tamil Nadu , this quarter. And while the other line is also ready, I mean, the commissioning might take a few mor

e months, but the CAPEX has been incurred. For Andhra Greenfield, we have applied for environmental clearance. And again, based on our past experience, we think that it will be good 3-4 quarters before we get the clearance from government to start the project. So, next one year, the CAPEX intensity is going to be very low. Now, coming to the debt side, at the beginning of the year also, we said that we are trying to make our working capital cycle more efficient. And that's where we have worked. So, partly because of our being able to negotiate better credit terms with our vendors and our customers and better inventory management, we have been able to reduce the overall working capital. And also because crude came down in this period , so that has als o supported. Now, on a net debt basis, there is already a reduction of about Rs. 400 crore s plus in the first 9 months. And we believe , that by end of this year, we should see about a couple of hundred crores reduction in the debt.
Radha: Sir, how much CAPEX are you expecting for FY'26 and FY' 27?
Raj Gupta : FY26 , it will add up to about Rs. 550 odd crores. So, far, we have spent about Rs. 400 crores. There's one specialty line which is under way currently, but that's the number for the current year. Next year, it should be somewhere around Rs. 300-400 odd crores.
Radha: So, FY26 is Rs.550 crores and FY'27 is Rs.300 crores to Rs.400 crores.

Raj Gupta : In FY 27, we expect sub Rs.400 crores capital expenditure, which includes maintenance CAPEX and CAPEX on Nano vace. One acetylene black line would come and maybe some small capital expenditure in Aqua pharm.
Nilesh Koul : Operationally, Radha, for next year, we will be spending more effort on utilization rate improvement in India because we have lines which are yet to get commissioned, which is what will happen by the end of this quarter so that we will have effective capacity available next year, which is in line with the growth ambition we have earlier talked about.
Radha: Sir, actually, previously, our CAPEX guidance was more aggressive than the current numbers. So, that was because we were expecting higher growth in terms of volumes in our business. So, since you have reduced the near -term CAPEX estimates, is there also a reduction in terms of volume growth t hat you were expecting previously in your business versus now?
Raj Gupta : Radha, in terms of the mid -term to long -term prospects of the industry, the dynamics remain very positive. And therefore, the guidance that we gave, we are on track to achieve that. And therefore, we have acquired this land in Andhra and applied for environment clearance. But these are all regulatory processes which take some time and therefore, this delay in incurrence of capital expenditure. But Brownfield expansion, we have already completed. There is some Brownfield expansion which will happen next year. And by that time, we will also receive environmental clearance, and we will start working on the first phase of Andhra. So, from 4 to 5 years kind of a p erspective, we remain very much on track.
Radha: And from next one year perspective, sir?
Raj Gupta : Next one year perspective also, Nilesh just mentioned that domestic market, we expect to grow at industry growth rate about higher single digit, maybe arou nd 5-6%. And in the international market, we are still very small compared to the overall opportunity. And that's where we are trying to garner a bigger share. We have plans to invest more in infrastructure, which will give us inroads into some of the high margin markets.
Radha: Can we expect double digit growth in international market , mid-teen?
Raj Gupta : I don't think, very honestly speaking in immediate next one year, because the geopolitical situation is still very volatile. We are targeting double digits, but I think in FY '27, it will

be a
very high single digit.
Radha: Sir, secondly, the PPT mentions that Company has embarked upon a cost optimization drive in Carbon Black segment , which can reduce the cost by 200 crores . So, first quest ion is, can this be done in ACPL also? And second, if you can give us some roadmap as to which are the, I mean, if there is a yield improvement then from what to where are we targeting? So, any more color on this?

Nilesh Koul: So, it's a widespread project that we hav e taken, which is multifaceted. So, it starts with procurement, where we are looking at diversifying our feedstock. So, we expect 1 -2% improvement there. In yield , across different grades, we are expecting further improvement. This is project where we have already finished our pilots and now, we are looking at expanding and horizontally deploying these solutions. On productivity improvement also, through the use of digital and analytics, we have got projects now which will deliver productivity improvement for us as well. Even on quality side, we are going to be looking at reducing off -spec production within the production cycle. This is not quality that goes to the customer s that we are very, very good at. But within the manufacturing process, any off -spec generation reduction improves both yield as well as productivity. So, we will look at that. On logistics, there is an opportunity for us to improve. And as I said, on the procurement side also, we see opportunity to improve our costs . So, we have spent the last 60 days identifying these projects. And they are now in the execut ion phase. Of course, we won't have a 100% hit rate. But we are fairly confident that this program is going to deliver on the promise that we are making today.
Radha: Okay. And the last question to you, Mr. K oul. So, since you joined, which has been three months, you must have understood about the Company and the pain areas of the Company. So, according to you, what are the current pain areas and what changes are you planning to bring to create value for the shareholders?
Nilesh Koul: I think, yes, it's been nearly three months now and I have visited all our plants and met up with a lot of our customers. I think what I can confirm to you is that the fundamentals are very, very strong. I think we have got excellent people. There is a huge amount of ownership. There is excellent execution on the field that is happening. And , there is a willingness and openn ess to change. And therefore, we are embarking on some of these projects with the help of external consultants as well. So, what we have already started doing is getting some external consultants and experts to advise them on some of the projects I was tal king about earlier in terms of yield and in terms of productivity improvement. And I think in terms of the feedstock diversity, that's

an opportunity for us to leverage. The other opportunity for us to leverage beside the value - added part of the business, which is Nanovace and other battery materials, where we are strengthening the team and creating more focus , is that key account management with international players, which also requires us to invest in the supply chain assets in specific geographies. Espe cially with the improvement in FTAs, which are coming through Europe, certain geographies will become very interesting for us. So, it's not just about appointing a distributor or supplying directly to the customers. One of the areas we will try to improve is to reduce the lead time for customers by putting in supply chain infrastructure in specific geographies, not everywhere, but in a few specific geographies, which we believe is one of the keys asks of the customers. So, with these initiatives, I think we have the people to do it. We have the focus to do it. And we have now embarked on creating a roadmap on which each of these

milestones is going to be tracked very rigorously to deliver on the promises that we make.
I hope that helps.
Radha: Yes, sir. Thanks and all the best to your team.

Moderator: Thank you. The next question is from the line of Sanil Jain from Ambit Capital. Please go ahead.
Sanil Jain : Hello. Just one question I have, what is the EBITDA per ton for the carbon black business for the 3rd Quarter, as well as the 9-month of FY'26? And do we expect to maintain the guidance of 25,000 per ton over the next 2-3 years?
Raj Gupta : Well, third quarter, we had Rs. 13,800 EBITDA per ton. And this number is for 9-months Rs. 15,300 / ton. What was the next question, Sanil?
Sanil Jain: And the guidance .
Raj Gupta : Yes, so beginning of the year and earlier earning calls, we had spoken about all the initiatives we are taking on our product portfolio improvement side, manufacturing efficiency and the operating leverage playing its role as we grow higher in terms of volumes and capacity. All of that, I am not talking about immediate short term, but 4-5 years, w e stick to our earlier guidance. The potential is huge. And we should be reaching some where near Rs. 24,000-25,000/ ton in next five years. That's how we see it.
Moderator: Okay. Thanks. That's all from my side.
Moderator: Thank you. The next question is from the line of Ashwini Singh from Santosh Finlease Private Limited . Please go ahead.
Ashiwani Singh: Okay. So, sir with the European FT A and American tariff reduction in place, so would you like to quantify what percentage gains in volumes you expect in exports for FY '27 and considering crude at $65, which is lower than your comfort zone of $72- 75, what should be the overall margin profile of PCB L in FY '27?
Raj Gupta: Okay. I will answer the second part of the question. The first part , I will let Nilesh to answer. Crud e as such doesn't impact our margin in absolute terms . So, the movement in crude becomes built into the pricing and passed on to the customers on a very macro level. I mean, there are some segments, of course, which is kind of impacted by change in crude p rices, but it is more about demand and supply dynamics than the movement in crude .
Nilesh Koul : So, in terms of the volume, I think it's a dual question. One, what we did when the tariffs went up from 10 % to 50% is we stayed engaged with our customer base, which did result in us taking a little bit of a hit on profitability. But we were expecting that tariffs would settle down, which is what has happened right now. However, it will take us a few months before the customer switches back over to us. So, I expect growth to happen in terms of volume as competitiveness improves with the US and European customers. The other element which we have to focus on is also the building of supply chain infrastructure in these locations, which is something that we have embarked on. I think a combination of that will deliver volume growth. I am not able to quantify it for you right now, but I expect strong growth from both these markets, especially

with focus on a few select ter ritories where we believe the investment in local supply chains will impact both volume as well as profitability.
Ashiwani Singh: Okay. And sir, I have one more question. So, would you like to stick to the FY29 PA T guidance of Rs. 2,500 crores as were claimed by the earlier MD of PCBL around, I think in 2024, or do you wish to postpone or revise that guidance?
Raj Gupta : No, we don't want to make any changes in our long -term guidance now because all the levers which we built into our numbers for FY29, those work in progress, very much work in progress.
Ashiwani Singh: One last question is like this quarter, there was no dividend declaration. So, this is probably the first time in many years in

Q3, there is no dividend. So, earlier in Q2, you had a dividend, but it
was termed to be an interim dividend. So, would you like to comment anything about what
should we expect on the dividend policy going forward?
Pankaj Kedia : Typically, if you see last few years, the board has declared the interim dividend either in Q3 or Q2. And while last financial year, it was in Q3, this time the board chose to deliver in Q2. And currently, I think at the board, there was no proposal to go for any further round of dividend. So, overall, in the past few years, typically, we have been maintaining a payout of 40 -45% to 50% kind of a range. And generally, we should be able to maintain that going forward.
Ashiwani Singh: Okay, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Disha from Sapphire Capital. Please go ahead.
Disha: I just wanted to know what's the total CAPEX that we are spending on the Nanovace plant?
Raj Gupta : On the commercial pilot plant, it would be just about $4 -5 million. On the full -scale, our current estimate gives us a number of about between $25 -30 million.
Disha: And this we are expecting to commercialize by the end of FY '28, right?
Raj Gupta : Yes.
Disha: Okay. So, what's the utilization that we are targeting for FY '29?
Nilesh Koul: So, this is something that we will have a better hang of after the pilot results are in and further qualification of the material happens. But we expect after qualification s, the ramp up to be fairly quick.
Disha: Okay. So, can we expect to reach peak by the beginning of FY '30?
Nilesh Koul: FY'30, I think we should be seeing closer to where we want to target in terms of utilization. But as I said, it will require us to work on further downstream applications of Nanovace and work

with customers and see how that supply chain improves as w ell. But yes, we are confident that the ramp up will be fast.
Disha: Okay. All right. That's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Sanj esh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Thanks for the opportunity. I have got a few questions. First, on Europe , the Euro 7 norms are being proposed to be started from November of this calendar year. Where for the first time, there is a pollution norm getting introduced for the braking and the tyre, which should mean that there will be much stricter regulation. And hopefully, that should benefit somebody like us who has a stronger legacy in the carbon black business. Are we preparing anything for that? Or is that , l be a game changer for us in t erms of winning more market share and all? Can you help us understand that?
Nilesh Koul: So, we are working very closely with the customers in developing new solutions for them. And , you're absolutely right. Our hope is that we should be able to increase o ur market share in the European tyre customers. We are also working in our Belgium R&D center on developing unique solutions for the EV ecosystem as well, because that's where a lot of growth and request for innovation has come from customers. So, on both these fronts, we are working very closely with customers. It should benefit us in the medium to long term.
Sanjesh Jain: Got it. Second, now that crude has stabilized, has increased from the lows we have seen, I think there could be some demand from the restocking. Are we looking at some restocking demand because crude is stabilizing or moving up? Any of those signs are visible today for us?
Nilesh Koul : As of now, we haven't seen too much of that yet. But let's see if the uptick continues because there a re different models people are using in terms of what the trajectory is going to be. We haven't seen any uptick right now, but if there is, we will be more than happy to support that.
Sanjesh Jain: Got

it. My third question is on the domestic business. It appears that auto is doing very, very well. While domestic sequential numbers have declined, anything that we have picked up for us to not do as good as auto OEMs?
Nilesh Koul : I think there is one is the seasonality issue, which played a little bit of a r ole in Quarter 3. Second is that , there has been additional capacity in the domestic market, which has come in as well. So, there is some jostling for market share, which has happened. However, our market share with tyre companies continues to be robust and we continue to stay engaged for long -term relationships with them, which are beyond transactional in terms of co -creating and working together for long-term strategic partnerships, which should help us continue to stay in a good strong position in the tyre market. But yes, we expect to leverage the growth, which we are expecting from the domestic tyre market which will b e around 5-6% growth next year as well.

Sanjesh Jain: Got it. One last question on this U.S. tariff side. Earlier in the call, we have mentioned that the

U.S. business was not profitable due to the tariff. This was still yesterday. Today , we have an 18% tariff. Does the U.S. business become profitable equal to th e existing run rate with the 18% tariff or we will still see this 18% is incr eased from zero? That will still have some kind of an erosion in the profit from where we started, say, a year back?

Nilesh Koul: No, we should see a significant impro vement. So, we started from a 10% tariff, where the effective tariff on us is roughly around 4%, because we source CBFS from the U.S., so there is an offset that we get. This 18% also will see the effective rate being less, maybe around 8-9% or so. So, we definitely , see margin improvement happening. And , equally importantly, we hope to see volume improvement happening as well as customers get s more confidence on the stability of the tariff rate. The customers were more worried about the instability and unpredictability of the tariff than o n the absolute number s. So, we should see improvement in both.

Sanjesh Jain: India now relatively tariff lower within the Asia peers. Will that put us in a better position to supply to the U.S. versus Chinese?

Nilesh Koul: Short answer, yes. But as I said, we need to do more work. We need to put in the infrastructure. We need to wait for some of the customers who have entered into medium term agreements with their other vendors, local vendors, so that it might take a little bit of time. But yes, definitely on the overall, we should see better competitiveness from us compared to some of the other Asian players.

Raj Gupta: And China doesn't supply much to the U.S. It's very small. I mean, they do annually some 10,000 tons to 15,000 tons to the U.S.

Sanjesh Jain: Okay , that's it. I think the tyre supply has increased. I think that is where at least global carbon black OEMs have been talking of significant dumping of tyres from China to North America and South America. That scenario is not changing, right? Or you think Indian tyre exports will become now competitive? Because I think Section 232 remains unchanged. At least that's what the news says.

Nilesh Koul: Yes, we will have to observe it. But yes, you're right on that. And there is, of course, also additio nal capacity being set up in Latin America as well as America on the tyre investments. So, in the medium term, we should see more demand for carbon black as tyre capacity increases there.

Sanjesh Jain: Got it. That's it from my side. Thanks for answering a ll those questions and best of luck for the coming quarters. Thank you.

Moderator: Thank you. The next question is from the line of Bharat Seth from Quest Investment Advisors. Please go ahead.

Bhar

at Seth: Hi, sir. Thanks for the opportunity. All my questions have been answered. I have only one question when we are talking of yield improvement. So, what kind of improvement currently we have at Tamil Nadu, which is a new plant vis-à-vis old plant and where do we have a strategy to improve when you tal k about yield improvement measure?

Nilesh Koul: So, just to give you some of the interventions we are looking at is, for example, the type of refractories we are using, we are getting international consultants to come and support us in that and minor CAPEX investments to improve efficiency. So, we should see a 1-2% improvement in the near term with some of the interventions that we are planning.

Bharat Seth: Near term in the sense that when you are talking of two -year plan, correct? Is that we are understanding?

Nilesh Koul: That improvement might come earlier. As I said earlier, we have done a pilot test and there we have been able to realize the yield improvement. And now it's about horizontally deploying this across the other plants.

Bharat Seth: Okay. And medium term, what kind of improvement are we looking for?

Nilesh Koul: I think , we are looking at a minimum 1-2% improvement. Of course, there are multiple other initiatives. This one is attributable to one specific new intervention that we are making, but there are other projects being identified which might take, there'll be different phasing for multiple different initiatives to come into play. But I would say over the next two quarters, we should start seeing this improvement.

Bharat Seth: Okay. Thank you and all the best.

Nilesh Koul: Thank you.

Moderator: Thank you. The next question is from the line of Shashank Kanodia from ICICI Securities. Please go ahead.

Shashank Kanodia: Hi, good afternoon, sir. Just wanted to check, sir. Can you share the geographical mix of your exports? Apologies , if we have already shared that and I missed in the initial remarks.

Raj Gupta: In international market, about ~50% goes to Southeast Asia, about 20% to Europe, 13 -14% to US. And rest is spread across Middle East, Africa, and Australia, New Zealand.

Shashank Kanodia: Right. So, this is for the current quarter or is this at a normal level? Does it factor your decline

in US?
Raj Gupta: I am talking about the average of current year. Earlier, I mean, 2-3 years b ack, our Asia weightage was much more. It was more than 65 %. And Europe was very small, about 4-5%. So, from there, our North America and Europe volumes are on an increase.

Shashank Kanodia: Okay. So, effectively, 13 -14% volumes will tend to benefit from the reduced US tariffs, right?
Raj Gupta: It is not exactly US tariffs. Like, I tried to explain that there's also inventory destocking, partly because of December being balancing month for a number of our international c ustomers. And crude price has seen some correction, continuous correction. And when that happens, typically the inventory level goes down in the system. So, both things and also , in some of the markets , some of the customers where our margins were very low , we took a co nscious call to reduce volumes.
Shashank Kanodia: Sir, in the case of Aquapharm , you have the manufacturing facilities spread across US, Middle East and India. So, from India, do we export to US in the case of Aquapharm as well?
Nilesh Koul: Yes, we do.
Shashank Kanodia: And what proportion?
Raj Gupta : That's very small. That' s more of raw material for some of their end products. But in terms of overall percentage of India business, it will be like 4 -5%.
Shashank Kanodia: Right. And sir, in ou r broader scheme of things, we were supposed to spend Rs. 3,000 crores on incremental growth CAPEX , right? And you have considerably downward revised your CAPEX guidance for this next year. So, by 2028 onwards, do we pent up

our CAPEX spends or it's going to be at a simil ar level going forward as well?
Raj Gupta: No. So, when we spoke about CAPEX spend , that was kind of addition of all the Brownfield expansion, Greenfield expansion, the new project in the conductive segment, and also bit for the Aqua pharm . Part of that expenditure, Shashank , we have already incurred, like the Brownfield expansion in Tamil Nadu is complete. The specialty expansion in PCBL Mundra, that is also about to get completed. The pilot plan t of Nanovace is ready. Acetylene black plant will come up next year. So, it is not that we are cutting down on the size of our expansion plan. It is only that part of that we have already incurred and part is waiting to get started, pending some approvals from the government, which is Greenfield primarily.
Shashank Kanodia: You were supposed to do a Brownfield expansion of 90,000 tons in Tamil Nadu, right?
Raj Gupta: So, that 90,000 tons included one soft line and one hard reactor. The soft line, 60,000 tons, that is already commissioned. The hard line is currently under trial run and we would announce commissioning of that too soon.
Shashank Kanodia: Okay, thanks. And sir, is there any possibility of advancing commissioning of a Nan o-Silica plant because that is something which is interesting ?
Nilesh Koul: So, it's a new technology. So, we want to take it step by step. We want to ensure that the pilot project goes well. So, we have enough adequate focus on it. We are continuing engagement with

the customers. But I think it's bes t to do it in a structured step -by-step way rather than trying to rush it and then sort of not being able to deliver on the promise. So, as I said, new technology, we should have the pilot on time and eng agement with customers will dictate if we want to fast track this or not.
Shashank Kanodia: Are FY'30 plants included 2,000 tons of Nano -Silica plant to commission, right? Or is it now scaled back to 1,000 tons?
Nilesh Koul: No, we have not made any change s yet. As I said, the pilot project will dictate the next steps on this one in terms of timing. But as of now, we continue to hold on to that the next phase will be a 2,000 -ton plant.
Shashank Kanodia: And sir, one l ast thing , in the case of Aquapharm , last call guidance was 75% EBITDA at the existing run rate. So, do we stay by that guidance for Q4 for the case of Aquapharm?
Pankaj Kedia : Next quarter, we expect improvement from the current run rate. But yes, the EBITDA gui dance will be slightly delay ed.
Shashank Kanodia: Right. And on the dividend payout, sir, you said that you maintain tend to be at 40 -45% of PAT. Last quarter, you already distributed 226 odd crores . Do you feel you've gone overboar d on dividend payout this time?
Pankaj Kedia : From t he current quarter profitability, if you add up, the overall payout will look high. But from a normalized level, it would still be 45-50% kind of a payout.
Raj Gupta : One thing I will add here, Shashank, the visibility around performance and cash flow remains very strong. And therefore, the board has decided not to reduce dividend payout for now.

Shashank Kanodia: Sure, sir. Thank you so much and wish you all the best.
Moderator: Thank you. The next question is from the line of Aditya K hetan from SMIFS Institution Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the follow up. Sir, my question is on to the feedstock. Sir, you mentioned that you are looking at coal tar also as a feedstock. And some 1 -2% benefit from it. So, currently our raw material mix is of the CBFS, which is a mix of feedstock like anthracite, quinone and petroleum oil. So, then moving towards coal tar or carbon black oil, how benefit it is in the near term? And also, can you share the difference in price between CBFS and CBO as on today?
Nilesh Koul:

So, we have predominantly been operative in the CBFS, which comes from the crude. And now we are looking at diversifying. So, it's a strategy to diversify and sort of ensure that in different market cycles, we are equipped to mix and match. The other advantage is that we produce a lot of different grades and types of products, which have different quality requirements in specifics, like, for example , Sulphur, as an example . Now, if you are able to blend the products together,

we should see improvement in both being able to deliver quality at a lower cost, as well as diversifying our sources of feedstock. So, it's more in that direction. So, we continue to work on it. In the past also, we used to use coal tar -based products as we ll. So, it's a question of optimizing that flow and building optionality for ourselves.
Aditya Khetan: Got it, sir. And the difference, sir, in prices?
Raj Gupta : Currently, it is about $200 per ton.
Aditya Khetan: Okay. got it. Sir, my second question is on to the EBITDA per kg number, which you have mentioned of Rs. 24-25 per kg. So, these number includes the new -age businesses EBITDA also, or this is your core carbon black EBITDA?
Nilesh Koul: No, that is carbon black.
Aditya K hetan: Okay. So, sir, carbon black EBITDA, like Rs. 24-25 per kg, seems like on the higher side, because the current number looks quite lower. So, what is that confidence like into, to get this sort of a number?
Nilesh Koul: I think we are looking at both sides, in terms of efficiency improvements, so that there is a cost reduction, as well as realizing better premiums, given we are going up the value chain in terms of different types of carbon black products as well. So, combination in the medium term, we are fairly confident that we will hit that number.
Aditya Khetan: Okay, sir. Got it. Thank you.
Nilesh Koul: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Date: 7th May, 202 6
The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001

NSE Code – PCBL BSE Code – 506590

Dear Sir,
Sub: - Q4 FY 26 Earnings Conference Call – Transcript

Further to our letters dated 2 5th April , 2026 and 3 0th April , 2026, please find enclosed herewith the transcript of the Q 4 FY 26 Earnings Conference Call held on Thursday , 30th April , 2026 at 1 4:30 hrs India Time, for the quarter and financial year ended 31st March , 202 6. This information is hosted on the Company's website and can be accessed at the link: www.pcblltd.com/investor - relation/financials/investor -presentation .

We request you to please take the afore -mentioned information in record and oblige.

Yours faithfully,
For PCBL CHEMICAL LIMITED

K. Mukherjee
Company Secretary and Chief Legal Officer

Enclo: As above

"PCBL Chemical Limited

Q4 FY26 Earnings Conference Call "
April 30 , 202 6

MANAGEMENT : MR. NILESH KOUL – MANAGING DIRECTOR – PCBL CHEMICAL LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER – PCBL CHEMICAL LIMITED
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR – INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to PCBL Chemical Limited Q4 FY 26 Earnings

Conference cal l hosted by ICICI Securities Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the c onference over to Mr. Sanjesh Jain . Thank you and over to you Mr. Jain .

Sanjesh Jain : Thanks, Renju . Good afternoon, everyone. Thank you for joining the PCBL Chemical Limited Q4 FY 26 Results Conference call. We have PCBL Chemical Management on the cal l represented by Mr. Nilesh Koul -Managing Director, Mr. Raj Gupta -Chief Finan cial Officer, Mr. Pankaj Kedia -Executive Director , Investor Relations . I would like to invite Mr. Nilesh to initiate the call with his opening remarks, post which we will have a Q&A session. Over to you, sir.

Nilesh Koul: Hi, good afternoon, everyone and a warm welcome to you on the PCBL's Q4 and Full year 26 Earnings Conference call. When we last connected at the Q3 Earnings call, we had outlined the headwinds shaping our business, softer global benchmark spreads, surplus domestic capacity, geopolitical uncertainty and a sharp inventory adjustment by international customers. Most of these pressures persisted through th e fourth quarter and FY26 whole has truly tested our resilience and our business amid a challenging microeconomic and industry environment.

That said, while we faced significant headwinds last year, the broad industry dynamics have now started to show clear signs of recovery. Spread appear to have found a floor, exit quarter momentum has turned positive, the recent rationalization of U.S. tariffs has restored a meaningful cos t advantage for Indian exports.

Customer pipelines in our specialty business are firming up and the ratification of the India -EU FTA opens up a duty -free access to 1.8 million tons of carbon black market. We expect this recovery to consolidate progressively over the next 2-3 quarters. Today I'll walk you through headwinds we navigated, the challenges that have emerge d from the West Asia situation.

The recovery signals we are seeing, the steps we are taking to strengthen our position and the outlook for the year ahead. I will initiate by briefly talking you through the key financial and operational highlights of the quarter and full year. The most def ining feature of the quarter was the escalation of the West Asia conflict, which began in February and created significant disruptions across our value chain and substantial increases in cost.

With approximately 75 % of our raw materials sourced from the U.S. Gulf Coast and around 40% of our business driven by exports across geographies, we have significant dependence on global supply chain and this quarter we felt the impact on multiple fronts. The West Asia situation has created new challenges in terms of massive increases in logisti cs cost, cost of feedstock and the availability of ships and access to markets.

While availability of CBFS itself has remained uninterrupted as we continue to source from the U.S. Gulf Coast, raw material prices have risen, packing material costs have moved up materially

and freight costs have escalated sharply, exerting significant pressure on our margins during the period.

Our key export routes to Europe and U.S. pass through the conflict zone, causing disruption to the normal trade routes. Vessels are being rerouted via the Cape of Good Hope, adding at least 14 days to transit time and increasing logistics costs significant ly. This rerouting has tightened container availa

bility globally as vessels are caught in longer loops and the effect is visible in ocean freight rates, which remain significantly elevated compared to pre -conflict levels.

Through all of this, our priority has remained unchanged. The company is fully focused on ensuring timely supply to customers with no disruptions. I would also like to particularly acknowledge that most of our customers have been very considerate in sharin g the increased costs with us, and I sincerely thank them for their partnership during this period.

Our raw material is directly linked to crude price and this quarter crude rose sharply and witnessed high volat ility. Brent started at around $60 per ba rrel and ended March at around $100 per barrel . As we speak, it's hovering close to $120 per barrel. A significant portion of our volumes flow through formul a-based contracts with tyre majors.

Given that price contracts carry an inherent quarterly lag effect, the full impact of cost pass - through will reflect in our numbers by Q2 FY27, at which point our margins profile should normalize. In the spot market, cost pass -through has been initiated an d will help offset the rise in input costs.

We will continue to manage this actively as the situation evolves. The second important development is a clear shift in how customers are approaching their inventory. We are seeing a trend of stocking up at the customer level, which appears to be driven by uncertainty regarding the availability of materials going forward.

Global t yre majors are increasingly building strategic inventory buffers, transitioning from just -in-time to a more resilient just -in-case approach in order to mitigate supply chain disruptions. We expect this transition to translate into an incremental demand enviro nment driven by restocking of carbon black across the region.
Over the past few months, we have added 90,000 tons of carbon black capacity, enabling us to effectively cater to this increased demand. With the global carbon black market continuing to grow over the long term, we believe we are well -placed to benefit from this structural shift.
The domestic sales have remained stable, supported by steady demand across key segments. In our limited exposure to conflict -affected regions, except maybe a little bit for the specialty volumes, exports have remained resilient despite the uncertainty arising from the West Asia situation. Around 40% of our total sales volume is exported, with South Asia being the primary market and remaining unaffected by the ongoing conflict.
To navigate the disruptions in West Asia trade routes, we have proactively rerouted shipments to alternate geographies, ensuring continuity and minimizing any impact on international sales.

With supply chain stabilizing, we expect both domestic and export growth to continue in the coming quarters.
We are deepening our presence through a service -led model in Europe and Japan, aiming to drive volume and market -shared growth through customized solutions with key players in these markets. Beyond the near -term disruption, the underlying fundamentals of o ur industry remain intact and several structural tailwinds are turning in our favor.
The India -EU FTA has been ratified, bringing duty -free access to an important market within sight. The recent U.S. tariff reduction and duty refund benefits will also work in our favor. We are already in active conversations with customers in these markets and see good headroom for growth.
Despite cost headwinds, the t yre industry is navigating globally , tyre demand in the U.S. and replacement segment has remained resilient. The Indian t yre sector in FY27 is poised for ro bust, high single -digit growth. High vehicle usage and aging commercial vehicle fleet support steady tyre replacement demand in India. The industry is also benefiting from capacity ex

pansion,
premiumization and electric vehicle adoption.
In the special black segment, we took some price hike s to meet the rising cost s during the quarter. The near -term environment has been influenced by slower infrastructure activity. However, our products are gaining acceptance in applications such as industrial coating, supported by their performance characteristics. That said, we are seeing encouraging t raction in segments like EV, semiconductor s, data center and AI -led investment. Overall, we remain constructive on the outlook and continue to selectively i ncrease our focus on resource reallocation in this segment.
Just a word on Nano vace, which is our platform for battery chemicals and the pilot plant at Palej is fully equipped and ready for commissioning within the coming weeks. On the R&D front, the team has been significantly strengthened with enhanced lab capabilities. Business development has also been expanded across key markets, including Europe and South Korea. Engagement with large battery manufacturers is already underway to validate product properties.
Post-commissioning, a validation period of a few months is anticipated before capacity ramp -up begins. This represents a significant opportunity for PCBL to diversify into battery material industry, a high -growth, high -margin segment with strong long -term potential.
A word on the cost reduction initiative s I had talked about in the last quarter. This initiative has made significant progress in unlocking efficiencies across manufacturing and procurement. I'm pleased to share that the program is progressing well. Cost initiatives across yield improvement, throughput enhancement and feedstock diversification are on track to unlock over INR200-250 crores of savings over the next 4-6 quarters.
We have also begun introducing agentic AI solutions on the shop floor. Early signs are very, very encouraging. Faster decision making is already visible and we expect this to translate into improved up-time, better quality and more consistent operations. This shift also calls for new ways of working and focused upskilling, which remains a priority for us.

An added benefit is faster speed to market, from lab to actual commercialization and the ability to introduce new solutions that support a more sustainable value chain. As part of our long -term cost resilience strategy, we are also actively pursuing feedst ock diversification through backward integration into coal tar distillation. Increasing the share of coal tar-based feedstock for select applications is a key lever. Technical feasibility studies are currently underway and we'll share more details in the next quarter.

Now for the outlook. At PCBL, we are no strangers to adversity and PCBL has navigated these challenging cycles in the past, be it raw material volatility, demand disruption or global macroeconomic headwinds and each time we have emerged stronger and more r esilient.

Through all of this, our priority remains unchanged. Ensure our customers face no disruption in supplies. We are doing everything necessary to meet their r equirements without compromise.

We have already taken steps to address the current environment by tightening procurement, accelerating cost optimization and improving supply chain efficiency.

As the environment normalizes and volumes recover, we are confident of delivering double - digit EBITDA growth fueled by volume momentum, leaner cost structure and better pricing realization. We are maintaining capital discipline with investment priorities t owards specialty carbon black, battery chemicals and other value -added segments, where margins are higher and growth is much faster.

Importantly, we have used this period to strengthen the balance sheet. Net borrowings reduced by INR454 crores to INR4,536 crores during FY26, even while we funded INR75

0 crores of

capex . Our working capit al cycle has tightened further. The platform we are entering FY27 with is materially stronger than we were 12 months ago.

Just a quick update on the projects. With the 90,000 tons Brownfield expansion of rubber carbon black at our Tamil Nadu during this quarter, our total installed capacity is now 880,000 tons per annum. The superconductive specialty black line of 1,000 MTPA at Palej, Gujarat is mechanically ready for commissioning . However, commissioning has been delayed due to gas shortage. The specialty black line of 20,000 tons in Mudra is now ready as well and we'll be commissioning it in the next few weeks.

Coming to the quarterly performance, during the quarter, our consolidated sales volume in carbon black business increased by 8% YoY to 1,61,865 MT.

Consolidated revenue from operations during the quarter was INR2,066 crores and consolidated EBITDA were INR248 crores. Of the total carbon black sales volume, domestic sales volume grew by 21% YoY to 1,05,055 tons, while international sales volume decreased by 10% to 56,800 tons in Q4 FY26.

Moving on to our segment performance, t yres accounted for 88,591 tons, performance chemicals 53,888 tons, whi le specialty sales volumes grew by 26% YoY to 19,386 tons. Power generation increased by 12% YoY from 175 MU s to 196 MUs with external sales volume of 116 MUs as against 100 MUs in Q4 25.

Coming to the full year performance during FY26, consolidated revenu es from operations stood at INR 8,189 crores as against INR8,404 crores in FY25. Sales volume for carbon black decreased 4% YoY to 6,18,956 metric tons in FY26 as against 5 ,96,262 metric tons in FY25. The consolidated EBITDA for FY26 stood at INR1,081 crores as ag ainst INR1,384 crores in FY25. Power generation was up around 14% and power sales volume by 17% during this financial year.

Turning to our specialty and solutions business at Aqua pharm, it continues to face challenging external environments. There are different dynamics shaping performance across our key markets. I'll take it one by one. Aqua pharm reported sales volumes of 21,998 MT, revenue of INR339 crores and an EBITDA of INR29 crores in Q4 FY26. Fo r the full year, revenue was INR1,443 crores and EBITDA INR 162 crores.

Amidst the geopolitical conflict around the year, total sales volume in FY26 was resilient at 94,445 MT. During the year, home care sales volumes increased by 11% on YoY basis. Our water solutions business also faced headwinds, resulting in a 12% YoY decline.

Application -specific solutions increased by 18%, while the oil and gas segment declined by 19% YoY , impacted by low oil rig counts and frack spreads i n the U.S. Lower oil prices pre -war led to more cautious customer behavior and an indirect impact on realizations. In Q4 FY26, we faced multiple challenges during the West Asia conflict.

Lead time and freight rates increased significantly, alongside a 25 -30% rise in raw material prices. Yellow phosphorus, acrylic acid, malic acid and other raw materials . Packing material costs also went up materially (up to 1.5 times). Disruption in LPG supply and increase in price during the war impacted production, as LPG is used in a few of our processes.

However, to ensure wallet share loss, we reduced deliveries in consultation with customers. And once again, I would like to thank our customers for their continued support and consideration during this period. In home care, we are locking in orders for FY2 7 with our key customers, and

new products are also under approval.
Similarly, for water solutions and green chelates, several products are at the approval stage and we expect these to materialize in the next few months. During the year, we have successfully expanded our capacity from 1,30,000 tons to 1,67,000 tons, enabling us to serve higher volumes going fo

rward.
We are expanding our oil & gas business by increasing wallet share and strengthening new customer engagement. We now have presence in Midland and North Dakota and have also received product approval from new customers in LATAM. Overall, we remain positive about the strong growth opportunities in oil and gas.
And based on historical trends, drilling activity should r ise by around 30% at current crude levels. Overall utilization level should also increase with faster commercialization of new products and diversification of our product portfolio. With China implementing supply -side

reforms, including VAT rebate cuts, provincial value -added mandates an d stricter capacity guidelines , we expect structural price improvement across various chemicals and we expect to benefit from the same in the near future. To summarize, FY26 was a year that tested us. But it's also a year in which we de -leveraged, advanced our growth pipeline and built a sharper operating platform . The fundamentals of our industry remain strong, the early signs of recovery are clear and we are entering FY 27 with great co nfidence and purpose.
With this, I'll conclude my remarks. Thank you for your attention and I welcome your questions now.
Moderator: Thank you. We will now begin the question -and-answer session. The first question com es from the line of Sanjesh Jain with ICICI Securities Limited. Please go ahead.
Sanjesh Jain: Yes, thank you. Thanks for taking my questions and for this opportunity. I got a few across the business es. First on the carbon black, what is benefiting us because the profitability in the segment has gone up? It's purely because U.S. tariff has changed ways. We were struggling or there is a lower import coming from Russia, thanks to the Middle East crisi s?
I can also sense inventory gain s during the quarter, considering that there was a sharp increase in prices across commodities , which should have benefited. In this backdrop, how do you see FY27 panning out, both from a volume perspective and the profitability perspective in the carbon black business? Thank you.
Nilesh Koul : I think, first U.S. tariff reduction has definitely improved prospects, which also means that more players are exporting material outside of India. And therefore, there's a little bit of reduced pressure on the prices in India. While the t yre business is based on pass -through, in the non -tyre business in India, we have been successful in increasing prices over the last few months.
Of course, after the West Asia crisis, we were forced to increase even more prices, but structurally we have been able to improve some pricing in that area. That's one. Going forward, I think we are optimistic on both fronts in terms of volume improvement, both domestic as well as export, because the headroom for us to grow in export markets is significant.
And we are implementing some supply chain initiatives, which will unlock some markets which we could not access, given the transit time, etc etera . On the pricing front also, while the industry continues to be in overcapacity, we believe that structurally, we will be able to take some price increases with value -added products coming into play as well as introducing new services for the customers, which unlock more value for the entire value chain and therefore shar ing that with the customers.
Sanjesh Jain : Got it. But what is the reason for a jump in profitability this quarter? If you can break that up, that will be really helpful?
Nilesh Koul : Raj, you want to get into details. But essentially, it's a contribution increase a nd yes there is a lag in inventory valuation as well.

Raj Gupta: Sanjesh , if you're comparing it with last quarter, it was not a usual quarter. And our profitability dipped signif

icantly. So, while quarter -on-quarters , when you're looking, it is a ppearing as a significant jump, b ut this is not where we should be with the kind of volumes that we have done. And, of course, this quarter the vol umes have gone up by 20,000 tons and the volumes have contributed. EBITDA margins remain the same. There's not much improvement at EBITDA per

ton level. So, the real impact of all the initiatives which Nilesh just spoke about is yet to come. It is still not reflected in the performance.
Sanjesh Jain: That's clear. Second, Nilesh, on the entire shift towa rds coal tar distillation, we have been positioned ourselves as a crude -based feedstock producer. And coal tar, which in which way is finding more buyers, thanks to the multiple applications there. Now, what is driving us to reconsider a business proposition to shift towards coal -tar distillation? That's number one. And number two, there's already established where we're procuring the coal tar. Now, how do we ensure that we get the feedstoc ks?
Nilesh Koul : I'll get into more detail on this in the next call, because the project feasibility is being finalized right now. But at the core of it is that we need to diversify our feedstock base. Second, it's not that we will use coal-tar for all applications. This will be specific application based. So, there are app lications where coal tar-based feedstock is slightly better. We have also upgraded our facilities , to be able to use combination of feedstocks. So that will help. And as I said, I'll get more details for you in the next call, where we would have already signed off the capex investment.
Sanjesh Jain : Got it. One last question on carbon black and t hen probably one question on Aqua pharm. With the existing West Asia crisis, do you think we a re in a better position from a c arbon black manufacturing perspective and tapping the US market o r do you think Russia now has a chance of selling their product in Europe or that's not happening?
Nilesh Koul : We are seeing good traction from US customers, given that the tariff has gone down now. Of course, people are waiting for final stability in that structure. The logistics cost is a little bit challenging, but I think we are more compet itive now than we were in pre-war. So, we stay optimistic for both EU as well as the US markets.
Sanjesh Jain : But how do you read the jump in the logistic cost b ecause we are a bulky material, right?
Nilesh Koul : Yes. But even with that we are competitive in the US market. It's an underserved market. And the US customers are also trying to diversify away, because the competition is China, Russia as you said, they want to diversify to other Indian players. Therefore, we believe we are still competitive in multiple applications .
Sanjesh Jain : Okay. Last one from my side on the Aqua pharm side. Phosphoric acid prices have g one up very sharply. That should itself has given a lot faster growth in my view. Number two, crude prices very beneficiary for us in our US business. A combination of this, does it improve th e outlook for Aquapharm in FY27? Now, for last two quarters, we hav e been doing EBIT losses there?

Pankaj Kedia : So Sanjesh , yes, the phosphoric acid prices have gone up. We have also taken immediate price hikes from March onwards. So, it will have some cushioning effect going forward. But as far as the oil and gas business is concerned, with this jump in oil prices, we see substantial restocking impact coming in the first two quarters of FY27. So most probably you will see a decent growth in the oil and gas business in Aqua pharm in FY27.
Sanjesh Jain: And how should we see part to profitability ?
Pankaj Kedia : From a profitability perspective what has happened is significantly lower capacity utilization in the last couple of quarters. That has led to some kind of a negati

ve operating leverage playing to our numbers . As we see Q1 and Q2 onwards, oil and gas business moving up sharply, the same thing will turn into positive to our advantage. So, you will see profitability moving up as our overall capacity utilization moves up from Q1 FY27 onwards.
Sanjesh Jain: That's very clear. Just one balance sheet question. Considering there is a sharp increase in the feedstock prices, that will put significant pressure on working capital and hence on the net debt position, which already appears to be stretched in c orrect profitability situation. How do we want to manage this entire leverage situation and still continue to grow?
Raj Gupta: Our overall borrowings have come down by roughly INR450 odd crores this year, as you must have seen from the balance sheet. You must have also noticed that our investment in working capital ha s also gone down significantly. So, we are managing our receivables and inventory very tightly.
And we feel that there is further scope for us to improve there. So, we are instituting better controls. We believe that despite the increase in crude price s we don't expect crude is going to be here for the full year. We believe that maybe in a quarter's time, we'll see crude soften back to that 80 -90 level .
Even if crude remains at $90 level, I think considering the volume growth, the revenue growth, we will require another INR100 crore s worth of incremental working capital. That's how we are estimating it as of now. And the cash generation with higher volumes and better margins will be far more than what we require to invest in our growth, pay out to shareholders and invest in working capital for this incremental requirement.

Sanjesh Jain: Got it, Thanks, Nilesh, t hanks, Raj for all those questions. And best of luck for the coming quarters.
Raj Gupta: Thank you.
Nilesh Koul: Thank you.
Moderator: Thank you. Next question comes from the line of Rohit Sinha with Sunidhi Securities . Please go ahead.

Rohit Sinha: Yes. Thank you for taking my question, sir. So already som e of my questions have been answered. Just a few from my side. One is, as sir, in the opening remark indicated about this price increase pass -on would be majorly reflecting from Q2 onwards, I guess. So just wanted to understand how this pricing pass -on would be, I mean, being out in the different segments for us for carbon black as well as for the Aqua pharm also.
And I think from March onwards, we have some higher prices which came down in mid -April. But again, again it started moving up a nd probably there would be some adjustment in the contracts also. So how the contracts have shaped and how we should look at basically going forward our Q1 performance also?
Nilesh Koul : So, as you said, different segments in our market have different pricing linkages. So, in case of tyres, for example, there is a structure where pricing can be linked to and we have different types of contracts with tyre consum ers. Some are Q minus 1, some are M minus 1. So, there are different pass -through mechanisms.
So those will come into effect as and when the contract terms move along with it. There is also a significant piece of volume which is based on spot pricing. There we have anticipated and taken price increase early. As I said in March itself, we had started taking prices up a nd price increases have gone through because obviously, the entire industry is facing the same challenge. So, we expect prices to be strong in Q1. And depending on how the crude situation moves, this will sustain. Some part of it we will lose later on as the cr ude prices hopefully come down. But we expect profitability improvement given the cost of our raw materials available with us for Q1. Aqua pharm is going to be a similar story for some segments where we have pass -through and prices are linked to

Q minus 1 or M minus 1 in some cases.
Rohit Sinha: Got it. And sir, from our new battery business, how things are progressing there? When we should be seeing the material numbers in that segment?
Nilesh Koul : I think the pilot plant is ready. This, of course, is a very high -value business with high margins. But it also req uires qualification. So, the pilot plant is designed to start getting qualifications done within this year. Then we will move on to putting up a commercial plant with additional capacities. I would expect that FY28 is when we will start seeing commercial v olumes going up. We will share more details as we progress in getting more qualifications with our customers.
Rohit Sinha: Got it. And one last question for maybe for the guidance point of view and how we should be looking at the volume growth in the carbon black side for next year. And for the power business also, I think I mean some outlook wanted to know as the demands are quite st rong there, but pricing has not been to that extent. So, are we seeing any material price increase also going forward in the power side or it will remain more or less in this similar range?
Nilesh Koul : I think in the carbon black business now with our additional capacity coming in, we expect to see a high single -digit volume growth. We should see more than double -digit growth in EBITDA as well for next year. As Raj was saying, Q4 results are not what we aspire to be.

So, you should see significant improvement in that going from Q1 onwards. On power side, the pricing, there are two components of it. One is the bila teral agreements that we have. Now there the price is moving well. And I would also expect that because of the fuel crisis in West Asia, we should start seeing some better pricing realization Q1 onwards as well. So, we should see structurally better pricing in power business as well.
Rohit Sinha: Okay. That's i t from my side, sir. Thank you. Thank you very much.
Moderator: Thank you. Next question comes from the line of Aditya Khetan with S MIFS Institutional Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. Just a couple of questions. Sir, you mentioned in your opening remarks on the carb on black spreads bottoming out. So, what are the indicators like if you can highlight and what is giving you that confidence that this has bottomed out? And what are the triggers wherein it can improve apart from what we say that t yre demand will grow? Any

structural change in the business we can see o kay now this has bottomed out and sir compared with last quarter actually s preads look much lower here, adjusting for the inventory gains. So, what has changed and what is giving you that confidence that it has bottomed out?
Nilesh Koul : For the Indian players, some of the positive things that we are seeing is because the US tariff issue is to some extent sorted out. So, the additional volume coming into the Indian market is now moving towards US as well. So, you see some improvement in volumes being exported out of India, which therefore reduces the pressure on pricing in India. That's number one.
I think we are also continuing to see some inventory built up by our customers as well, which is a little bit of an additional demand coming through and again should allow us to start charging a little bit more premium. Third, of course, the value -added component of our business is going up and we expect to see that also helping us improve our spreads.
Aditya Khetan: Got it. Sir, on to the customer side, like you mentioned, so customers are keeping some inventory, which earlier they were taking just in time. So, can you highlight like what are the inventory levels today with the t yre players of carbon black and specialty and Aqua pharm across businesses?
Nilesh Koul : It varies by customer to customer. So,

depending on the market that you're talking about, for example, our domestic customers usually keep, were keeping about 3-7 days depending on t he location of their plants, et cetera, which they are dialing up a little bit given the uncertainty in export markets. Again, it varies across the value chain.
What we are looking at doing is actually providing some more additional inventory stock points for just -in-time delivery as well for the longer term. This is not going to come in effect right now. It will take a little bit of time to do that, but our custo mers are increasing their cover for beyond increasing that by at least 3-4 days minimum as we see as of now. And this is true for specialty as well as for t yre customers.

Aditya Khetan: Got it, sir. Sir, on to the Aqua pharm like you mentioned, so with the rise in crude prices, definitely coming quarters should look good. But you also mentio ned that restocking is picking up. So, suppose that if tomorrow all these things stabilizes, the West Asia crisis, everyone is anticipating crude price to fall down. So still this thesis will remain intact that demand will pick up and resto cking thing also will continue o r we could be back to that original le vel like we were saying earlier ?
Nilesh Koul : So, we are not banking only on the inventory increase. We are also making efforts to increase share of wallet in terms of providing value -added services and solutions for customers. As I mentioned, there is a lot of new prod uct approvals that we have got. So, we are seeing positive traction beyond the immediate impact of inventory increase.
So structurally, we believe there is enough growth in the key segments, oil and gas in water treatment and the home care segments, especially as we have got now greener products coming into the mix. And we should see increased volume. So no, structurally, we are making efforts to ensure that profitability goes up.
Aditya Khetan: Sir, current quarter when we look, so we are sitting at around INR29 crores sort of an EBITDA, which you have mentioned in the presentation. So, sir, next year, considering if things normalize and you are mentioning that premium mix will go up, can we ag ain go back to the levels of INR50 -55 crore s EBITDA per quarter in Aqua pharm?
Pankaj Kedia : Yes, we believe we should be able to do that.
Aditya Khetan: Got it. And sir, on to the volume side, any numbers for FY27 -28 like earlier, we had said for 26, so double -digit volu me, but I think we are at flat. For FY27 -28, any number guidance?
Pankaj Kedia : Aqua pharm should see a very strong growt h in top line in FY27. I think in the region of 20 -25% is something which we believe sh ould be able to achieve.
Aditya Khetan: Got it. S ir, just one last question, on to the debt part you had mentioned that we have also reduced some of the debt. Along with that, we are also into capital expenditure mode. So, this will continue in FY27 also, both paying off deb t and simultaneously doing capex FY27-28. How you see things shaping up on this front?
Raj Gupta : Yes, we feel that we can generate more cash from operations and what we require to invest in growth. And therefore, there should be net -net reduction in overall leverage.
Aditya Khetan: One last question that we had mentioned i n our investor day earlier, lumpsum 40 bil lion guidance of EBITDA by 2030. So, does that hold or is there any change on to that?
Raj Gupta : See t he long -term fundamentals of the industry remain intact. These are short -termheadwind s that we are facing currently. So, from 2030 perspective, we are very confident ,we remain on track and with all the initiatives that we are taking, we believe that we should be able to deliver those numbers.

Aditya Khetan: Got it, sir. Thank you. That's it fr

om my side.
Moderator: Thank you. Next question comes from the line of Prit Nagersheth , Wealth Finvisor. Please go ahead.
Prit Nagersheth: Yes, thank you. My question is back to the EBITDA per ton for FY27. So, if I understand, you said you are expecting double -digit growth on EBITDA . So, should I assume that the 14,900 odd per ton, we should see at least about a 14 -15% increase on this number? Is that what this leads to?
Nilesh Koul : We should easily see that, yes. Just to clarify i t's a mix of both. We expect pricing to move up and we also are taking s ignificant initiatives on cost. So, combination of that should definitely deliver that.
Prit Nagersheth: And here you are coming to this number based on two factors, one being the volume growth of high single digits of 7 -10% and the value growth of the remainder to get to this number. Is again my understanding, correct?
Nilesh Koul : So let me recapture. So, there's three elements. One is, of course, the volume growth. Second is a product mix change. We are getting higher value -added products coming through. The third one is the general price increase. And sorry, there's a fourth one, which is the cost initiatives, which we are also taking.
Prit Nagersheth: Understood. So basical ly, effectively, the EBITDA ton moves up by a strong double -digit number and we should also see maybe revenue increase, volume increas e alongside all of these things?
Nilesh Koul: Yes.
Prit Nagersheth: Okay, great. Thank you. The other questions have been answered.
Moderator: Thank you. Next qu estion comes from the line of Sailesh Raja with B &K Securities. Please go ahead.
Sailesh Raja: Yes. Sir, in the last call, we had mentioned that Aqua pharm received incremental allocation from customers like P&G , Henkel. So, could you quantify the potential volume growth expected from these two allocation s over the next 1 -2 years? Also, regarding the recent, the removal of 13% VAT, the export debate which you were talking with b enefit in China. So specific to PBTC product, so within the Aqua pharm the overall volume mix, what proportion of volum e is currently derived from PBTC product a nd what about the operating profit growth that we are expecting in Aqua pharm?
Pankaj Kedia : So, Sailesh, specifically, if you talk about the green chelates portfolio, where we last quarter also mentioned that we have started receiving trial orders and supplies have started to both P&G and Henkel. There, I think, from Q2 and Q3 onwards, we see significant increase in the expected sales revenue as we get produc t approvals .

So, from a potential perspective, potential is large. We ourselves have limited capacity, our overall green chelates capacity is 4 ,000 tons. And we have been look ing at expanding that capacity, b ut we have been waiting for product approvals to come in so that we don't set up capacity too early.
Now, as we see increasing sales in the green chelate s portfolio, both FY27 & 28, you should see significant increase in the revenue side. And we will be adding more capacities to the green portfolio for Aqua pharm, once we get these product approvals from P&G and Henkel . We are also working with more customers to get product approval from the non -detergent side of the business too. So, this should help us to have a larger revenue growth from this green chelates portfolio.
Sailesh Raja: Hello. Yes. Sir, we are expecting 20,000 tons incremental number. Can you please quantify the volume that you are expecting from these two customers and also the growth that you are expecting from Aqua pharm?
Pankaj Kedia : A couple of things. The requirement of these customers is pretty large. I mean, we will not be able to supply that requiremen t with what capacities we have. So, if I tell you about the opportunity si ze, it is pretty

big. We have received the trial orders in the last quarter and the supplies have started now, we have to build up that portfolio gradually.
So, if you recall, a couple of years back also we mentioned that we have a very large ambition for the green chelates portfolio. We have some capacity. We are now getting trial orders and

more orders are expected to come in a couple of quarters. So, by the end of this year, we should have a much larger say when we talk about the green chelates portfolio.

The challenge is not the target market or the size of the market. And from an EBITDA perspective, I think while last quarter has been a challenging quarter in Aqua pharm and we faced multiple challenges, which Nilesh also mentioned during his opening comment, we believe that our goal remains to reach that INR75 crore s per quarter EBITDA run rate, which we have been trying to achieve in the last few quarters.

And if the market had been in a normalized scenario, we probably would have achieved it by now. But over the next 2-3 quarters, we believe that that goal remains intact for us to reach 75 crore s run rate on a quarterly basis.

Sailesh Raja: Okay, sir. Great, sir. The Europe market, the carbon black, size is around 1.5 million tons. Just to understand better to see just potential benefits from EU FTA, could you please help us with the current supply mi x, how much of demand is met through domestic production versus imports? Within imports, what is the share from China, India? Is there still some Russia sup ply is coming to Europe market, can you p lease talk about that.

Raj Gupta : West ern Europe on average imports about 500,000 tons of carbon black every year. And earlier, almost 80% of it used to come from Russia. Now, of course, it is spr ead across number of countries. India currently is doing about close to 100,000 tons to our understanding. And China share would be a little more compared to us. Rest comes from multiple geographies.

Now, in terms of how this EU FTA is going to benefit us, there is no import duty on carbon black in Europe. So, there is no direct benefit. But when you look at indirect benefit, currently, tyre imports in EU from India attracts 4.5% duty. So once this FTA is signed, then the duty is likely to get to 0%. And Europe accounts for one third of India's t yre exports. So, I mean, that should boost up domestic production in India a nd from that perspective, it is going to be positive.

Sailesh Raja: How much is do mestic carbon black imports here ?

Raj Gupta : In Europe?

Sailesh Raja: India imports.

Nilesh Koul: In India, it is not significant.

Raj Gupta: China and Russia are not much. China does about roughly about 1,500 tons a month. And Russia would b e around similar 1,500 tons, 2,000 tons a month. India in totality imports about 8,000 - 10,000 tons a month.

Sailesh Raja: Okay. Thank you. Thanks.

Moderator: Thank you. Next question comes f rom the line of Shashank Kanodia with ICICI Securities. Please go ahead.

Shashank Kanodia: Yes, good afternoon. Thank you for the opportunity. So given the current crude prices, what kind of blended carbon by regulations should we look for Q1, F27, given that you clock closer to INR105 to a kg in Q4?

Nilesh Koul : Sorry, I couldn't get the question. If you can say that again, please.

Shashank Kanodia: Yes. So, what kind of blended carbon black realisation should we expect in Q1, F27, given the crude prices that they are currently hovering at ?

Raj Gupta : Around $1,400-1,500.

Shashank Kanodia: Okay. And that is true for Indian markets as well, right?

Nilesh Koul : Yes, I'm talking about average blended, both domestic and international.

Shashank Kanodia: Right. And s ir at the current level of crude price s, how is the CBO versus CBFS profitability ? So, do we see more of Chinese supply getting into the market at

the current crude prices, which
is coal -type based or CBFS as a root is still at an advantage position?

Nilesh Koul : The coal -type prices have also moved up. So, it is even keel as of now. So pre -war versus now, it's about the same levels of difference. So, when it is imported coal tar into India, it's still a little bit more expensive on a TCO basis, because there is a difference in yield which w e get between CBFS and coal tar . So competitive, but CBFS is better for us right now.

Shashank Kanodia: And sir f or a quarterly breakup of volume that you have shown in the presentation, your t yre space volume has declined f rom 90,000 odd tons in Q4 to 88,500 tons for this quarter, whereas the domestic t yre space has grown healthy d ouble digit. So, is it just purely out of profitability angle that we have supplied less to the industry or is there some market share loss, some angle to it?

Shashank Kanodia: Yes, quarterly sales volume for t yres performance specialty that you have showcased in your presentation?
Nilesh Koul : Performance specialty , one second.
Shashank Kanodia: I'm talking about t yre in particular getting potentially declining in sales volume from 90,000 MT last quarter, as in Q4 to 88 ,600 MT this quarter?
Nilesh Koul : This is just a customer mix that we had and it's just a timing effect in terms of when the material got supplied. So overall, we are going to see growth in t yre business as well.
Shashank Kanodia: Right. And lastly, sir, do you see.
Nilesh Koul : Q1, you should see higher volume from us on t yres.
Shashank Kanodia: Okay, sir. So, given that there are state elections in the home state, is there any recurring one - time expense charged to a P&L for this quarter or do we expect something in Q1?
Nilesh Koul: Shashank, you have to repeat.
Shashank Kanodia: So, I'm saying that sir, given that there are state elections in your home state, do we see any one - time recurring charge, which is non -recurring in nature, either in Q4 or in Q1? So, we had a history of some donations in the past. So, do we see that as an element for Q4 or next quarter Q1?
Pankaj Kedia : Nothing significant, Shashank.
Shashank Kanodia: Okay. And, sir, given that you're expecting a good amount of profitably incr ease for base carbon black as Aqua pharm, do we surpass the FY25 base case profita bility in terms of EBITDA and PAT
Nilesh Koul: Yes.
Shashank Kanodia: Sure, sir. Thank you so much and wish you all the best. Thank you, sir.
Nilesh Koul: Thank you.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of question -and-answer session. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us.
You may now disconnect your lines.